J.P.Morgan

Asia Pacific Equity Research
09 June 2026

China Home Appliance

White goods, or white space?

What if China HA should no longer be valued as a domestic appliance cycle, but as a mix of cash-cow earnings, global challenger growth and industrial-tech option value? That is the re-rating question we think investors should ask. The old framework — subsidy, replacement cycle and margin — still matters, but it misses the more important transition: China B2C is becoming the funding base, overseas OBM is becoming the growth engine, and B2B industrial tech could become the multiple-expansion driver. This matters now because the sector is still priced for the old world: 10x P/E, 6% div. yield and ~20% ROE (2027E), with heavy skepticism around the 2026–27 domestic slowdown. We agree China demand will soften, but that is unlikely to be where alpha is made. Alpha should come from identifying which companies can use China cash flow to build global share and B2B capability. That is why Midea screens best to us. Our pecking order: Midea (OW; top pick) > Haier H/A (OWs) > Supor (OW) > Gree (N) > Robam (N) > Ecovacs (UW; top avoid).

- **China B2C is low-growth and high-cash-return.** China B2C is maturing, but still attractive as a cash engine, with the Big 3 controlling ~60% share and the core profit pool. The subsidy cliff (demand down MSD this year) matters for near-term numbers, but the bigger question is whether leaders can defend margins and redeploy cashflow into higher-growth adjacencies. 2Q26 is the margin stress test: volume weakness is well flagged, while petrochemical-led cost inflation will test pricing power and cost pass-through. Our base case assumes the Big 3 to report mild 0.5-1ppt GPM erosion in 2Q/3Q26. If the Big 3 can again hold relatively stable GP margins, the "mature category plus margin compression" bear case loses force.
- **Overseas is the global challenger proof point.** Overseas is the clearest evidence that China HA is not ex-growth. The Big 3 have 60%+ share at home but only 16% share outside China, where the addressable market is ~3x larger than China. The next leg is not simply export volume; it is OBM scale, channel control and brand economics. That is why overseas revenue CAGR of +11%/+9%/+7% for Midea/Haier/Gree over FY26–28E matters — it shows these companies can still compound even as domestic demand matures.
- **B2B is the multiple unlock.** C&I HVAC, data center liquid cooling and European heat pumps are not classic consumer appliance businesses, but they sit close to the Big 3's core capabilities: thermal management, component depth, supply-chain control, manufacturing scale and cost-down execution. The global C&I HVAC market is ~Rmb1.2trn, while the Big 3 hold only ~5% combined share, leaving a long runway if execution holds. Midea is the clearest case: B2B is nearly 30% of '26E revenues, yet the stock still gets limited credit for the mix shift. That gap is the re-rating opportunity.
- **Buy multi-engine compounders. Midea (OW)** is our top pick, with the clearest combination of China cash generation, overseas OBM share gains and B2B optionality. **Haier H/A (OW)** remains attractive on overseas execution, while **Supor (OW)** offers steady profit growth and cash returns. We are more reserved on **Gree (N) and Robam (N)**, where upside relies on a domestic recovery, and avoid **Ecovacs (UW)** given intractable margin pressure.

Co-Head of Asia Pacific Consumer Research and Head of Asia Gaming/ Leisure Research

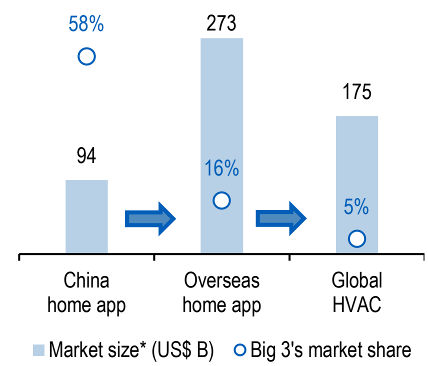
DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Yibo Wu
(852) 2800-8559
yibo.wu@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Addressable market size (2025E)

(*) Market size based on ex-factory price. Big 3 = Midea, Haier and Gree.



Source: Company data, J.P. Morgan estimates (addressable market size)

Contents

See page 80 for analyst certification and important disclosures, including non-US analyst disclosures.

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
Midea Group - A	000333 CH	92,375	CNY	82.36	OW	N	105.00	Jun-27	82.00	Dec-26
Haier Smart Home Co Ltd - A	600690 CH	27,754	CNY	20.07	OW	N	25.00	Jun-27	30.00	Dec-26
Haier Smart Home Co Ltd - H	6690 HK	24,800	HKD	20.72	OW	n/c	25.00	Jun-27	32.00	Dec-26
Gree Electric Appliances - A	000651 CH	31,280	CNY	37.88	N	n/c	42.00	Jun-27	50.00	Dec-26
Zhejiang Supor - A	002032 CH	5,055	CNY	43.03	OW	n/c	55.00	Jun-27	56.00	Dec-26
Ecovacs Robotics – A	603486 CH	5,168	CNY	60.55	UW	N	47.00	Jun-27	82.00	Dec-26
Hangzhou Robam Appliances - A	002508 CH	2,244	CNY	16.11	N	OW	17.00	Jun-27	23.00	Dec-26

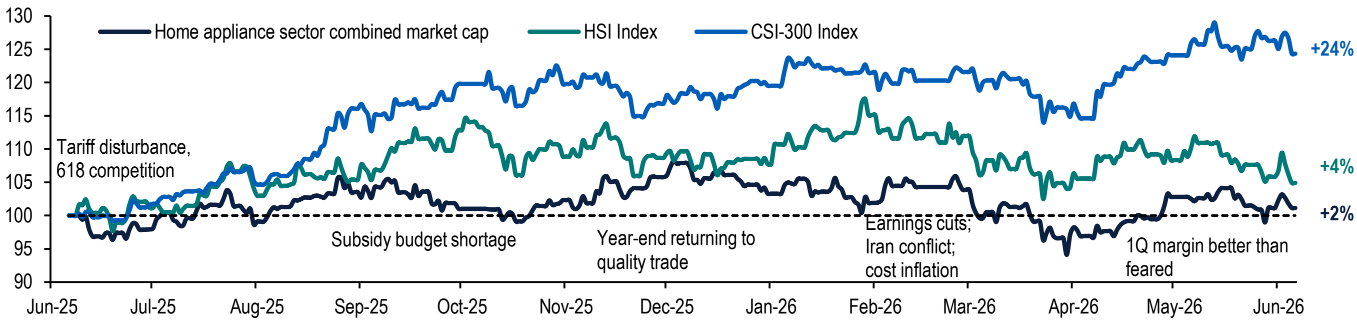
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 09 Jun 26.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Focus Charts

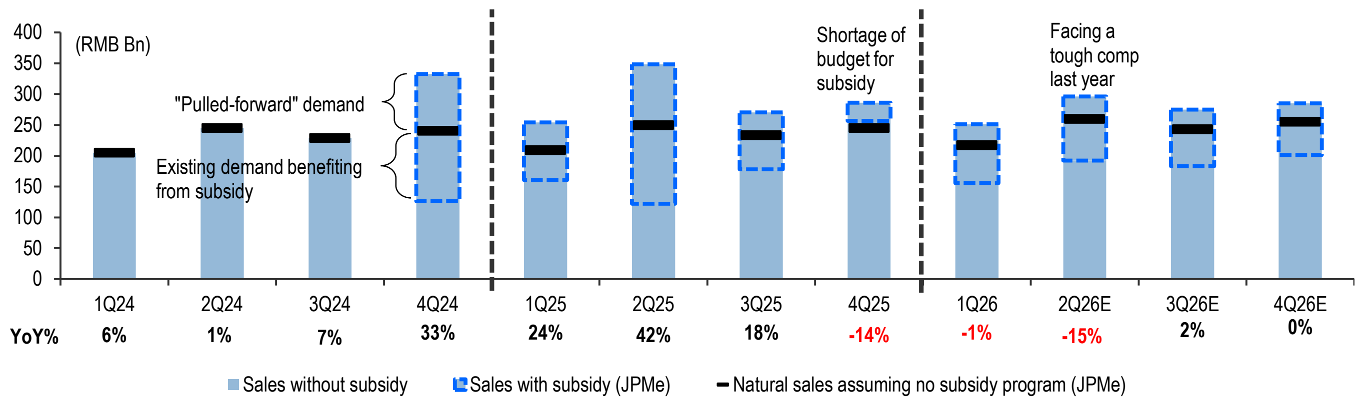
Figure 1: Home appliance sector stocks under JPM coverage - share price performance vs China/HK index

Indexed to Jun 5, 2026 = 100



Source: Bloomberg Finance L.P. (price as of June 5, 2026); Note: Past performance is not an indicator of future results

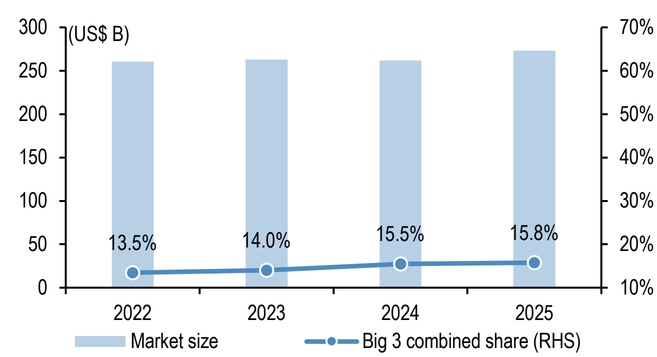
Figure 2: China home appliances: Retail sales (2024-2026E)



Source: National Bureau of Statistics, China Department of Commerce, J.P. Morgan estimate

Figure 3: Global (ex-China) home appliance market size* and China Big 3's market share

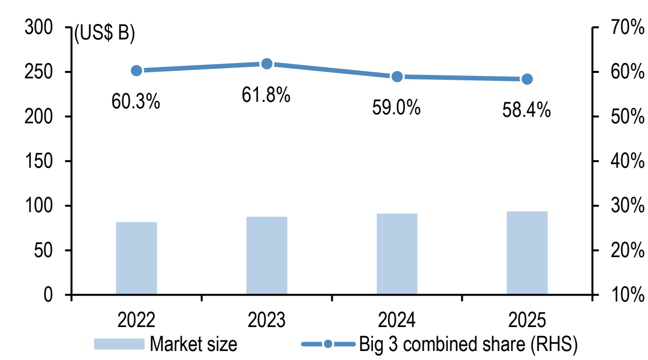
* Market size is based on ex-factory prices



Source: Euromonitor, Company data

Figure 4: China home appliance market size* and China Big 3's market share

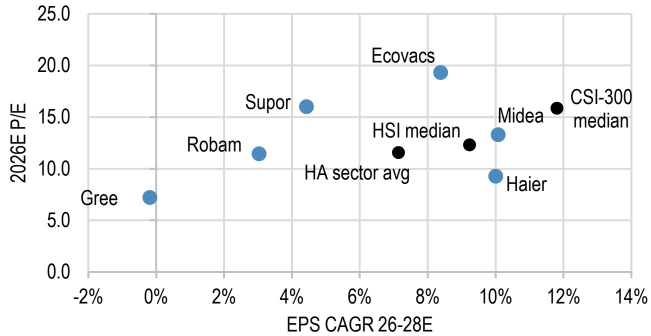
* Market size is based on ex-factory prices



Source: Euromonitor, Company data

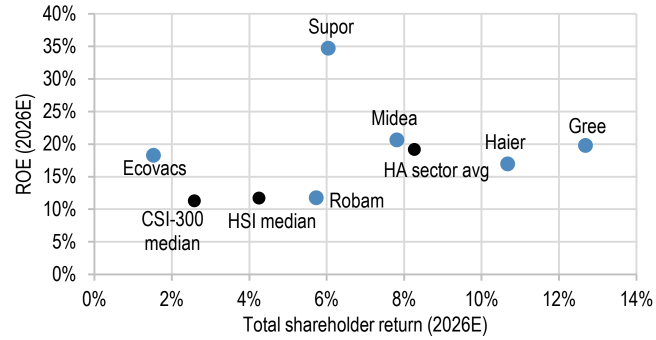
DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Figure 5: EPS growth vs P/E multiple



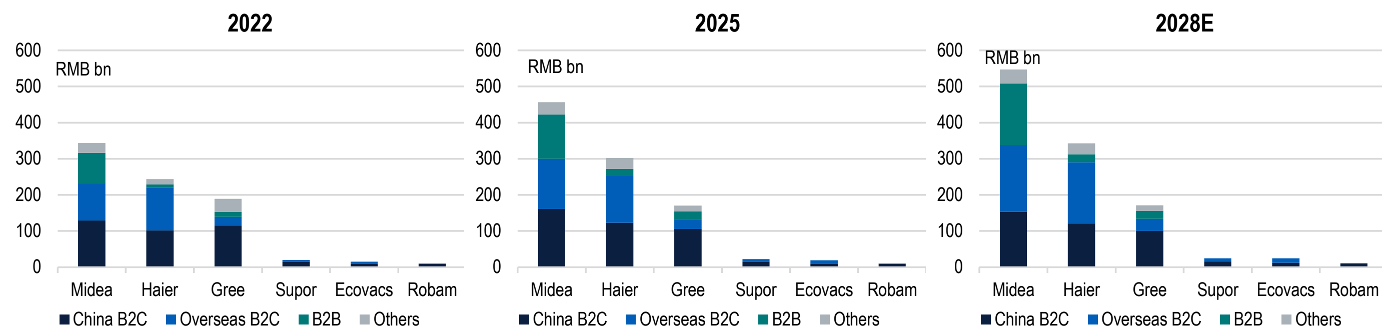
Source: Bloomberg Finance L.P. (index data), J.P. Morgan estimates (home appliance data)

Figure 6: ROE vs total shareholder return



Source: Bloomberg Finance L.P. (index data), J.P. Morgan estimates (home appliance data)

Figure 7: China home appliance companies - revenue structure



Source: Company data, J.P. Morgan estimates.

Table 1: China home appliance Big 3 - revenue and profit growth

RMB bn	Midea					Haier					Gree				
	FY24	FY25	FY26E	FY27E	FY28E	FY24	FY25	FY26E	FY27E	FY28E	FY24	FY25	FY26E	FY27E	FY28E
Total revenue	**407**	**456**	**483**	**513**	**547**	**286**	**302**	**315**	**328**	**343**	**189**	**170**	**175**	**172**	**171**
YoY%	***9%***	***12%***	***6%***	***6%***	***7%***	***4%***	***6%***	***4%***	***4%***	***4%***	***(7%)***	***(10%)***	***2%***	***(2%)***	***(0%)***
China B2C	146	161	160	155	153	122	123	126	123	121	120	106	109	104	101
YoY%	*4%*	*10%*	*(1%)*	*(3%)*	*(1%)*	*5%*	*1%*	*3%*	*(3%)*	*(1%)*	*(8%)*	*(12%)*	*3%*	*(5%)*	*(3%)*
Overseas B2C	123	138	151	169	185	121	130	140	155	169	28	27	29	31	34
YoY%	*17%*	*13%*	*9%*	*12%*	*10%*	*1%*	*7%*	*8%*	*11%*	*9%*	*13%*	*(3%)*	*7%*	*7%*	*7%*
B2B	104	123	136	152	170	18	19	20	21	22	21	21	20	21	22
YoY%	*7%*	*17%*	*11%*	*12%*	*11%*	*N.M.*	*6%*	*5%*	*5%*	*4%*	*9%*	*(2%)*	*(2%)*	*4%*	*4%*
Others	33	34	35	37	38	25	31	29	30	30	19	17	16	15	15
Net profits	**39**	**44**	**46**	**50**	**54**	**19**	**20**	**20**	**22**	**24**	**32**	**29**	**29**	**29**	**29**
YoY%	*14%*	*14%*	*5%*	*9%*	*8%*	*13%*	*4%*	*4%*	*9%*	*8%*	*11%*	*(10%)*	*0%*	*(2%)*	*1%*

Source: Company data, J.P. Morgan estimates.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Stock View

- **Midea (OW, top pick) - PT Rmb105, 27% upside**: Midea is our Top Pick in the sector because it has both earnings defensiveness and re-rating potential — a combination the market is still underpaying for. Its B2C business is the most resilient among peers in our view, with a balanced revenue mix (47% overseas sales and no over-indexing to the US), while B2B provides the long-term growth engine. The stock continues to trade like a pure-play home appliance company, but we expect a re-rating from 12x to 15x as B2B earnings delivery forces investors to reassess the group's earnings mix and strategic identity. See also *Midea in 2030E: Siemens — or Panasonic?*
- **Haier A/H (OWs) - PT Rmb25/HK$25, 24%/20% upside**: Haier is an attractive "bad news priced in" stock. The near-term drag from US tariff-related earnings pressure appears well understood, while the underlying business outside the US remains healthy, with most markets delivering margin improvement alongside share gains. We expect net profit to show an +8% CAGR over FY26-28E. At an FY26E P/E of 8-9x and a 10-11% total shareholder return (incl. 4% buy-back yield), valuation provides a strong entry point, in our view.
- **Gree (N) - PT Rmb42, 10% upside**: Gree is caught between brand discipline and market reality. Its premium pricing model is increasingly challenged by China's down-trading trend and tougher competition, while its lower-than-peers' investment on sales & marketing undermining future revenue growth. With only 7% upside to PT, 11% total shareholder return remains the key support, but not enough to justify an OW rating; we rate the stock Neutral.
- **Supor (OW) - PT Rmb55, 27% upside**: Supor screens as one of the more attractive yield-quality combinations in SMID-cap appliances. Growth is mature, but earnings quality is solid: margins are protected by a stable OEM export business with parent-co SEB Groupe (SK FP, NC), and Supor has shown it can pass through most cost pressures. The stock is bond-like in profile, high-yielding, and backed by the highest ROE among any home appliance company globally under JPMorgan coverage.
- **Robam (N) - PT Rmb17, 5% upside**: Robam's setup remains mixed. Near-term earnings face dual pressure from subsidy phase-out and a weak property market, while the expected overseas M&A announcement in the next two months offers potential upside optionality. However, without visibility on deal quality, valuation, or execution, we view it as a possible catalyst rather than an actionable reason to turn positive.
- **Ecovacs (UW) - PT Rmb47, 23% downside**: Ecovacs has the clearest downside risk in the peer group. Triple margin pressure - BOM cost inflation, competition preventing cost pass-through, and share loss in wet/dry vacuum - means revenue is not the issue; margin is. Our revenue forecast is in line with consensus, but our net margin estimate is much lower at 8.0% (vs. consensus 9.6%), implying 17% net profit downside to consensus in FY26E. At 19x FY26E P/E with little dividend support, we believe the stock should de-rate from here; we rate Ecovacs at UW and our Top Avoid in the sector.

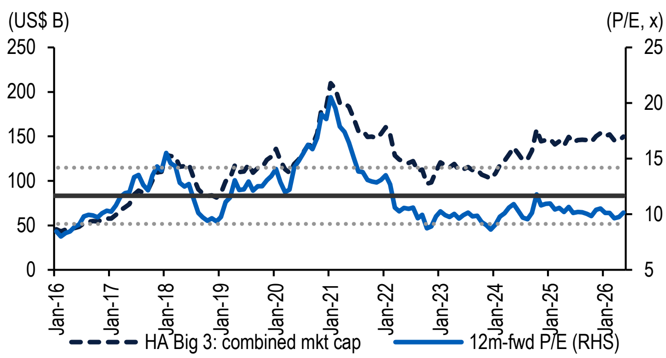
DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Table 2: Valuation comparison table - China home appliance sector under JPM coverage

		J.P. Morgan		Price	MktCap	Share perf		P/E (x)			Div yield (%)			ROE	Sales growth (p.a.)				Margins ('26E)		% of sales ('25A)		
Company	Ticker	Rating	PT	(local)	($ B)	YTD	12M	'26E	'27E	'28E	'26E	'27E	'28E	'26E	'22-25	'26E	'27E	'28E	GPM	NPM	R&D	S&M	G&A
Midea - A	000333 CH	OW	105.0	82.4	92.1	5%	9%	13.5	12.4	11.5	5.4%	5.9%	6.4%	21%	10%	5%	6%	7%	26%	10%	4%	9%	4%
Haier - A	600690 CH	OW	25.0	20.1	26.7	(23%)	(20%)	9.2	8.5	7.9	6.1%	6.9%	7.4%	17%	7%	4%	4%	4%	26%	6%	3%	11%	8%
Haier - H	6690 HK	OW	25.0	20.7	26.7	(15%)	(11%)	8.2	7.6	7.0	7.0%	7.9%	8.5%	17%	7%	4%	4%	4%	26%	6%	3%	11%	8%
Gree - A	000651 CH	N	42.0	37.9	31.3	(6%)	(15%)	7.3	7.4	7.4	7.7%	7.8%	7.8%	20%	(3%)	2%	(2%)	(0%)	29%	17%	4%	5%	3%
Supor - A	002032 CH	OW	55.0	43.0	5.1	(2%)	(21%)	15.7	14.9	14.3	6.2%	6.5%	6.8%	35%	4%	3%	3%	3%	25%	9%	2%	11%	2%
Robam - A	002508 CH	N	17.0	16.1	2.2	(17%)	(15%)	11.0	11.1	10.4	6.0%	6.0%	6.0%	12%	(1%)	3%	0%	3%	50%	13%	4%	29%	5%
Ecovacs - A	603486 CH	UW	47.0	60.6	5.2	(25%)	14%	19.9	18.1	16.9	1.6%	1.7%	1.8%	18%	8%	16%	6%	6%	48%	8%	5%	31%	3%

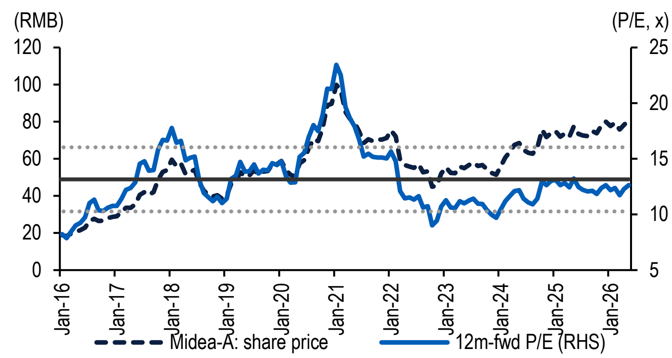
Source: Bloomberg Finance L.P., J.P. Morgan estimate (all estimates by JPM). Note: Past performance is not an indicator of future results
Based on 9 June 2026 prices

Figure 8: China HA Big 3 - historical valuation



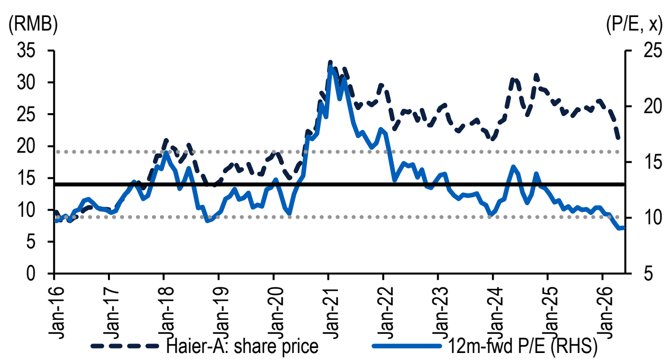
Source: Bloomberg Finance L.P.

Figure 9: Midea-A - historical valuation



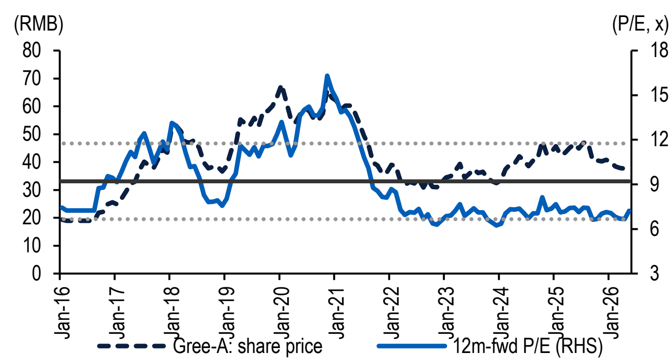
Source: Bloomberg Finance L.P.

Figure 10: Haier-A - historical valuation



Source: Bloomberg Finance L.P.

Figure 11: Gree-A - historical valuation



Source: Bloomberg Finance L.P.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

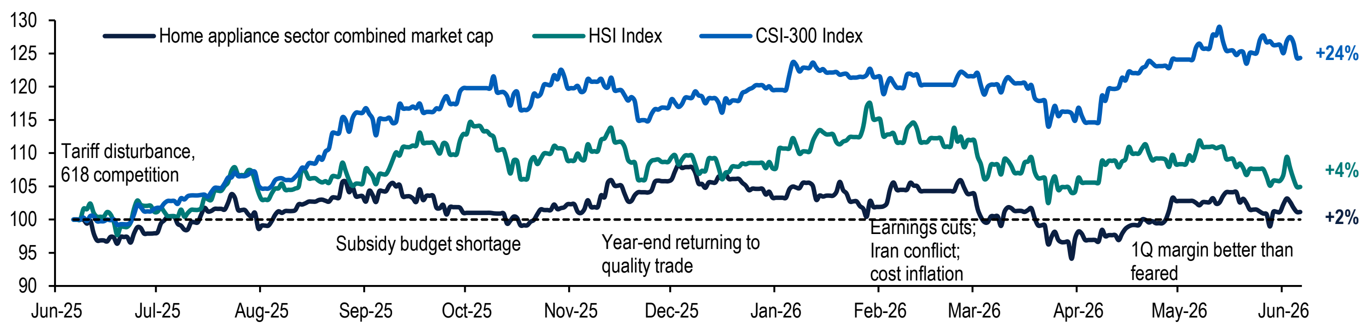
Investment Thesis

A compelling quality-adjusted entry

We believe China's home appliance sector offers an interesting quality-adjusted entry: bottom-quartile P/E against top-quartile ROE and yield vs. CSI-300/HSI. Sector share prices (measured by aggregate market cap of stocks under our coverage) were roughly flattish in the past 12 months, vs. up 4%/24% for the HSI Index/CSI-300 Index, which largely priced in the near-term headwinds (subsidy cliff, cost hikes, tariffs), in our view.

Figure 12: Home appliance sector stocks under JPM coverage - share price performance vs China/HK index

Indexed to Jun 5, 2026 = 100



Source: Bloomberg Finance L.P. (price as of June 5, 2026). Note: Past performance is not an indicator of future results

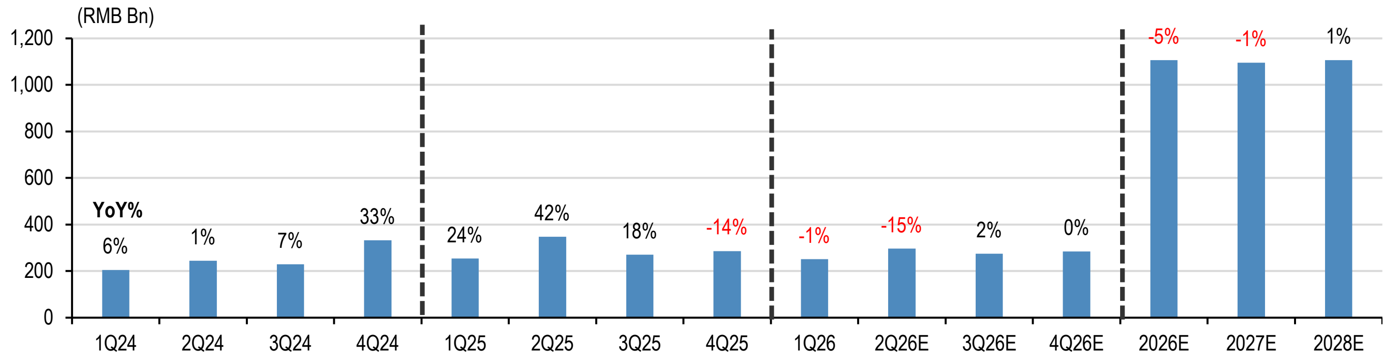
China: low-growth, high-cash-return; subsidy fades, but no cliff

The initial subsidy wave pulled forward the most motivated replacement buyers. As the subsidy program continues through 2026, the pull-forward effect will continue but will be far less effective than it was previously. The market outlook by AVC (the industry think tank) is widely discussed in the industry, and we also agree - market demand will decline by MHSD in 2026 and we call it a soft landing. The market has some expectation of subsidy extension into 2027, while we believe that with or without subsidy, the 2027 market will decline in the range of single digits - a significant double-digit cliff is unlikely.

China market is now a low-growth, high-cash-return market, with the Big 3 controlling ~60% share and the core profit pool. It is still attractive as a cash engine, and the the bigger question is whether leaders can defend margins, sustain cash generation and redeploy that cash into higher-growth adjacencies.

2Q26 is the clearing event—the quarter when tough sales comps collide with the onset of petrochemical cost inflation. We view this as a clearing event, not the start of something worse. After 2Q26, sales comps ease and cost pressure is unlikely to accelerate significantly. The Big 3 have demonstrated that pass-through works, reporting stable YoY gross margins in 1Q26. A repeat in 2Q26 would suggest the earnings floor and clear sentiment into 2H26 and beyond.

Figure 13: China home appliances: Retail sales and YoY growth



Source: National Bureau of Statistics, J.P. Morgan estimates

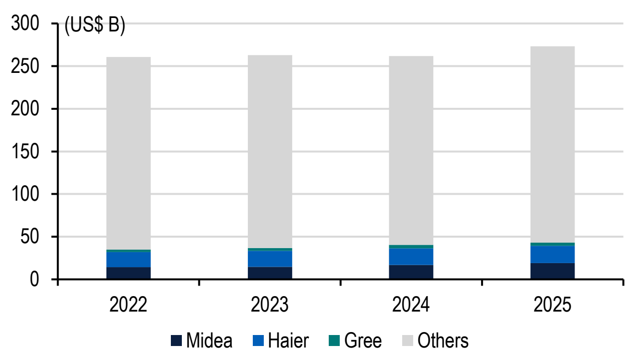
Overseas: a share gain story; the mid-term growth driver

China's Big 3 still earn over half their revenue at home, yet China represents less than a quarter of the global TAM. Based on our estimated Rmb2trn addressable market for consumer home appliances, we estimate the Big 3 hold a combined 16% market share overseas today—even smaller excluding OEM - versus 60%+ combined share in China. We are not assuming they will replicate 60% share overseas, but the comparison alone illustrates the white space available. Critically, the cost advantage of the Big 3 against overseas players has been reinforced in a world of greater trade frictions, which should accelerate their global share gains. We forecast an overseas revenue CAGR of 11%/9%/7% for Midea/Haier/Gree respectively over FY26-28E, more than offsetting their flattish China B2C trajectories.

See also the latest JPM research notes on LG Electronics (covered by Jay Kwon), Electrolux (covered by Akash Gupta), and Whirlpool (covered by Michael Rehaut)

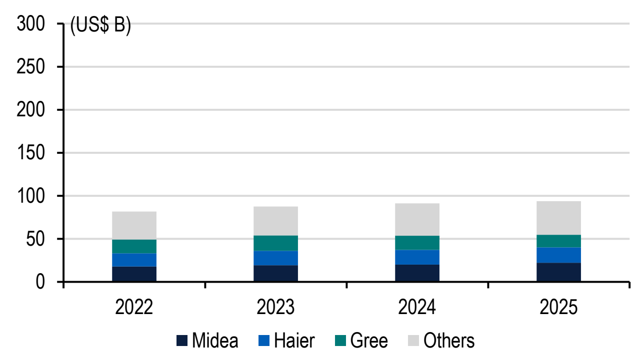
On a less pivotal but relevant near-term point, the overseas inventory cycle remains supportive for OEM volumes. US wholesaler inventory-to-sales ratios sit near decade-lows, and tariff disruption in 2025 created a low base that sets up easy revenue comparisons from here. In Europe, German factory new orders for appliances have continued to grow, indicating the restocking phase is intact.

Figure 14: Global (ex-China) home appliance market size and revenue by brand



Source: Euromonitor, Company data

Figure 15: China home appliance market size and revenue by brand



Source: Euromonitor, Company data

B2B: long-term growth and valuation re-rating driver

See also the latest JPM research notes on Siemens (covered by Phil Buller), Hitachi (covered by Junya Ayada) and

It is instructive that global industrial conglomerates—Siemens, Hitachi, Carrier, Daikin—all started with industrial businesses, expanded into consumer home appliances during the post-WWII economic boom, and later scaled back or divested consumer

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Panasonic (covered by Junya Ayada).

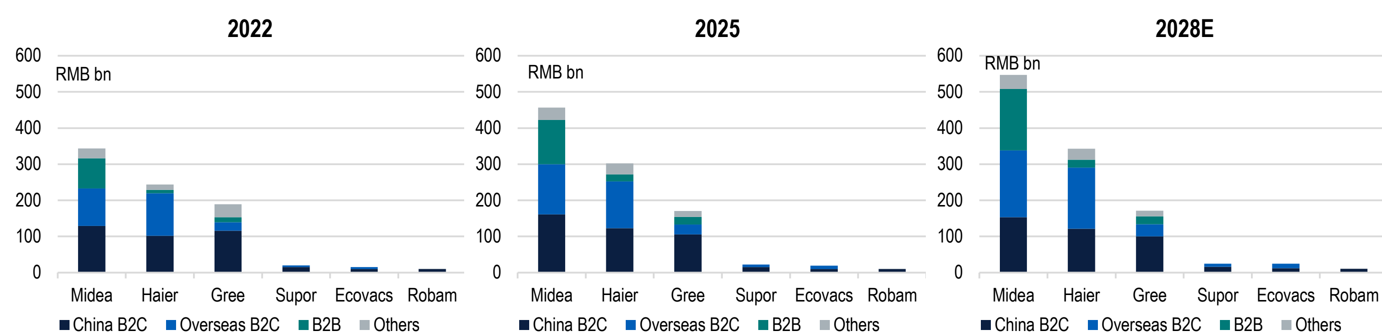
operations as growth matured, refocusing on higher-value-add commercial and industrial technology (power & energy, C&I HVAC, automation, healthcare). We see China's Big 3 on a similar upgrade path, with C&I HVAC as the most natural first step in the B2B journey.

We estimate the global C&I HVAC market at approximately Rmb1.2trn—half the size of the global consumer home appliance market—yet China's Big 3 hold only ~5% combined share. The major growth opportunities are not coming from China central AC (weak, property-linked demand) or the US market (policy-protected and US-brand-centric). Rather, they emerge from several structural demand pockets: (1) China's data center liquid cooling (an early-stage market with ~Rmb15bn TAM in 2025, growing in tandem with rising chipset power density and energy storage deployment); (2) emerging-market HVAC (mainly Southeast Asia, LatAm and the Middle East, where real estate investment is more resilient and Chinese brands can leverage cost advantages); and (3) European heat pumps (driven by the clean heating transition under the REPowerEU Plan). These segments currently lack a clear market leader, and the Big 3 possess both the underlying technology from their legacy home appliance businesses and the cost advantage from vertical integration to compete effectively.

Midea targets Rmb70bn revenue and Rmb10bn net profit for C&I HVAC by 2030E, implying ~15%/20% revenue/profit CAGR over 2025-30E. Haier's current C&I HVAC revenue amounts to ~Rmb10bn, and it is creating a dedicated HVAC business group by restructuring its AC and heating divisions to penetrate this market more aggressively.

Midea is the pioneer within our coverage in scaling the B2B segment. B2B accounted for 27% of group revenue in FY25, yet the stock trades at a P/E fully in line with its own history—implying the market assigns minimal value to the B2B optionality. To be clear, this is not a near-term catalyst; it will take years for B2B to reach the critical mass that drives re-rating. But it is the structural differentiator that no other name in our coverage offers, and over time it justifies a meaningfully wider multiple premium versus peers.

Figure 16: China home appliance companies - revenue structure



Source: Company data, J.P. Morgan estimates.

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Our earnings estimates vs. consensus

Table 3: JPM estimates vs. consensus estimates (2026E)

	Midea			Haier			Gree		
	JPMe	Cons	Diff.	JPMe	Cons	Diff.	JPMe	Cons	Diff.
Revenue	482,667	485,840	-1%	314,557	314,412	0%	174,669	178,042	-2%
YoY%	5.7%	6.4%		4.0%	4.0%		2.5%	4.5%	
GP margin	26.0%	26.5%		26.2%	26.8%		29.3%	29.6%	
YoY%pt	-0.4%	0.1%		-0.4%	0.1%		-0.5%	-0.2%	
Net profit	46,264	46,922	-1%	20,352	20,613	-1%	29,106	29,898	-3%
YoY%	5.3%	6.8%		4.1%	5.4%		0.4%	3.1%	
Net margin	9.6%	9.7%		6.5%	6.6%		16.7%	16.8%	
YoY%pt	0.0%	0.0%		0.0%	0.1%		-0.4%	-0.2%	
	Ecovacs			Supor			Robam		
	JPMe	Cons	Diff.	JPMe	Cons	Diff.	JPMe	Cons	Diff.
Revenue	21,999	22,073	0%	23,499	23,596	0%	10,382	10,515	-1%
YoY%	15.5%	15.9%		3.2%	3.6%		2.6%	3.9%	
GP margin	47.6%	49.1%		25.1%	24.8%		50.4%	50.2%	
YoY%pt	-1.2%	0.3%		0.2%	0.0%		0.2%	0.0%	
Net profit	1,766	2,118	-17%	2,199	2,234	-2%	1,379	1,389	-1%
YoY%	0.4%	20.5%		4.9%	6.5%		9.8%	10.6%	
Net margin	8.0%	9.6%		9.4%	9.5%		13.3%	13.2%	
YoY%pt	-1.2%	0.4%		0.1%	0.3%		0.9%	0.8%	

Source: J.P. Morgan estimates. Bloomberg Finance L.P.

Table 4: JPM estimates vs. consensus estimates (2027E)

	Midea			Haier			Gree		
	JPMe	Cons	Diff.	JPMe	Cons	Diff.	JPMe	Cons	Diff.
Revenue	512,972	518,948	-1%	328,307	330,572	-1%	171,545	184,628	-7%
YoY%	6.3%	6.6%		4.4%	5.1%		-1.8%	3.7%	
GP margin	26.3%	26.7%		26.5%	26.9%		29.6%	29.7%	
YoY%pt	0.2%	0.1%		0.3%	0.2%		0.2%	0.1%	
Net profit	50,332	50,832	-1%	22,135	22,461	-1%	28,555	31,199	-8%
YoY%	8.8%	8.4%		8.8%	9.0%		-1.9%	4.4%	
Net margin	9.8%	9.8%		6.7%	6.8%		16.6%	16.9%	
YoY%pt	0.2%	0.2%		0.3%	0.2%		0.0%	0.1%	
	Ecovacs			Supor			Robam		
	JPMe	Cons	Diff.	JPMe	Cons	Diff.	JPMe	Cons	Diff.
Revenue	23,349	25,331	-8%	24,277	24,648	-2%	10,428	10,919	-5%
YoY%	6.1%	14.8%		3.3%	4.5%		0.4%	3.8%	
GP margin	47.0%	49.3%		25.1%	24.9%		50.6%	50.5%	
YoY%pt	-0.6%	0.1%		0.0%	0.1%		0.2%	0.3%	
Net profit	1,938	2,506	-23%	2,303	2,387	-3%	1,375	1,479	-7%
YoY%	9.8%	18.3%		4.8%	6.8%		-0.2%	6.5%	
Net margin	8.3%	9.9%		9.5%	9.7%		13.2%	13.5%	
YoY%pt	0.3%	0.3%		0.1%	0.2%		-0.1%	0.3%	

Source: J.P. Morgan estimates. Bloomberg Finance L.P.

Key Risks

Margin pressure due to weaker-than-expected cost pass-through

Cost inflation remains the most immediate sector risk. Our base case assumes leaders can offset most of the pressure through selective ASP hikes, supplier negotiations, hedging, mix upgrades, and internal efficiency gains. If pricing actions prove harder than expected, 2Q26 gross margins could fall more sharply than our modeled 0.5–1.0ppt decline for the Big 3, leading to earnings downside and a weaker re-rating setup.

Potential European tariff on China home appliance products

Current EU tariff rates on Chinese home appliance and HVAC products are low, but rising trade tensions and broader efforts to protect local manufacturing could lead to more restrictive measures. If white goods are treated as “embedded steel/aluminum” or if heat pumps and commercial chillers are viewed as strategically sensitive green-industrial products by the EU regulators, tariff risk could increase. Companies with localized production - such as Midea’s Clivet facility in Italy and Haier’s manufacturing hub in Turkey - would be better positioned, but any EU tariff action would still weigh on sentiment and overseas margin assumptions.

FX risk

Midea, Haier, Ecovacs and Supor derive 30-50% of their revenues from overseas markets (where most revenues are denominated in USD), while 20-100% of their overseas sales are supported by production in China. This revenue-cost mismatch creates FX risk: when RMB appreciates against the USD, overseas orders reduce revenues and earnings in RMB. If we assume no FX hedging, our sensitivity analysis indicates every 1% RMB appreciation against the USD would lead to a 2-4% net profit impact to Midea, Haier, Ecovacs and Supor (vs. minimal impact to Gree and Robam given little exposure to overseas), although actual could be meaningfully lower given various hedging strategies adopted by these companies. Manufacturing bases in emerging markets (such as Mexico and Egypt) that supply developed markets (US and EU) also expose companies to FX risk of other emerging market currencies, which is mainly relevant to Haier and Midea.

B2B execution risk

This is not a risk that leads to an instant earnings decline, but a chronic risk that may compound over the years. Commercial HVAC, liquid cooling, heat pumps, robotics, energy storage, and automation all require different capabilities from traditional consumer appliances, including project execution, engineering customization, service networks, and B2B brand credibility. If B2B revenue scales without margin improvement, the market may continue to value the sector primarily as mature home appliances rather than industrial technology.

Domestic demand could soften more than expected if subsidy support fades

We forecast a manageable slowdown rather than a sharp cliff, with the China home appliance market declining in the low-to-mid single digits as subsidy-driven pull-forward demand fades. However, if subsidy funding is not extended into 2027, or if consumers brought forward more replacement demand than we estimate, domestic retail sales could decline more sharply. This would be more negative for companies with high China exposure and limited overseas or B2B offsets.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Five key debates

We reviewed the key debates raised by investors in recent company meetings, including at our China Summit, and identified the top five issues investors are most focused on in this sector, ranked by the volume of questions asked.

The pattern was clear: investors remain focused on near-term pressures because company messaging has yet to provide clear, consistent answers. Can brands pass through petrochemical cost inflation? When does China demand bottom, and will competition intensify? Can overseas growth withstand geopolitical disruption? Individual companies have varying degrees of self-help, but for the industry as a whole, the answers remain uncertain.

Only after these near-term debates comes the B2B transition, which we view as the key determinant of long-term winners. We expect investors to pay increasing attention to this theme once they gain confidence that the sector's near-term fundamental floor has been established.

Debate #1. How much cost inflation can brands pass through?

The key debate

The market is debating whether cost inflation will pressure margins, and how much can be offset through price hikes, mix upgrades, hedging, supplier negotiations and internal efficiency gains. A related topic is where pricing actions are easier to implement - domestic vs overseas and by different product categories.

How much is the cost inflation

For large home appliance companies, about 30% of COGS is exposed to direct commodities, namely copper, petrochemicals, steel, and aluminum, based on our analysis (Figure 16). Based on this, our proprietary cost index (Figure 9) suggests the cost pressure builds from 0% YoY inflation in 4Q25, to 4% in 1Q26, and 12% in 2Q26-to-date. The first wave (1Q26) was copper-driven; the second wave (2Q-3Q26) is petrochemical-driven, with spot prices now 50% above the 2025 average.

What the market expects

Companies generally indicate "offset cost pressures" or "maintain largely stable GP margins". In 1Q26, Midea, Haier, and Gree all maintained stable gross margins YoY through cost-sharing with suppliers and downstream price increases, with hedging as a complement. As for the more challenging second-wave cost inflation, companies indicated a stronger desire to hike ASP, but there will be nuances in where pricing actions will be easier to implement: 1) pricing actions appear easier overseas than domestically; 2) within product categories, washing machines and premium products look easier to reprice, while AC and refrigerators are mixed. Our conversations with investors indicate that the buy-side is generally more skeptical about the cost pass-through capability.

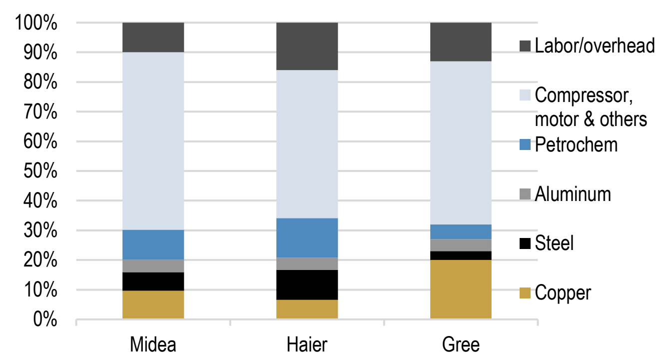
Our take

Assuming three months of raw material inventory, petrochemical inflation has hit P&Ls since May and is much more challenging as suggested by our proprietary cost index. We

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

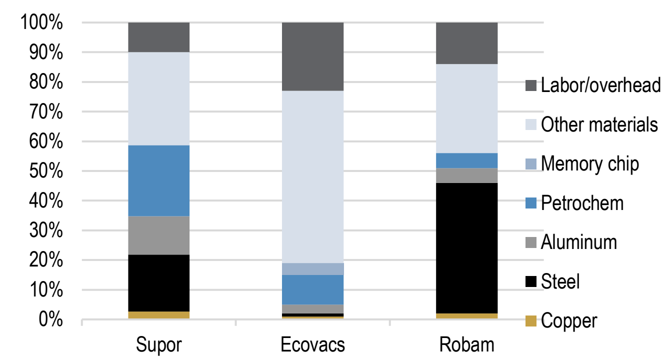
generally agree with what mangemernt indicated and we think they should be able to pass on most of the pressure successfully. We lay out our cost pass-through calculations in Table 5. We model the Big 3's GP margins to go down by 0.5-1ppt in 2Q/3Q26E. Our full-year earnings estimates for the Big 3 are generally in line with sell-side consensus. If companies can successfully deliver a relatively stable margin in 2Q26 as what we and consensus assume, then the market sentiment would become more optimistic.

Figure 17: CoGS structure - Midea, Haier and Gree (FY25, B2C only)



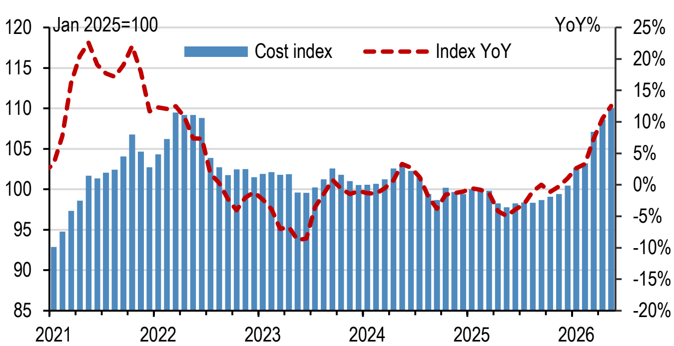
Source: J.P. Morgan estimates

Figure 18: CoGS structure - Robam, Supor and Ecovacs (FY25)



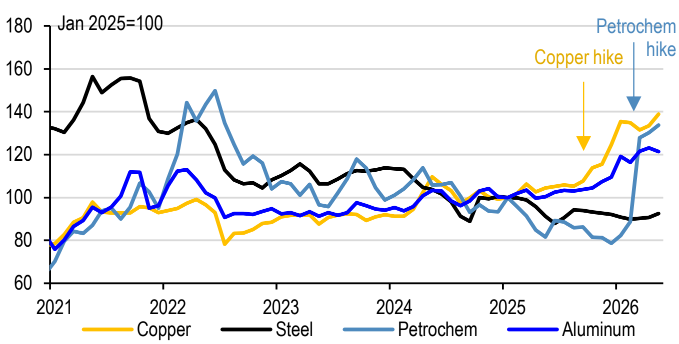
Source: J.P. Morgan estimates

Figure 19: Home appliance manufacturer cost index



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 20: Cost trend by raw material



Source: Bloomberg Finance L.P.

Table 5: How companies could offset cost inflation - an illustrative analysis

Key assumptions: (1) Before cost inflation, Revenue = 1,000, GP margin =30%, commodity account for 85% of COGS
(2) Commodity inflation of 12% for full year 2026, assuming prices to remain at current level for the rest of the year
(3) ASP hike of 2%, in line with company comment that "pricing actions typically cover 20-30% of commodity inflation"
(4) Supplier negotiation and internal efficiency gains to offset 50%/20% of commodity inflation

	Before	Commodity inflation	Supplier negotiation / hedging	Efficiency gain	ASP hike	Total change	After
Revenue	**1,000**				**20**	**20**	**1,020**
COGS	**(700)**	**(71)**	**36**	**14**		**(21)**	**(721)**
- Commodity	(595)	(71)	36	14		(21)	(616)
- Overhead	(105)					-	(105)
Gross profit	**300**	**(71)**	**36**	**14**	**20**	**(1)**	**299**
Gross margin	30.0%						29.3%
Cost pass-through			**50%**	**20%**	**28%**		

Source: J.P. Morgan estimates

Debate #2. What's the impact of subsidy cliff and when will demand bottom in China?

The key debate

The key debate is whether trade-in subsidies can still drive incremental demand from here - even if extended into 2027. The investors are trying to identify the summer trading trend, which is a mixed picture due to different companies' sell-in/sell-through dynamics.

How significant is the subsidy, then and now

At the peak seasons (4Q24 and 2Q25), the trade-in subsidy covered 60% of China's total home appliance retail sales, offering consumers a 15-20% discount with funding from the central government (Figure 21). Some of that is pull-forward demand (i.e. consumers replacing old appliances earlier than planned), and we loosely estimate that the pull-forward demand was about 30% of retail sales. The trade-in subsidy will continue throughout 2026 and the pull-forward effect will continue, but it will be far less effective than it was previously, by our estimate.

What the market expects

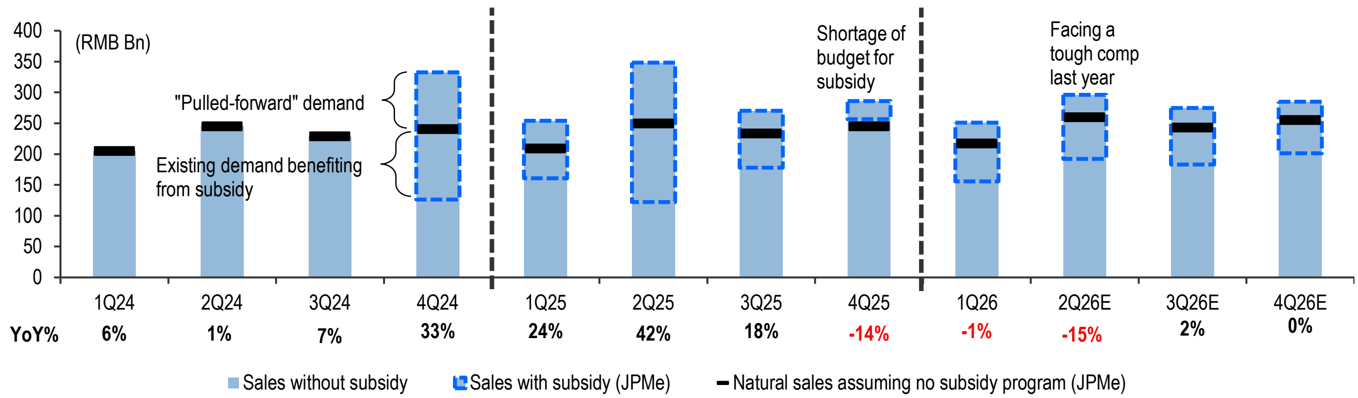
Based on our conversations with companies, we don't think they have a consistently optimistic message on the subsidy effect. The market outlook by AVC (the industry think tank) is widely discussed by the companies and the investors, and we also agree - China home appliance market sales will decline by MHSD in 2026, a weak environment, but a soft landing (not a DD drop).

Our take

2Q26 to face the toughest comp. We believe 2Q26 will see the retail sales YoY trough (due to the high base consistently shown in the data from NBS, AVC and ChinaIOL), while 3Q-4Q26 should be more manageable (as this year's budget will be evenly distributed, while last year's budget was skewed towards 1H25).

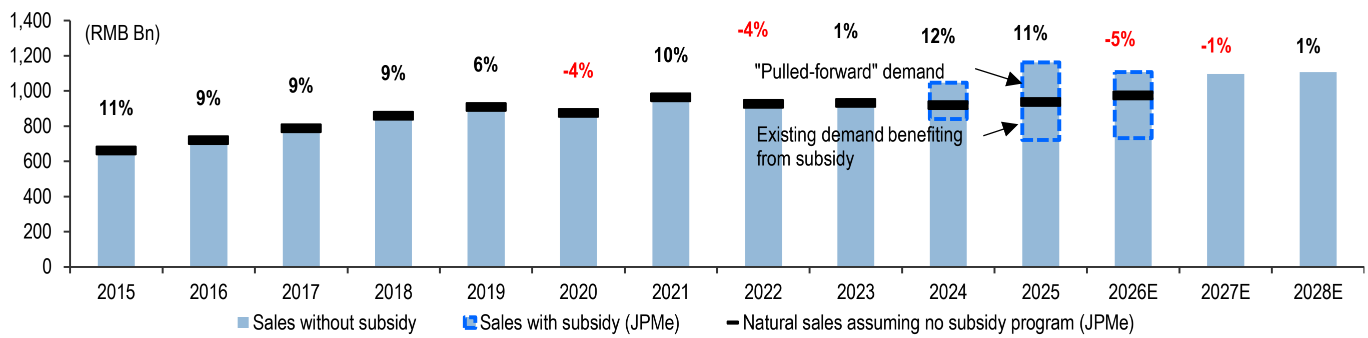
2027-28 to see relatively flattish industry sales. While the subsequent years will have to compensate for the demand pulled forward by the subsidy, we don't think there will be a dramatic sales decline anyway, because the incremental lift this year is visibly fading - consumers who were going to act on the subsidy have acted. Our base case forecasts industry sales to decline 2% in 2027 and decline 1% in 2028, assuming no subsidy. Subsidy extension to 2027 will be good news for the industry, but the incremental drive will be even less visible than this year, in our view.

Figure 21: Retail home appliance sales in China (2024-2026E)



Pull-forward demand = realized retail sales (as reported by NBS) - natural sales assuming no subsidy program (following historical average growth of 2% p.a.)
Source: National Bureau of Statistics, China Department of Commerce, J.P. Morgan estimates

Figure 22: Retail home appliance sales in China (2015-2028E)



Source: National Bureau of Statistics, China Department of Commerce, J.P. Morgan estimate

Debate #3. Is overseas still the growth engine despite geopolitical disruptions?

The key debate

Investors are assessing whether overseas growth is still driven by share gains, mix improvement and regional expansion. A related topic is how local is local enough - how much production needs to move offshore to manage tariffs vs. preserving China's manufacturing efficiency advantage.

What the market expects

Our conversations with the companies don't indicate a consistent near-term picture across the regional markets, but all of them remain optimistic and committed to driving long-term overseas OBM share gains. We feel the market has a lower confidence level on overseas sales trend given base effects, weather, inventory cycles, and geopolitical disruptions.

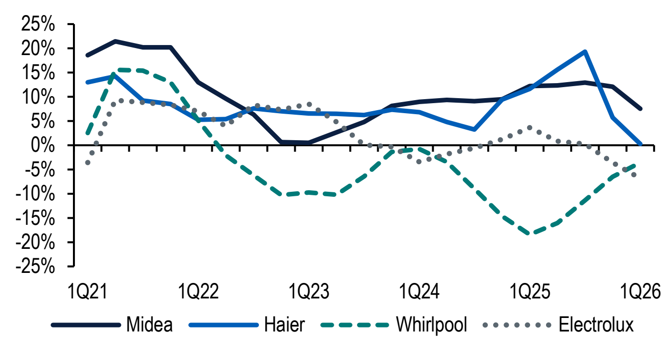
Our take

While near-term trends matter, there is a more important structural trend underpinning consistent overseas share gains in the next five years. Overseas white goods players still rely on OEMs across the value chain, from components to finished products, which is in contrast to vertical integration by the Chinese players. As global trade becomes increasingly frictional, many overseas players are financially constrained by the rising inefficiency in their supply chains (Figure 24). With thin net margins (~2%), cost inflation can quickly wipe out their profitability. This may force them to raise prices at a faster pace than Chinese peers to remain financially sound. Chinese players, by contrast, have greater flexibility - they can either raise prices to capture incremental profit or engage in a "chicken game" to gain market share. We believe the outcome is likely to be a combination of both.

US tariff well-expected, EU tariff could be a downside risk

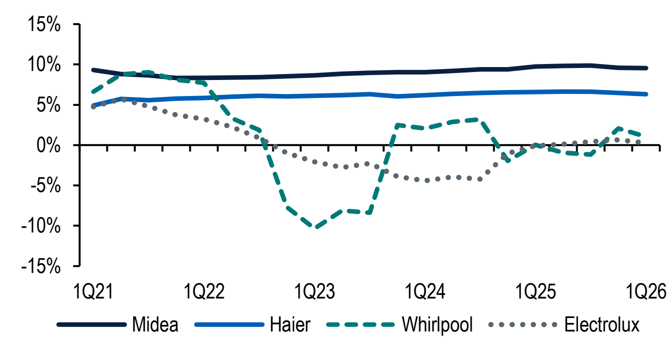
US tariffs have stabilized (at around 50%) and there only remains quarterly fluctuation driven by base effect. US profit margins for Chinese players (especially for their OBM business) will continue to face a tough margin comp base in 2Q26; but after 2Q26, we expect tariff rates will be YoY lower and the margin comp base will become easier (Figure 26). The new Section 301 tariff (currently at the stage of preliminary determinations) mostly acts as a replacement for the Section 122 tariff (expiring end-July) and doesn't raise tariff rate significantly for mature technologies like HVAC and white goods. However, downside risk could come from a European tariff hike, which is not in our base case. See our Key Risks section.

Figure 23: Revenue (12 month rolling) growth YoY - Midea, Haier, Whirlpool and Electrolux



Source: Bloomberg Finance L.P.

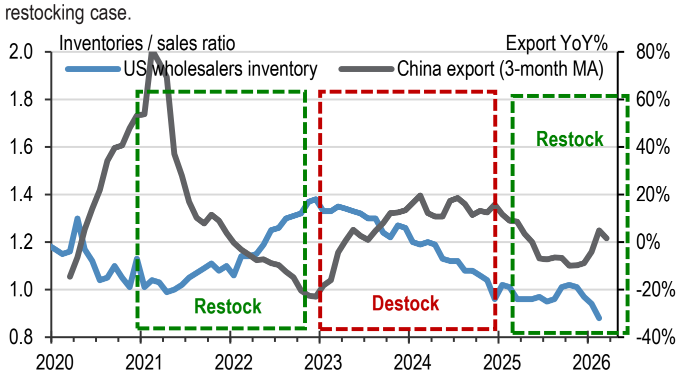
Figure 24: Net margin (12 month rolling) - Midea, Haier, Whirlpool and Electrolux



Source: Bloomberg Finance L.P.

Figure 25: US inventory/sales ratio vs China export growth

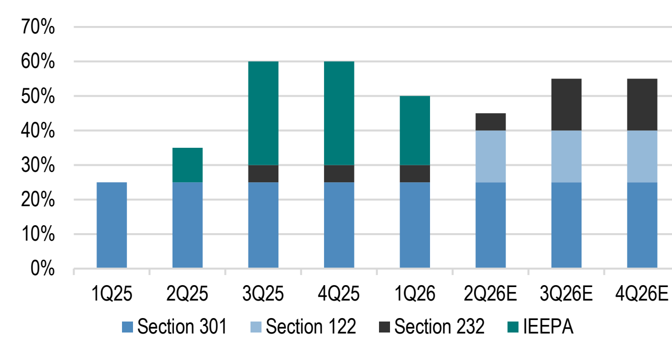
The historical low inventory/sales ratio in US home appliance market supports the US restocking case.



Source: US Census Bureau, China Custom

Figure 26: US tariff rate on home appliances imported from China

Lagging official tariff rates by one quarter, due to the typical inventory cycle for companies



Source: US government announcements, J.P. Morgan estimate

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Debate #4. What's the implication of competition from new entrants like Xiaomi and Dreame?

The key debate

Investors are debating whether Xiaomi and Dreame are structurally taking domestic share from traditional producers or merely gaining traction in niche categories. This question is closely tied to the cost inflation debate: in a more competitive market, can incumbent brands pass through rising costs without sacrificing volume or share?

How successful are the new entrants?

Xiaomi's online AC share in China rose from 6% (end-2023) to 15% (mid-2025) before normalizing to 9% in 1Q26—a pattern of promotional spikes followed by partial normalization that suggests a persistent competitor rather than a one-off disruptor. Xiaomi's advantages include traffic acquisition, ecosystem connectivity, and aggressive pricing—though current pricing suggests it may not yet be profitable in AC. Its decision to build its own AC factory signals long-term commitment.

Dreame is mainly a disruptor in smart robotics. Its China robot vacuum share rose rapidly from ~5% (Aug 2025) to 15% (Mar 2026), mainly through price cuts that listed peers cannot match due to profitability concerns.

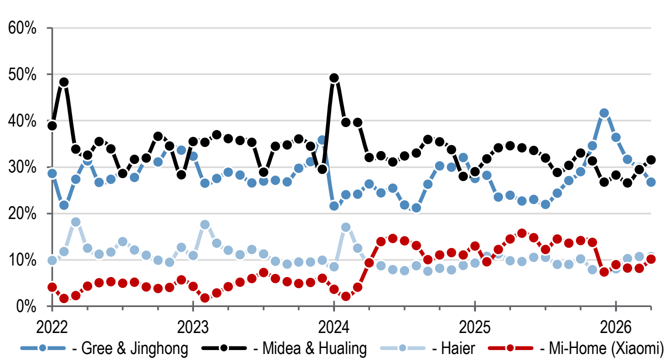
What the market expects

Companies generally indicate that the incremental threat from Xiaomi is less intense this year than last, likely because Xiaomi has an incentive to preserve profits to fund investments in other major businesses. On the flipside, we sense no clear optimism among investors that competition will certainly be less intense this summer, with Gree's pricing strategy a key uncertainty.

Our take

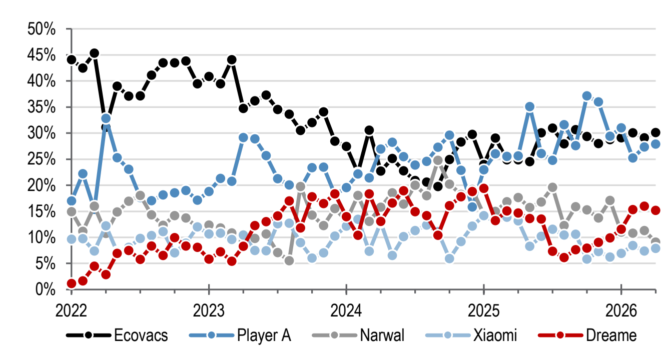
With softening China demand now widely recognized by industry participants, domestic market share is effectively a zero-sum game. In this environment, we think leaders will be reluctant to initiate a broad-based price war, as any share gains would likely come at the expense of sector-wide margin pressure, especially amid cost inflation. That said, tactical responses - through promotions, sub-brands or channel-specific pricing - are still likely where share defense is needed.

Figure 27: China AC market share in the online channel



Source: AVC data

Figure 28: China robot vacuum market share in the online channel



Source: AVC data

Debate #5. Second growth curves: are these real profit pools?

The key debate

Investors showed strong interest in whether commercial HVAC, liquid cooling, heat pumps, robotics, energy storage and other B2B extensions can create a second growth curve beyond mature consumer appliances. The core debate is not just TAM, but timing - when will these businesses contribute visible revenue and margin uplift.

What the companies communicate to the market

Companies point to broad B2B opportunities, but the most credible areas are those adjacent to existing technology, manufacturing and channel capabilities. Midea has the clearest disclosed ambition, targeting Rmb70bn building technology revenue and Rmb10bn profit by 2030, alongside a Rmb50bn revenue target for new energy. Within building technology, management highlights data center liquid cooling, European heat pumps and commercial HVAC as the key growth pockets, while noting that timing remains uncertain because many businesses are still early-stage. Some segments already show encouraging profitability, with Midea's Building Technology achieving low-teens operating margin in 2025 and Haier's commercial AC business delivering a 13–14% margin.

Our take

We think B2B is becoming a much more important strategic focus for the leading companies, especially Midea. Over the past 5–10 years, these companies have accumulated the assets, technology, distribution channels and operating know-how needed to pursue B2B at greater scale. The opportunity is real, but the re-rating will require more than TAM narratives: investors need clearer evidence that these businesses can reach critical mass, sustain decent margins and become meaningful profit pools.

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Table 6: Midea - Summary of key M&A in the past 10 years

Year	Midea Segment Mapping	Company acquired	Consideration (USD bn)	Main Product Lines	Main Operating Countries	What It Brought to Midea
2016	Smart Home	Toshiba Lifestyle (Japan)	0.5	White goods and small kitchen appliances	Japan, Southeast Asia	**IP** (5k patents), **brand license** (40-yr global Toshiba appliance brand), **distribution network** (Japan and SEA), **talents** (Japanese product engineering)
2016	Building Technologies	Clivet (Italy)	0.1	Commercial and industrial HVAC such as chillers, heat pumps and air-handling units	Europe	**Technology** (commercial HVAC/heat pump), **production facility** (Italy), **distribution network** (EU building systems), **talents** (HVAC engineers)
2016	Robotics & Automation (as the cornerstone)	KUKA (Germany)	5.8	Industrial robots, factory automation, logistics automation	Germany, USA, China, Central/Eastern Europe	**Tech/IP** (robotics & automation core tech), **talents** (German engineering/R&D), **customer network** (global auto & industrial customers), **production facilities** (Europe and US)
2017	Robotics & Automation, Industrial Technology	Servotronix (Israel)	0.2	Servo motors, drives, controllers	Israel	**Tech/IP** (core components), **talents** (Israeli R&D team)
2019	Smart Home	Little Swan (China)	2.1	Laundry appliances	China	**Production facility** and **brand**
2020	Building Technologies	Winone (China)	undisclosed	Elevators	China	Production facility, technology, customer network
2020	Industrial Technology	Hiconics (China)	0.1	Industrial frequency converters/drives, Energy storage system	China	**Technology** (power electronics), **production facility**, **customer network**
2021	Others / Healthcare (as the cornerstone)	Wandong Medical (China)	0.3	Medical imaging - X-ray, DR, MRI, diagnostics	China	**Tech/IP** (imaging), **production facility**, **customer network** (hospitals)
2023	Industrial Technology	Clou Electronics (China)	0.7	Energy storage system	China	**Tech/IP** (energy storage & grid), **production facility**, **customer network**
2025	Smart Home	Teka Group (Spain)	undisclosed	Kitchen appliances	Europe (Russia excluded) and Latin America	**Brand**, **distribution network** (EU and LatAm), **production facilities** (Europe)
2025	Building Technologies	Arbonia Climate (Switzerland)	1.0	Heat pumps, radiators, ventilation, air treatment systems	Europe	**Tech/IP** (heat pump), **production facilities** (Europe), **distribution network** (EU building channels), brands & talents
2025	Building Technologies	Toshiba Elevator China	undisclosed	Elevators	China	Tech/IP, brand, production facility and customer network
2026	Others / Healthcare	Esaote (Italy)	undisclosed	Medical diagnostic imaging	Europe, US and China	**Tech/IP** (ultrasound imaging), **production facility**, **customer network** (hospitals)

Source: Company data

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Table 7: Haier - Summary of key M&A in the past 10 years

Year	Company acquired	Consideration (USD bn)	Main Product Lines	Main Operating Countries	What It Brought to Haier
2016	GE Appliances (USA)	5.4	Refrigerators, laundry, kitchen, water heaters	North America	Brand (premium GE brand + long-term license), distribution network (dominant US retailer channels), production facilities (US and Mexico)
2018	Fisher & Paykel (NZ)	1.4	Premium kitchen & laundry	ANZ and North America	Brand (premium positioning), distribution network (ANZ and premium global)
2019	Candy Group (Italy)	0.6	Refrigerators, laundry, kitchen, small appliances	Europe including Russia	Brand (multi-brand portfolio), distribution network (Europe), production facilities (Europe)
2024	Carrier Commercial Refrigeration (Europe)	0.6	Supermarket display cabinets, cold-room/refrigeration systems	Mainly Europe	Tech/IP (commercial cooling), production facility (Europe), customer network (food retailers)

Source: Company data

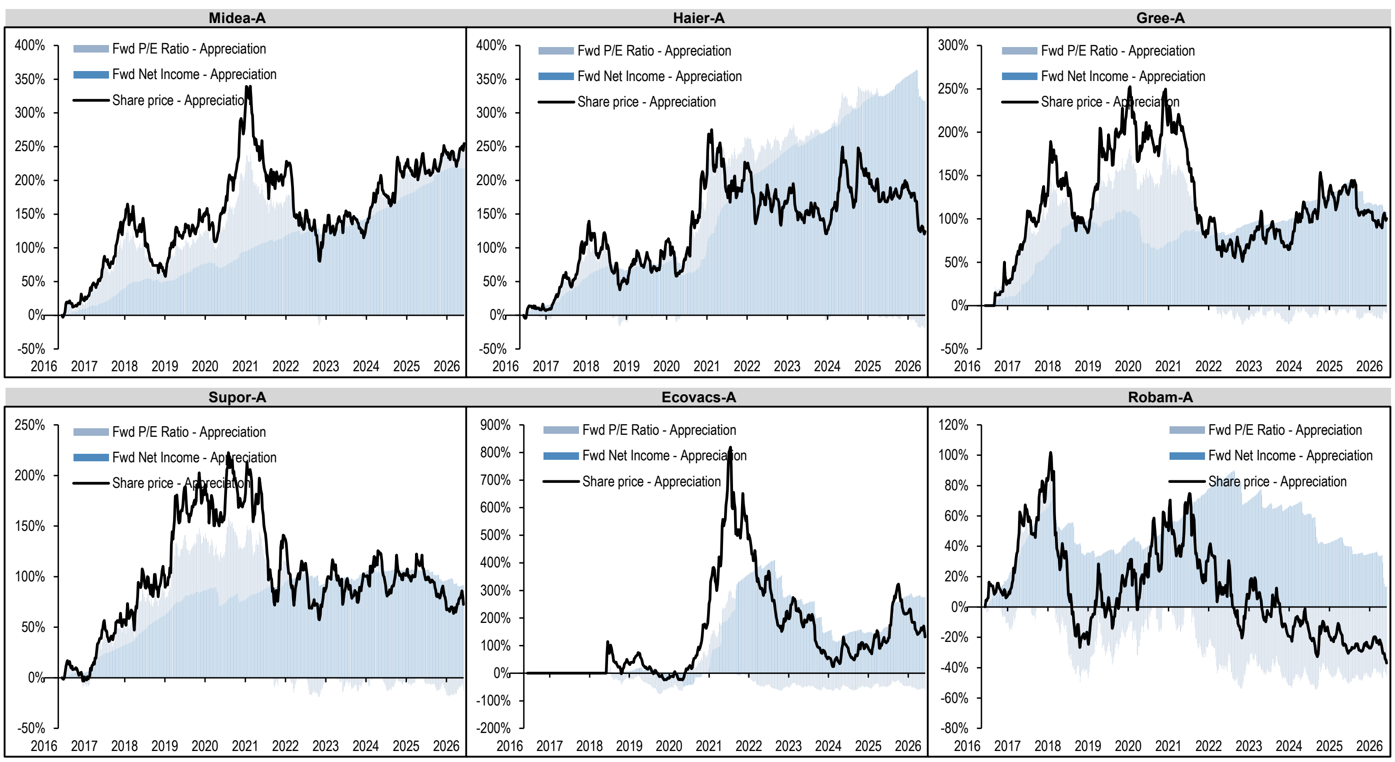
DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Valuation and share price

The long-term view

Over the past decade, valuation trajectories have diverged meaningfully. **Midea** has enjoyed a sustained re-rating, underpinned by consecutive EPS growth for ten years and successful diversification. **Haier**, **Gree**, and **Supor** have seen multiples being stable or declining slightly; their franchises are intact but specific overhangs cap re-rating (US tariff for Haier, domestic share loss for Gree, SEB-dependency for Supor). **Ecovacs** and **Robam** have de-rated structurally, as both were initially valued as growth stories but subsequently saw growth trajectories break.

Figure 29: Share price decomposition into forward P/E ratio and consensus forward EPS estimate



Source: Bloomberg Finance L.P.

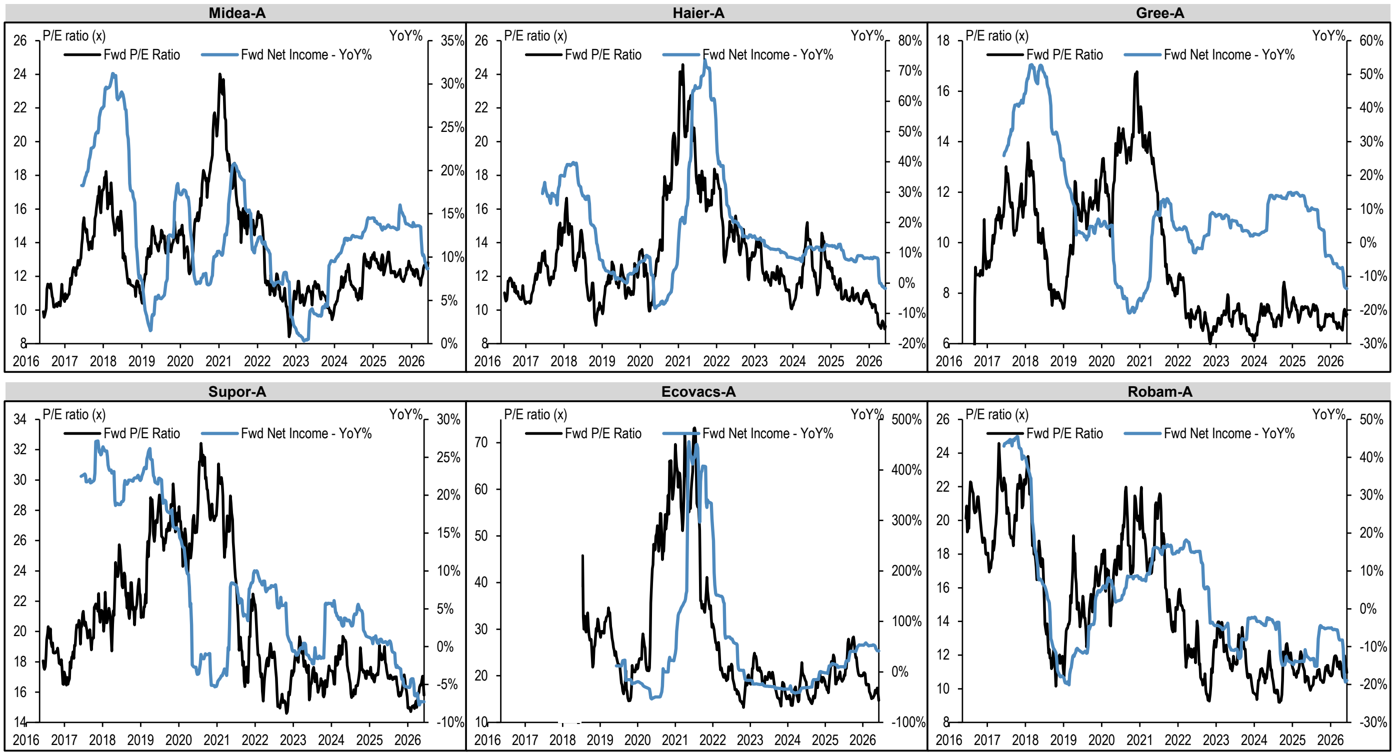
The cyclical view

Overlaid on long-term trends are cyclical swings: re-rating in 2017 (property boom) → de-rating in 2018 (property fade) → re-rating in 2019 (national subsidy expectations) → de-rating in 2022 (cost inflation + Covid lockdowns) → re-rating in 2023 (successful cost pass-through) → re-rating in 2024 (national subsidy program).

We find that the 12-month forward P/E multiple appears to be highly correlated with net profit growth, especially in identifying peaks and troughs (except for the Covid period).

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Figure 30: 12M forward P/E correlation with 12M forward net earnings YoY%



Source: Bloomberg Finance L.P. (forward estimates based on consensus estimation).

The comparative view

Relative to the broader China/HK market, home appliance stocks offer an attractive quality-adjusted valuation. The sector's 2026 P/E ranks in the bottom quartile of CSI-300/HSI constituents, partly due to its lower-mid-range EPS growth, while ROE ranks in the top quartile, and dividend yield ranks near the top. Investors are paying bottom-quartile multiples for top-quartile capital returns and income. See Figure 1

What drives re-rating from here—and why the discount may persist

The current cycle most closely resembles 2022: cost inflation and domestic demand uncertainty are pressuring sentiment, and the sector de-rated before re-rating once pass-through was demonstrated. A stable gross margin in 2Q26 would serve as the near-term catalyst. Beyond 2Q26, sector-wide re-rating catalysts include: El Niño driving hot temperatures and strong AC demand, subsidy extension into 2027, finalization of US 301 investigation with mild incremental tariff on home appliances, and evidence of B2B growth acceleration.

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

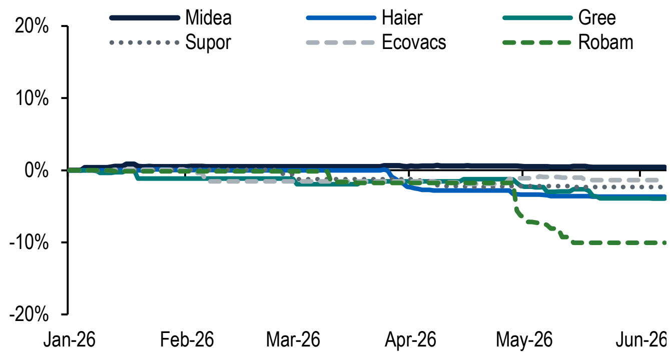
Table 8: Home appliance sector - comparison table

		J.P. Morgan		Price	MktCap	Share perf		P/E (x)			Div yield (%)			ROE	Sales growth (p.a.)				Margins ('26E)		% of sales ('25A)		
Company	**Ticker**	Rating	PT	(local)	($ B)	YTD	12M	'26E	'27E	'28E	'26E	'27E	'28E	'26E	'22-25	'26E	'27E	'28E	GPM	NPM	R&D	S&M	G&A
Chinese Large Appliances																							
Midea - A	000333 CH	OW	105.0	82.1	91.7	5%	9%	13.5	12.4	11.5	5.4%	5.9%	6.4%	21%	10%	5%	6%	7%	26%	10%	4%	9%	4%
Haier - A	600690 CH	OW	25.0	20.0	26.5	(23%)	(20%)	9.2	8.5	7.9	6.1%	6.9%	7.4%	17%	7%	4%	4%	4%	26%	6%	3%	11%	8%
Haier - H	6690 HK	OW	25.0	20.6	26.5	(15%)	(12%)	8.2	7.5	7.0	7.0%	7.9%	8.5%	17%	7%	4%	4%	4%	26%	6%	3%	11%	8%
Gree - A	000651 CH	N	42.0	37.7	31.1	(6%)	(16%)	7.2	7.4	7.3	7.7%	7.8%	7.8%	20%	(3%)	2%	-2%	(0%)	29%	17%	4%	5%	3%
Hisense - H	921 HK	NC	NC	25.0	5.1	8%	(4%)	10.3	9.5	8.7	5.4%	5.9%	6.6%	18%	6%	3%	5%	7%	21%	4%	4%	10%	3%
Robam - A	002508 CH	N	17.0	16.1	2.2	(17%)	(15%)	11.0	11.1	10.4	6.0%	6.0%	6.0%	12%	(1%)	3%	0%	3%	50%	13%	4%	29%	5%
							Weighted average	**11.1**	**10.4**	**9.7**	**6.2%**	**6.7%**	**7.1%**	**20%**	**7%**	**4%**	**4%**	**5%**	**27%**	**10%**	**4%**	**9%**	**4%**
Chinese Small Appliances																							
Supor - A	002032 CH	OW	55.0	42.9	5.1	(3%)	(21%)	15.6	14.9	14.3	6.2%	6.5%	6.8%	35%	4%	3%	3%	3%	25%	9%	2%	11%	2%
Ecovacs - A	603486 CH	UW	47.0	60.4	5.2	(25%)	13%	19.8	18.0	16.9	1.6%	1.7%	1.8%	18%	8%	16%	6%	6%	48%	8%	5%	31%	3%
Bear Electric - A	002959 CH	NC	NC	34.7	0.8	(18%)	(28%)	12.8	11.6	11.0	3.8%	4.3%	4.6%	13%	8%	7%	7%	4%	37%	8%	4%	18%	5%
							Weighted average	**16.5**	**14.7**	**13.7**	**3.1%**	**3.3%**	**3.5%**	**22%**	**16%**	**13%**	**9%**	**8%**	**39%**	**9%**	**5%**	**22%**	**3%**
Global Home Appliances																							
LG Electronics	066570 KS	N	145K	240.3K	25.9	161%	230%	17.7	14.4	10.6	0.7%	0.8%	1.0%	8%	2%	6%	5%	5%	24%	2%	3%	14%	
LG India	LGEL IN	OW	1,620	1,513	10.7	(1%)	N.A.	49.6	36.4	31.5	0.8%	0.8%	1.0%	27%	N.A.	9%	15%	12%	28%	8%	N.A.	N.A.	N.A.
Whirlpool	WHR US	N	52.0	39.6	2.6	(45%)	(53%)	14.7	7.9	6.3	3.6%	4.6%	0.0%	5%	(8%)	(4%)	4%	4%	15%	1%		11%	
Electrolux	ELUXB SS	N	29.7	33.0	2.0	(6%)	(2%)	N.A.	7.3	5.2	3.3%	4.5%	5.4%	1%	(1%)	(1%)	4%	3%	16%	(0%)	N.A.	11%	4%
Shark Ninja	SN US	OW	146.0	118.3	16.7	6%	35%	19.1	16.7	14.8	1.5%	2.4%	3.4%	28%	20%	13%	11%	10%	49%	12%	6%	23%	6%
A.O. Smith	AOS US	UW	60.0	57.3	7.9	(14%)	(12%)	15.1	14.0	12.5	2.5%	2.6%	2.7%	27%	1%	2%	4%	4%	39%	13%		20%	
Rinnai	5947 JP	NC	NC	3,580	3.2	(10%)	(2%)	15.5	13.8	12.9	2.8%	3.0%	3.1%	8%	3%	4%	7%	2%	34%	7%		24%	
							Weighted average	**22.0**	**17.9**	**14.9**	**1.4%**	**1.7%**	**2.0%**	**18%**	**6%**	**7%**	**8%**	**7%**	**32%**	**7%**			
Global HVAC																							
Trane	TT US	NC	NC	458.9	101.4	18%	7%	30.6	27.0	23.9	0.9%	0.9%	1.0%	36%	10%	10%	8%	8%	36%	14%		18%	
Johnson Control	JCI US	NC	NC	144.1	87.9	20%	39%	28.5	24.7	21.8	1.1%	1.2%	1.3%	22%	(2%)	9%	7%	6%	38%	12%		24%	
Carrier	CARR US	NC	NC	67.4	55.9	27%	(6%)	24.0	21.5	19.3	1.4%	1.5%	1.8%	15%	2%	2%	5%	5%	27%	10%	3%	11%	
Daikin	6367 JP	NC	NC	23,385	42.8	16%	43%	22.7	21.1	19.1	1.4%	1.5%	1.7%	9%	8%	5%	5%	4%	35%	6%	3%	21%	
Lennox	LII US	NC	NC	513.5	17.9	6%	(8%)	21.0	19.2	17.8	1.0%	1.1%	1.2%	58%	3%	8%	6%	5%	33%	15%		13%	
							Weighted average	**27.1**	**24.0**	**21.4**	**1.1%**	**1.2%**	**1.3%**	**26%**	**4%**	**7%**	**6%**	**6%**	**34%**	**12%**			
Chinese HVAC																							
Envicool	002837 CH	UW	40.0	69.7	13.1	(15%)	234%	79.8	47.0	34.9	0.3%	0.6%	0.9%	27%	28%	64%	50%	41%	29%	11%	7%	4%	4%
Shenling	301018 CH	NC	NC	103.7	5.7	129%	308%	93.4	62.4	32.8	0.3%	0.5%	NA	14%	24%	36%	37%	85%	24%	7%	5%	6%	5%
							Weighted average	**83.9**	**51.7**	**34.3**	**0.3%**	**0.5%**	**0.6%**	**23%**	**26%**	**56%**	**46%**	**55%**	**27%**	**10%**	**7%**	**5%**	**4%**
Global Robotics																							
ABB	ABBN SW	N	70.0	82.7	189.3	40%	75%	30.9	30.5	27.8	1.4%	1.5%	1.6%	34%	4%	13%	9%	8%	40%	16%	4%	18%	
FANUC	6954 JP	NC	NC	7,083	43.4	16%	88%	35.1	33.1	25.8	1.5%	1.8%	1.9%	10%	0%	9%	5%	4%	39%	21%	5%	12%	
Yaskawa Motom	6506 JP	NC	NC	6,356	10.6	34%	101%	37.1	32.4	27.2	1.1%	1.2%	1.3%	10%	(1%)	9%	4%	6%	36%	8%	4%	22%	
							Weighted average	**31.9**	**31.0**	**27.4**	**1.4%**	**1.5%**	**1.6%**	**29%**	**3%**	**12%**	**8%**	**7%**	**39%**	**17%**	**4%**	**17%**	
Chinese Robotics																							
Inovance	300124 CH	OW	84.0	74.5	29.8	(1%)	16%	33.2	27.4	23.2	0.8%	0.9%	1.1%	16%	25%	20%	17%	15%	28%	11%	9%	3%	4%
Leader Drive	688017 CH	OW	264.0	423.1	11.5	120%	241%	418.3	294.5	208.7	0.1%	0.1%	0.2%	5%	9%	50%	41%	35%	36%	22%	9%	2%	5%
Estun	002747 CH	OW	28.0	37.5	5.1	58%	87%	139.0	108.0	83.6	0.1%	0.2%	0.2%	10%	8%	18%	15%	13%	30%	4%	9%	9%	9%
							Weighted average	**140.1**	**102.3**	**75.7**	**0.5%**	**0.7%**	**0.8%**	**13%**	**19%**	**27%**	**23%**	**20%**	**30%**	**13%**	**9%**	**4%**	**5%**
Global Industrial Tech																							
Siemens	SIE GY	OW	335	268.0	242.1	12%	22%	22.9	19.3	17.0	2.1%	2.2%	2.4%	14%	3%	7%	7%	6%	39%	11%	8%	11%	
Hitachi	6501 JP	OW	5,700	4,881	138.3	(0%)	19%	28.4	22.8	19.3	1.0%	1.2%	1.4%	14%	(1%)	6%	2%	18%	30%	7%	3%	16%	
Mitsubishi Electri	6503 JP	OW	6,500	5,747	75.9	25%	91%	26.8	22.1	20.2	1.0%	1.1%	1.3%	11%	6%	5%	7%	6%	32%	7%	4%	20%	
							Weighted average	**25.2**	**20.8**	**18.2**	**1.6%**	**1.7%**	**1.9%**	**13%**	**2%**	**6%**	**5%**	**10%**	**35%**	**9%**	**6%**	**14%**	
							Median	**21.0**	**18.6**	**16.9**	**1.5%**	**1.6%**	**1.8%**	**16%**	**6%**	**6%**	**6%**	**6%**	**31%**	**9%**	**4%**	**11%**	**4%**

Source: J.P. Morgan estimates (for Midea, Haier, Gree, Supor, Ecovacs, and Robam), Bloomberg Finance L.P. (all other companies). Prices as of June 8, 2026.

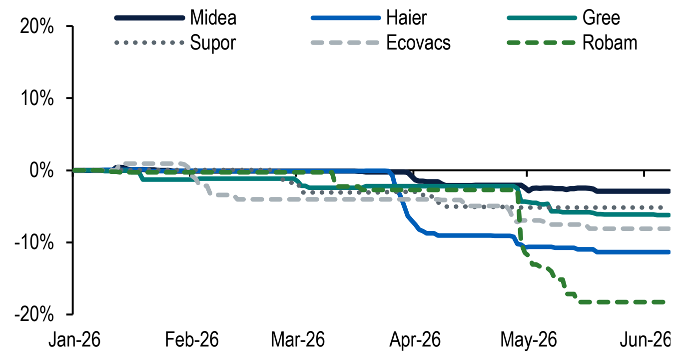
DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Figure 31: Consensus revenue revisions (2026E)



Source: Bloomberg Finance L.P. (as of Jun 5, 2026)

Figure 32: Consensus earnings revisions (2026E)

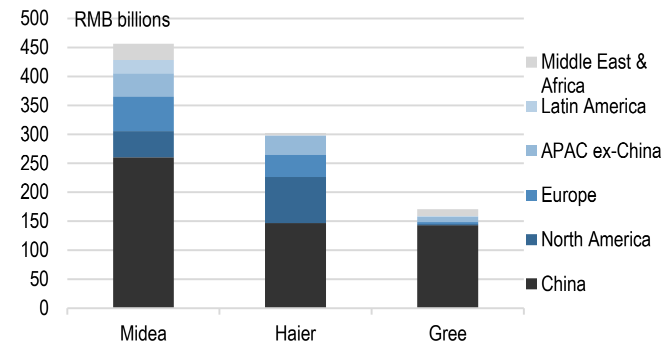


Source: Bloomberg Finance L.P. (as of Jun 5, 2026)

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

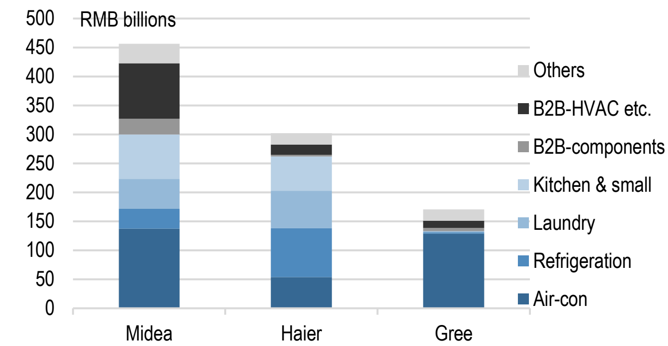
China HA Companies in Charts

Figure 33: Revenue by region - Midea, Haier, Gree (FY25)



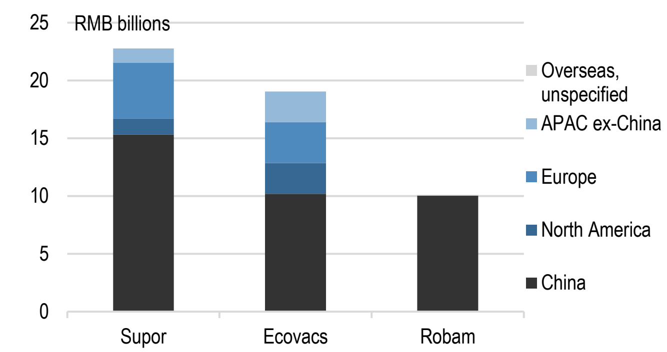
Source: Company data.

Figure 34: Revenue by product - Midea, Haier, Gree (FY25)



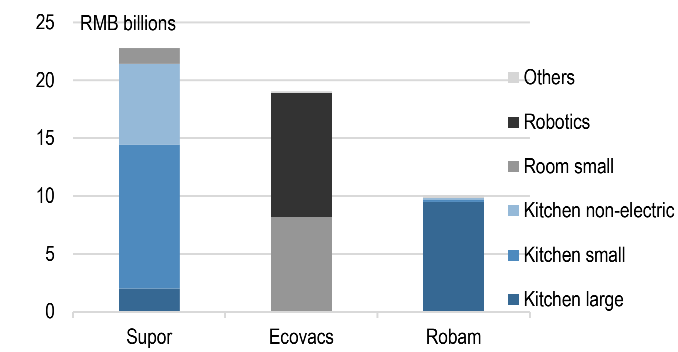
Source: Company data.

Figure 35: Revenue by region - Supor, Ecovacs, Robam (FY25)



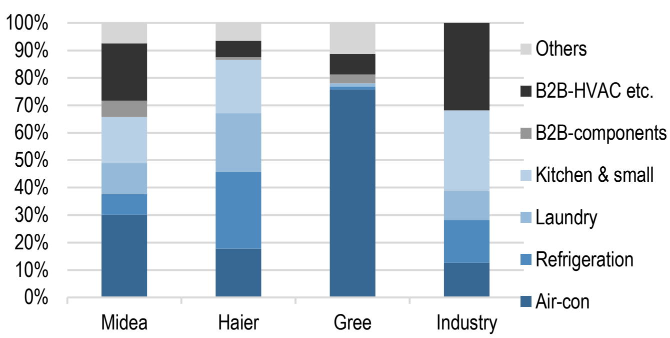
Source: Company data.

Figure 36: Revenue by product - Supor, Ecovacs, Robam (FY25)



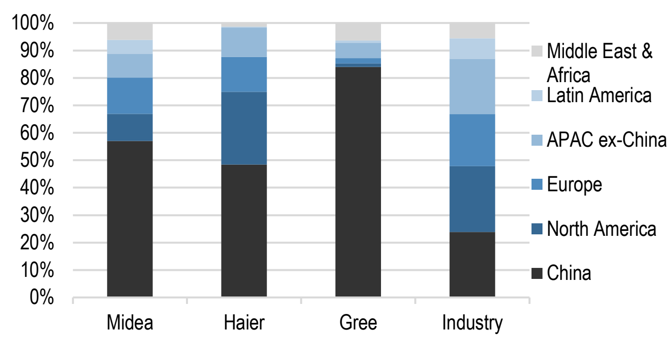
Source: Company data.

Figure 37: Revenue mix by product - Midea, Haier, Gree and industry (FY25)



Source: Company data

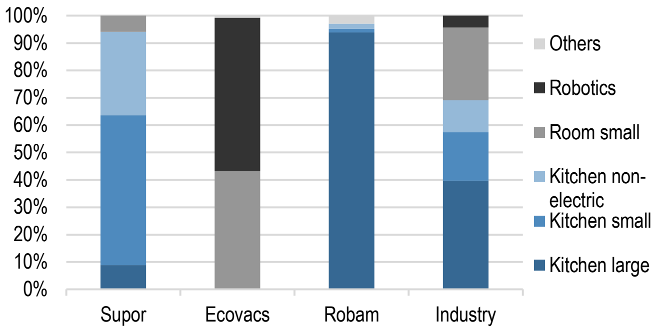
Figure 38: Revenue mix by region - Midea, Haier, Gree and industry (FY25)



Source: Company data, J.P. Morgan estimates (for industry)

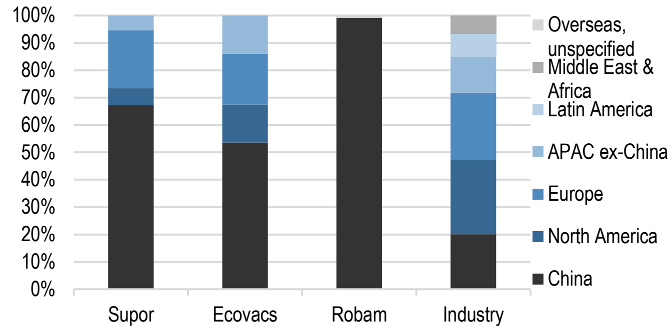
DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Figure 39: Revenue mix by product - Supor, Ecovacs, Robam and industry (FY25)



Source: Company data

Figure 40: Revenue mix by region - Supor, Ecovacs, Robam and industry (FY25)



Source: Company data, J.P. Morgan estimate (for industry)

Table 9: Global market share dynamics - Top 3 players by region and by category (in terms of retail volume share)

(Year 2025)	Residential Air Conditioner	Refrigerator	Washing Machine	Large Cooking Appliance	Small Cooking Appliance
China	Midea: 29% Gree: 26% Haier: 16% Xiaomi: 6% (#4)	Haier: 45% Midea: 15% Hisense: 12% Xiaomi: 5% (#5)	Haier: 51% Midea: 26% Siemens: 5% Xiaomi: 2% (#6)	Robam: 17% Fotile: 15% Haier: 10%	Midea: 27% Supor: 19% Joyoung: 18% Xiaomi: 3% (#5)
Asia ex-China	Panasonic Daikin Midea	Samsung LG Panasonic	LG Samsung Panasonic	Samsung LG Panasonic	Panasonic Philips Sharp
North America	Haier: 32% Midea: 12% LG: 11%	Haier: 27% Whirlpool: 21% Electrolux: 13%	Whirlpool: 34% Haier: 23% LG: 14%	Haier: 32% Whirlpool: 20% Melrose: 17%	Hamilton: 15% Spectrum: 15% Newell: 10%
Europe	Daikin Mitsubishi Panasonic	Siemens Electrolux Samsung	Siemens Electrolux Whirlpool	Siemens Electrolux Beko (Arcelik)	SEB Philips De'Longhi
Latin America	Midea Samsung LG	Electrolux Whirlpool Mabe	Whirlpool Electrolux Mabe	Whirlpool Electrolux Mabe	SEB Black Decker Newell
Middle East & Africa	Gree LG Samsung	LG Samsung Haier	LG Samsung Haier	Samsung LG Beko (Arcelik)	Philips Black Decker SEB

Source: China and North America (Euromonitor), Other markets (J.P. Morgan estimates based on discussions with companies and industry experts; market share rankings only)

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

J.P.Morgan

Midea Group - A

From Appliance Champion to Industrial Tech Platform; assume coverage at OW, top pick

▲**Overweight**
Previous: Neutral

000333.SZ, 000333 CH
Price (09 Jun 26):Rmb82.36

▲**Price Target (Jun-27):Rmb105.00**
Prior (Dec-26):Rmb82.00

Co-Head of Asia Pacific Consumer Research and Head of Asia Gaming/ Leisure Research

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Yibo Wu
(852) 2800-8559
yibo.wu@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	6.43	6.79	5.6%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	22	21	25	27	31
Growth	38	32	47	50	27
Momentum	43	59	53	59	51
Quality	12	6	15	13	4
Low Vol	8	10	11	23	20
ESGQ	13	3	-	-	-

We assume coverage on Midea at OW with a PT of Rmb105, implying 27% upside. The market is still paying for the old Midea—a high-quality appliance champion—but we think the new Midea is becoming a more interesting hybrid of B2C cash flow and B2B industrial tech. This matters because the appliance cycle is entering a tougher phase (e.g., subsidy cliff, cost inflation, competition), yet Midea's B2C business remains the most defensible among peers, while B2B is becoming large enough to change the valuation debate. As investors gain confidence that B2B is no longer optionality but a genuine earnings driver, we expect the stock's multiples to re-rate from current 12x, narrowing a gap to B2B peers' 27x FY27 P/E. With a 20% FY26E ROE and an 8% combined dividend-plus-buyback yield, Midea deserves to be a core holding in China consumer portfolios.

- **B2C: mature, but highly defensive (+4% sales CAGR in FY26-28E).** Midea's B2C franchise gives investors what they need in a difficult appliance cycle: diversification, scale and resilience. Midea's B2C business is less exposed than peers to both the slowdown in China (54% of B2C revenue) and tariff uncertainty in the US (10% of B2C). Moreover, overseas is no longer just OEM export story; OBM share gains are becoming the bigger story, backed by a global brand portfolio (Midea, Toshiba, Küppersbusch and Teka), a global manufacturing footprint, and a localized overseas organization. We estimate overseas OBM will lead B2C sales growth at +18% CAGR over FY26-28E, while OEM delivers a stable +4% CAGR, together offsetting a slight decline in China B2C sales (-2% p.a.). By FY27E, we expect overseas B2C to exceed China B2C in both sales and profit contribution.
- **B2B: the reason the multiple should change (+12% sales CAGR in FY26-28E).** Midea's B2B growth rests on two pillars. The first is smart building technology, or C&I HVAC, where Midea offers cost-efficient HVAC with technology matching global leaders such as Daikin. It is already #1 in China HVAC with >20% share, with further room to gain share overseas (emerging markets and Europe's heat pump market). China's liquid cooling market adds another leg of growth, driven by accelerating AIDC and energy storage capex, where Midea is already one of the leading domestic players. The second pillar is KUKA Robotics, one of the leading industrial robot providers globally (acquired in 2017). KUKA is already #1 leader in China (based on revenues), supported by factory automation demand in labor-intensive industries, but a bigger earnings lever is margin: we expect KUKA's OPM to improve from LSD in FY25 to HSD in FY28E, driven by European restructuring and vertical integration of key components (e.g. servo motors, reducers).
- **The stock prices the past, not the future.** At 12x FY27E P/E, Midea trades in line with its historical multiple as a pure-play home appliance name – implying the market assigns minimal option value to its B2B segments that we expect to drive the majority of growth from here. We expect the group's OP to show a +9% CAGR in FY26E-28E, led by B2B's +22% p.a. (vs. B2C's 4%). This will bring B2B OP contribution to 34% by FY28E (24% in FY25) and such solid momentum should increasingly convince investors of the "new Midea" narrative and drive re-rating, inching closer to the China/global B2B peers' 55x/25x FY27E P/E (Table 14). Our Rmb105 PT is based on SOTP, valuing B2C at 12x (in line with historical P/E) and B2B at 27x (average P/E of global B2B peers, such as Trane, Daikin, Hitachi, ABB).

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Price Performance

	YTD	1m	3m	12m
Abs	5.4%	2.4%	9.2%	9.2%
Rel	5.6%	7.7%	12.6%	-7.2%

Company Data

Shares O/S (mn)	7,608
52-week range (Rmb)	83.75-69.88
Market cap ($ mn)	92,375
Exchange rate	6.78
Free float (%)	57.0%
3M ADV (mn)	28.76
3M ADV ($ mn)	334.0
Volatility (90 Day)	20
Index	SSE
BBG ANR (Buy | Hold | Sell)	40|2|0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	456,452	482,667	512,972	546,716
Adj. EBITDA	54,473	58,581	61,325	65,505
Adj. EBIT	45,133	49,620	51,862	55,618
Adj. net income	43,945	46,264	50,332	54,226
Adj. EPS	5.78	6.14	6.79	7.44
BBG EPS	5.84	6.19	6.71	7.29
Cashflow from operations	53,346	57,841	64,555	69,268
FCFF	42,204	46,973	53,632	58,284
Margins and Growth				
Revenue Growth Y/Y (%)	12.1%	5.7%	6.3%	6.6%
Gross margin	26.4%	26.0%	26.3%	26.5%
EBITDA margin	11.9%	12.1%	12.0%	12.0%
EBIT margin	9.9%	10.3%	10.1%	10.2%
Adj. EPS growth	6.6%	6.4%	10.6%	9.5%
Ratios				
Adj. tax rate	16.1%	16.0%	16.0%	16.0%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	12.8%	14.0%	14.2%	15.1%
ROE	20.0%	20.6%	21.8%	22.7%
Valuation				
FCFF yield	6.7%	7.6%	8.8%	9.7%
Dividend yield	5.2%	5.6%	6.2%	6.8%
EV/Revenue	0.9	0.9	0.8	0.7
EV/EBITDA	7.8	7.2	6.6	6.0
Adj. P/E	14.3	13.4	12.1	11.1

Summary Investment Thesis and Valuation

Investment Thesis

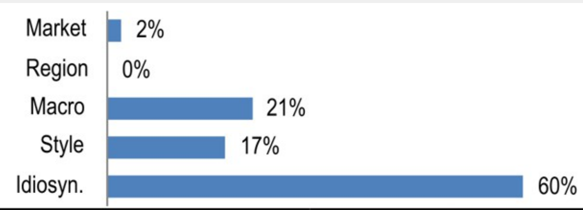
Midea is a leading technology-driven global provider of Smart Home Products (AC, laundry, refrigerators, kitchen & other appliances) and Commercial & Industrial Solutions (C&I HVAC, robotics & automation, industrial components, energy solutions, medical imaging, and more). It operates across 200+ countries/regions with 43 manufacturing bases and over 190,000 employees.

We are Overweight on Midea as we believe the market undervalues its B2B growth potential. At 12x FY27E P/E, the stock trades in line with its own history as a pure-play home appliance company, implying marginal option value for B2B segments that we estimate will contribute 31% of group revenue by FY28E. We believe this disconnect will narrow as B2B growth delivery becomes more visible over the next 1-2 years, driving a group-level re-rating to 15x. With a 20% FY26E ROE and 8% dividend-plus-buyback yield, Midea offers both growth optionality and defensive income.

Valuation

Our SOTP-based Jun-27 PT of Rmb105 values the B2C segment at 12x FY28E P/E (in line with Midea's historical P/E) and the B2B segment at 27x (benchmarking to the average P/E of global B2B peers such as Trane, Daikin, Hitachi and ABB).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.09	0.15
Region: China	0.13	-0.02
Macro:		
JPM Global Equity Sentiment	0.00	0.29
Markit EM Composite PMI SA	0.32	0.28
HSI Volatility Index	-0.18	-0.28
Quant Styles:		
Quality	0.38	0.30
LowVol	0.32	0.28
Value	0.26	0.28

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Financial forecasts

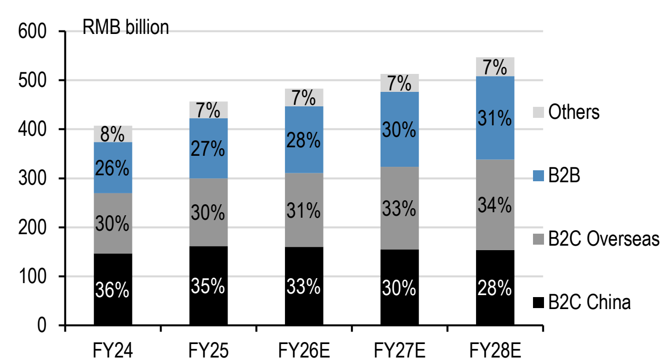
- We forecast Midea group's revenue/earnings to grow 5.7%/5.3% yoy in FY26E and 6.4%/8.3% CAGR over FY26-28E.
- We expect the revenue growth to be driven mainly by B2C overseas (11% CAGR over 26-28E) and B2B (12% CAGR), while B2C China sales will decline slightly (-2% CAGR).
- We expect gross margin to erode 0.4ppt in FY26E while SG&A savings will help maintain a stable OP margin at 9.1%. We expect OP margin to improve from 9.1% (26E) to 9.5% (28E) driven by operating leverage in the overseas OBM business and improving KUKA profitability.

Table 10: Midea - Segment Sales and OP

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E	CAGR	1Q26	2Q26E	3Q26E	4Q26E
SEGMENT SALES						26-28				
Total sales	407,150	456,452	482,667	512,972	546,716	6.4%	131,099	129,542	119,806	102,220
B2C - China (JPMe)	146,431	161,439	159,824	155,029	153,479	-2.0%	48,352	40,848	39,724	30,900
B2C - Overseas (JPMe)	123,101	138,489	150,960	168,592	184,901	10.7%	39,081	43,378	39,346	29,155
B2B	104,496	122,753	136,423	152,472	169,982	11.6%	33,206	35,776	33,694	33,746
Others	33,121	33,772	35,460	36,879	38,354	4.0%	10,459	9,540	7,042	8,419
Sales YoY%	9.4%	12.1%	5.7%	6.3%	6.6%		2.6%	5.1%	7.0%	9.4%
B2C - China	3.8%	10.2%	-1.0%	-3.0%	-1.0%		5.0%	-8.0%	0.5%	-1.7%
B2C - Overseas	17.0%	12.5%	9.0%	11.7%	9.7%		-0.4%	15.7%	7.8%	15.5%
B2B	6.9%	17.5%	11.1%	11.8%	11.5%		3.0%	10.8%	15.4%	16.3%
Sales Mix%	100%	100%	100%	100%	100%		100%	100%	100%	100%
B2C - China	36%	35%	33%	30%	28%		37%	32%	33%	30%
B2C - Overseas	30%	30%	31%	33%	34%		30%	33%	33%	29%
B2B	26%	27%	28%	30%	31%		25%	28%	28%	33%
SEGMENT OP										
Total OP	35,953	41,473	44,098	47,601	52,054	8.6%				
B2C - China (JPMe)	13,325	15,498	15,023	14,418	14,274	-2.5%				
B2C - Overseas (JPMe)	11,238	13,219	14,359	16,087	17,720	11.1%				
B2B (JPMe)	8,158	10,027	12,066	14,611	17,826	21.5%				
OP margin	8.8%	9.1%	9.1%	9.3%	9.5%					
B2C - China	9.1%	9.6%	9.4%	9.3%	9.3%					
B2C - Overseas	9.1%	9.5%	9.5%	9.5%	9.6%					
B2B	7.8%	8.2%	8.8%	9.6%	10.5%					
OP Mix%	100%	100%	100%	100%	100%					
B2C - China	37%	37%	34%	30%	27%					
B2C - Overseas	31%	32%	33%	34%	34%					
B2B	23%	24%	27%	31%	34%					

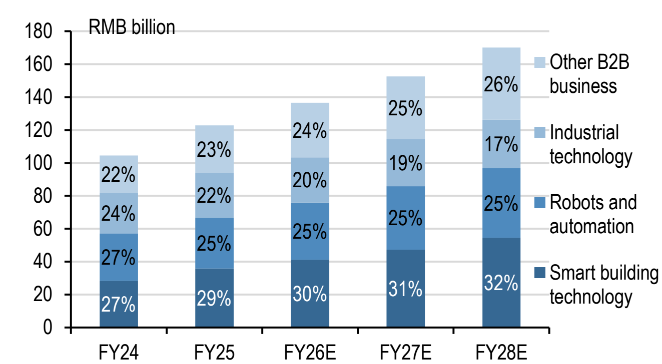
Others include home appliance raw material sales, etc.
Source: Company data, J.P. Morgan estimates

Figure 41: Midea - sales breakdown



Source: Company data, J.P. Morgan estimates.

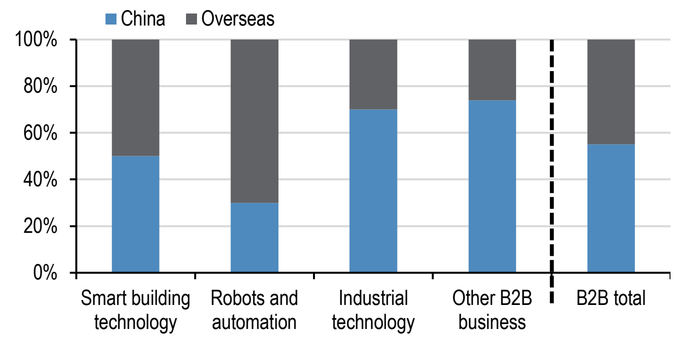
Figure 42: Midea - B2B sales breakdown



Source: Company data, J.P. Morgan estimates.

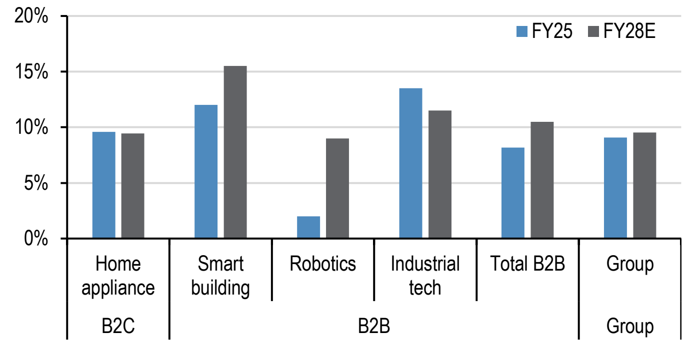
DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Figure 43: Midea - B2B sales mix by region - all by JPMe (FY25)



Source: J.P. Morgan estimates

Figure 44: Midea - OP margin by segment - all by JPMe



Source: J.P. Morgan estimate.

Key B2B segments - what does each segment do?

- Smart Building Technology: This segment mainly provides C&I HVAC (commercial and industrial heating, ventilation, and air conditioning) and elevator solutions to different types of customers (including office buildings, shopping malls, industrial plants and AI data centers).
- Robotics and Automation (KUKA): This segment mainly provides plant automation solutions (such as mechanical arms) to industrial customers in the auto, electronics, and food & beverage industries. It also researches and develops humanoid robots to be deployed in plants and consumer homes, which are still in an early stage.
- Industrial Technology (GMCC and Weiling): This segment provides home appliance components (compressors and motors), electric vehicle components (heat exchange), and robotics components (servo motors and reducers).
- Other B2B segments: include energy storage system, logistics, and medical imaging, etc.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Table 11: Midea - Summary of P&L

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E	CAGR	1Q26	2Q26E	3Q26E	4Q26E
P&L						26-28				
Revenue	**407,150**	**456,452**	**482,667**	**512,972**	**546,716**	**6.4%**	**131,099**	**129,542**	**119,806**	**102,220**
YoY%	*9.4%*	*12.1%*	*5.7%*	*6.3%*	*6.6%*		*2.6%*	*5.1%*	*7.0%*	*9.4%*
COGS	(299,585)	(335,990)	(357,067)	(378,239)	(401,798)		(97,575)	(96,899)	(88,963)	(73,630)
GROSS PROFIT	**107,565**	**120,462**	**125,600**	**134,733**	**144,918**	**7.4%**	**33,523**	**32,643**	**30,843**	**28,590**
Selling expense	(38,754)	(42,891)	(43,923)	(47,193)	(50,298)		(11,356)	(11,270)	(10,184)	(11,113)
Admin expense	(14,506)	(16,092)	(16,411)	(17,441)	(18,588)		(3,681)	(3,627)	(3,714)	(5,388)
R&D expense	(16,233)	(17,788)	(18,824)	(20,006)	(21,322)		(4,166)	(4,534)	(4,672)	(5,452)
Business taxes and surcharges	(2,120)	(2,217)	(2,345)	(2,492)	(2,656)		(570)	(629)	(618)	(527)
OPERATING PROFIT (Non-GAAP)	**35,953**	**41,473**	**44,098**	**47,601**	**52,054**	**8.6%**	**13,751**	**12,583**	**11,655**	**6,109**
Other income and expenses	5,478	3,660	5,522	4,261	3,564		2,262	1,532	1,491	237
PnL of Midea Financial Subsidiary	1,930	2,049	2,166	2,302	2,454		482	649	539	497
Finance income/(expense)	3,329	5,904	4,011	6,482	7,201		(1,350)	1,556	1,492	2,313
Profit before tax	**46,690**	**53,085**	**55,797**	**60,646**	**65,273**	**8.2%**	**15,144**	**16,320**	**15,177**	**9,156**
Income tax expense	(7,933)	(8,565)	(8,928)	(9,703)	(10,444)		(2,285)	(2,415)	(2,504)	(1,723)
Minority interest	(220)	(575)	(605)	(611)	(603)		(185)	(195)	(128)	(98)
Net profit	**38,537**	**43,945**	**46,264**	**50,332**	**54,226**	**8.3%**	**12,675**	**13,710**	**12,545**	**7,335**
YoY%	*14.3%*	*14.0%*	*5.3%*	*8.8%*	*7.7%*		*2.0%*	*0.9%*	*5.7%*	*21.0%*
Dividend	**26,712**	**32,385**	**34,094**	**37,092**	**39,962**					
Buyback	**-**	**11,699**	**13,000**	**13,000**	**13,000**					
Total payout ratio (dvd+bbk)	*69.3%*	*100.3%*	*101.8%*	*99.5%*	*97.7%*					
Profit margins										
Gross margin	26.4%	26.4%	26.0%	26.3%	26.5%		25.6%	25.2%	25.7%	28.0%
Operating margin (Non-GAAP)	8.8%	9.1%	9.1%	9.3%	9.5%		10.5%	9.7%	9.7%	6.0%
Net margin	9.5%	9.6%	9.6%	9.8%	9.9%		9.7%	10.6%	10.5%	7.2%
Effective tax rate	-17%	-16%	-16%	-16%	-16%		-15%	-15%	-17%	-19%
YoY growth										
Revenue	9.4%	12.1%	5.7%	6.3%	6.6%		2.6%	5.1%	7.0%	9.4%
COGS	8.4%	12.2%	6.3%	5.9%	6.2%		2.4%	5.9%	8.1%	10.1%
Gross profit	12.5%	12.0%	4.3%	7.3%	7.6%		3.0%	2.6%	4.2%	7.8%
Selling expense	21.3%	10.7%	2.4%	7.4%	6.6%		-4.4%	0.8%	4.1%	10.5%
Admin expense	7.6%	10.9%	2.0%	6.3%	6.6%		4.1%	-2.5%	-0.2%	5.3%
R&D expense	11.3%	9.6%	5.8%	6.3%	6.6%		-4.2%	2.6%	11.8%	12.6%
OPERATING PROFIT (Non-GAAP)	6.4%	15.4%	6.3%	7.9%	9.4%		12.5%	5.8%	2.8%	1.6%
PBT	15.9%	13.7%	5.1%	8.7%	7.6%		0.1%	0.7%	4.6%	26.7%
Net profit	14.3%	14.0%	5.3%	8.8%	7.7%		2.0%	0.9%	5.7%	21.0%

Source: Company data, J.P. Morgan estimates

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Table 12: Midea - Balance Sheet

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
BALANCE SHEET					
Current Assets	**389,064**	**416,662**	**443,551**	**459,046**	**480,883**
Cash and Cash equivalents	140,410	85,247	104,057	111,423	124,212
Short-term investments	104,839	183,929	183,929	183,929	183,929
Receivables	80,475	82,858	85,938	89,938	94,392
Inventories	63,339	64,629	69,628	73,757	78,351
Non-Current Assets	**215,288**	**192,129**	**197,698**	**201,338**	**204,633**
PP&E	43,529	53,582	58,183	62,226	65,798
Intangible assets	17,009	21,619	20,856	20,223	19,716
Goodwill	29,581	34,257	34,257	34,257	34,257
Long-term investments	110,667	66,792	68,522	68,752	68,982
Deferred tax & other assets	14,502	15,880	15,880	15,880	15,880
Total Assets	**604,352**	**608,792**	**641,249**	**660,383**	**685,516**
Current Liabilities	**351,820**	**343,384**	**358,198**	**375,616**	**395,005**
Borrowings	70,671	49,726	49,726	49,726	49,726
Payables	141,459	154,127	162,224	170,459	179,624
Deferred revenues	49,255	46,993	49,715	52,836	56,312
Provision for sales rebates & Others	90,435	92,537	96,533	102,594	109,343
Non-Current Liabilities	**24,865**	**28,984**	**44,260**	**33,746**	**33,870**
Borrowings	13,759	15,854	30,854	20,159	20,159
Lease liabilities	1,825	1,901	2,178	2,358	2,482
Deferred tax & other liabilities	9,281	11,229	11,229	11,229	11,229
Total Liabilities	**376,684**	**372,368**	**402,458**	**409,363**	**428,875**
Shareholder's Equity	**216,750**	**223,221**	**224,982**	**236,602**	**241,618**
Minority interest	10,917	13,203	13,808	14,419	15,022
Total Liabilities & Equity	**604,352**	**608,792**	**641,249**	**660,383**	**685,516**

Source: Company data, J.P. Morgan estimates

Table 13: Midea - Cashflow Statement

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
CASH FLOW STATEMENT					
Profit after tax	**38,757**	**44,520**	**46,869**	**50,943**	**54,830**
Depreciation and amortisation	7,824	9,340	8,961	9,463	9,887
SBC	1,193	882	882	882	882
Working capital changes	20,202	5,280	6,735	9,289	10,341
Other adjustments	(7,465)	(6,675)	(5,606)	(6,022)	(6,672)
Operating cash flow (OpCF)	**60,512**	**53,346**	**57,841**	**64,555**	**69,268**
YoY%	*4.5%*	*-11.8%*	*8.4%*	*11.6%*	*7.3%*
% of net profit	*1.6x*	*1.2x*	*1.3x*	*1.3x*	*1.3x*
Free cash flow (FCF)	**52,672**	**42,204**	**46,973**	**53,632**	**58,284**
YoY%	*2.1%*	*-19.9%*	*11.3%*	*14.2%*	*8.7%*
% of net profit	*1.4x*	*1.0x*	*1.0x*	*1.1x*	*1.1x*
Capital expenditures (CAPEX)	(7,840)	(11,142)	(10,869)	(10,923)	(10,984)
Investments	(81,093)	41,828	5,042	6,915	7,517
M&A	78	(5,790)	-	-	-
Others	953	444	(1,165)	(1,123)	(1,075)
CF from investment activities	**(87,902)**	**25,340**	**(6,992)**	**(5,131)**	**(4,542)**
Share issuance	34,696	4,726	-	7,500	-
Buybacks	(63)	(11,699)	(13,000)	(13,000)	(13,000)
Dividends	(22,822)	(33,080)	(32,385)	(34,094)	(37,092)
Change in debt	12,814	(23,205)	15,000	(10,695)	-
Others	(1,927)	(1,700)	(1,654)	(1,769)	(1,845)
CF from financing activities	**22,698**	**(64,958)**	**(32,039)**	**(52,057)**	**(51,936)**
FX effect	(76)	(338)	-	-	-
Net cash flow	**(4,769)**	**13,390**	**18,810**	**7,366**	**12,789**
Beginning cash	59,887	55,119	68,509	87,318	94,684
Ending cash	**55,119**	**68,509**	**87,318**	**94,684**	**107,473**
Add: Deposits with original maturity >3M	85,292	16,738	16,738	16,738	16,738
Cash on balance sheet	**140,410**	**85,247**	**104,057**	**111,423**	**124,212**

Source: Company data, J.P. Morgan estimates

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

SOTP valuation and price target

We use SOTP valuation for Midea, to reflect the different growth prospects and market values for B2B and B2C sectors under the group.

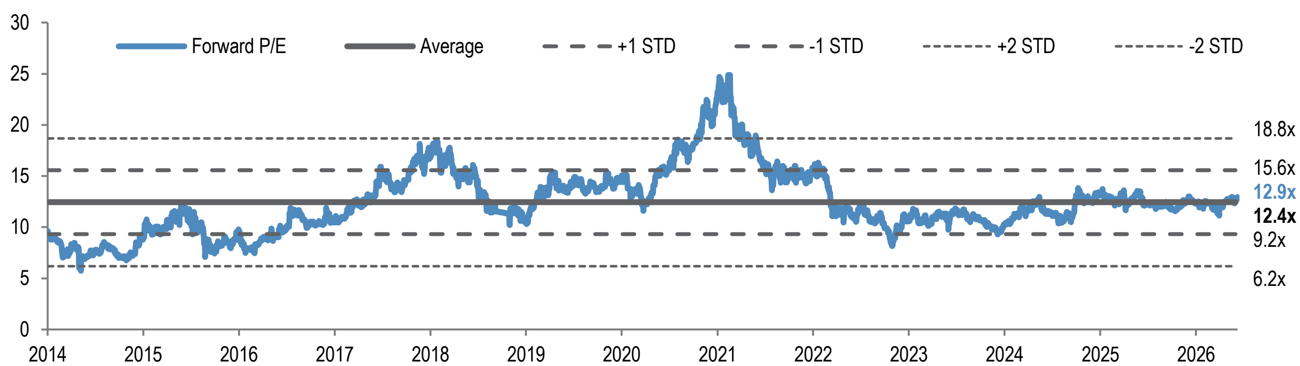
We derive our new SOTP-based Jun-27 price target of Rmb105, implying 27% upside, based on a 12x FY28E P/E for the to-C home appliance sector and a 27x FY28E P/E for the to-B sector (see table below).

Midea - SOTP Valuation

(Rmb mn)	Fair value	Net profit 2028E	Target P/E 2028E	Benchmark
Group total	**872,185**	**54,226**	**16x**	
To C: Smart home appliances	**322,498**	**26,875**	**12x**	Historical average P/E for Midea
To B: Commercial & industrial solutions	**401,153**	**14,974**	**27x**	
- Industrial technology	68,307	2,846	24x	Average trading forward P/E of global industrial peers
- Smart building technology	191,355	7,087	27x	Average trading forward P/E of global commercial HVAC peers
- Robots and automation	97,464	3,206	30x	Average trading forward P/E of global commercial automation peers
- Other to-B business	44,027	1,834	24x	Average trading forward P/E of global industrial peers
Others & finance income	148,533	12,378	12x	
Total equity fair value (Dec-2028)	872,185			
Discount rate	7.5%			
Total equity fair value (Jun-2027)	782,521			
No of shares (mn)	7,469			
Price target (Rmb/share)	105			

Source: J.P. Morgan estimate

Figure 45: Midea - historical P/E band



Source: Bloomberg Finance L.P. (as of Jun 8, 2026)

Table 14: Midea - Valuation comparison table

Company	BBG Ticker	Mkt price (LC)	Mkt Cap (USD mn)	P/E 2026E	P/E 2027E	P/E 2028E	26-28E CAGR Sales	26-28E CAGR EPS	PEG 2026E	Dividend Yield 2026E	Dividend Yield 2027E	Dividend Yield 2028E	ROE 2026E	ROE 2027E	ROE 2028E
Midea - A	000333 CH	82.4	92,057	13.3	12.3	11.3	6%	8%	1.6	5.3%	5.8%	6.3%	20%	20%	20%
Midea - H	300 HK	90.4	92,057	12.6	11.6	10.7	6%	8%	1.5	5.6%	6.1%	6.6%	20%	20%	20%
Commerical HVAC															
Global commercial HVAC															
Trane	TT US	458.9	101,447	30.8	27.0	23.6	8%	13%	2.4	0.9%	0.9%	1.0%	36%	36%	37%
Johnson Control	JCI US	144.1	87,887	28.3	24.3	21.2	6%	17%	1.6	1.1%	1.2%	1.3%	22%	24%	25%
Carrier	CARR US	67.4	55,940	24.0	21.0	18.5	5%	12%	2.1	1.4%	1.5%	1.8%	15%	17%	20%
Daikin	6367 JP	23,265.0	42,567	22.3	21.1	18.6	4%	10%	2.3	1.5%	1.8%	2.2%	9%	10%	11%
Lennox	LII US	513.5	17,868	21.1	19.2	17.7	6%	9%	2.4	1.0%	1.1%	1.2%	58%	46%	38%
Global peers weighted average			**305,709**	**27.1**	**23.8**	**21.0**	**6%**	**13%**	**2.1**	**1.2%**	**1.2%**	**1.4%**	**26%**	**26%**	**27%**
China commercial HVAC															
Envicool	002837 CH	69.7	13,120	80.9	47.8	28.6	45%	51%	1.6	0.3%	0.6%	0.9%	27%	33%	14%
Shenling	301018 CH	104.0	5,748	103.7	70.9	NA	59%	68%	1.5	0.3%	0.5%	NA	14%	18%	27%
China peers weighted average			**18,868**	**87.8**	**54.8**	**19.9**	**50%**	**56%**	**1.6**	**0.3%**	**0.5%**	**0.6%**	**23%**	**29%**	**18%**
Total weighted average			**324,577**	**30.6**	**25.6**	**20.9**	**9%**	**16%**	**2.1**	**1.1%**	**1.2%**	**1.4%**	**26%**	**26%**	**26%**
Robotics and automation															
Global robotics and automation															
ABB	ABBN SW	82.7	189,132	31.6	30.2	26.7	8%	5%	5.8	1.1%	1.2%	1.3%	34%	30%	28%
FANUC	6954 JP	7,121.0	43,663	34.2	33.2	31.6	5%	17%	2.0	1.7%	1.9%	2.1%	10%	11%	11%
Yaskawa Motoman	6506 JP	6,395.0	10,646	35.3	31.6	26.7	5%	17%	2.1	1.1%	1.2%	1.4%	10%	11%	11%
Global peers weighted average			**243,441**	**32.2**	**30.8**	**27.6**	**8%**	**8%**	**5.0**	**1.2%**	**1.3%**	**1.4%**	**29%**	**25%**	**24%**
China robotics and automation															
Sanhua	002050 CH	47.5	28,009	42.4	36.8	32.3	13%	15%	2.8	0.8%	0.9%	1.1%	14%	15%	15%
Inovance	300124 CH	74.6	29,826	32.9	27.3	23.2	16%	20%	1.7	0.8%	0.9%	1.1%	16%	17%	17%
Leader Drive	688017 CH	420.2	11,375	412.7	295.5	204.2	38%	42%	9.9	0.1%	0.1%	0.2%	5%	7%	9%
Estun	002747 CH	37.5	5,097	144.9	112.7	87.7	14%	29%	5.0	0.1%	0.2%	0.2%	10%	10%	11%
Yiheda	301029 CH	30.0	2,812	29.0	24.3	29.4	17%	-1%	NA	1.4%	1.6%	2.0%	14%	15%	10%
China peers weighted average			**77,119**	**99.6**	**75.8**	**57.7**	**18%**	**21%**	**3.5**	**0.7%**	**0.8%**	**0.9%**	**13%**	**14%**	**14%**
Total weighted average			**320,560**	**48.4**	**41.7**	**34.8**	**10%**	**11%**	**4.6**	**1.1%**	**1.2%**	**1.3%**	**25%**	**23%**	**22%**
Industrial technology															
Global industrial conglomerate															
Siemens	SIE GY	267.6	241,448	22.8	19.0	16.4	6%	18%	1.3	2.1%	2.3%	2.4%	14%	15%	15%
Hitachi	6501 JP	4,882.0	138,219	27.7	22.9	18.6	10%	23%	1.2	1.3%	1.4%	1.6%	14%	15%	16%
Mitsubishi Electric	6503 JP	5,819.0	76,759	26.4	22.2	20.0	7%	15%	1.7	1.1%	1.2%	1.2%	11%	11%	12%
Global peers weighted average			**456,425**	**24.9**	**20.7**	**17.7**	**7%**	**19%**	**1.3**	**1.7%**	**1.8%**	**2.0%**	**13%**	**14%**	**15%**
Home appliance															
Global Home Appliance															
Panasonic	6752 JP	3,924.0	60,122	22.3	17.3	14.2	5%	26%	0.8	1.4%	2.0%	2.2%	7%	10%	11%
LG Electronics	066570 KS	246,000.0	26,435	19.5	15.8	11.9	5%	29%	0.7	0.7%	0.8%	1.0%	8%	9%	11%
LG India	LGEL IN	1,515.7	10,763	51.2	36.5	31.7	14%	25%	2.0	0.8%	1.0%	1.0%	27%	27%	25%
A.O. Smith	AOS US	57.3	7,902	15.2	13.8	12.0	4%	10%	1.5	2.5%	2.6%	2.7%	27%	27%	27%
Whirlpool	WHR US	39.6	2,564	15.5	8.5	6.9	4%	53%	0.3	3.6%	4.6%	0.0%	5%	9%	10%
Rinnai	5947 JP	3,548.0	3,126	14.9	13.2	12.3	4%	8%	1.8	2.9%	3.1%	3.3%	8%	8%	9%
Electrolux	ELUXB SS	32.1	1,902	15.5	7.9	6.1	3%	NA	NA	3.4%	4.6%	5.6%	1%	18%	23%
Global peers weighted average			**112,814**	**23.4**	**18.1**	**14.8**	**6%**	**25%**	**1.0**	**1.4%**	**1.8%**	**1.8%**	**11%**	**12%**	**13%**
- excluding LG India			**102,051**	**20.5**	**16.1**	**13.0**	**5%**	**25%**	**0.9**	**1.5%**	**1.9%**	**1.9%**	**9%**	**11%**	**12%**
China Home Appliance															
Gree - A	000651 CH	37.9	31,332	7.0	6.8	6.5	3%	5%	1.4	7.8%	8.1%	8.9%	19%	18%	18%
Haier - A	600690 CH	20.1	26,656	9.1	8.3	7.8	5%	8%	1.1	5.9%	6.6%	7.5%	16%	16%	16%
Haier - H	6690 HK	20.7	26,656	8.1	7.3	6.8	5%	8%	1.0	6.7%	7.7%	8.8%	16%	16%	17%
TCL - A	000100 CH	4.9	14,928	14.1	10.3	7.9	10%	37%	0.4	2.8%	3.6%	3.3%	11%	14%	16%
Hisense - H	921 HK	24.9	5,111	8.9	8.2	7.5	6%	9%	1.0	6.3%	6.9%	7.7%	18%	18%	18%
China peers weighted average			**78,027**	**9.0**	**7.9**	**7.1**	**5%**	**12%**	**1.1**	**6.2%**	**6.8%**	**7.5%**	**17%**	**17%**	**17%**
Total weighted average (ex LG India)			**180,078**	**15.5**	**12.6**	**10.5**	**5%**	**20%**	**0.9**	**3.5%**	**4.0%**	**4.3%**	**12%**	**13%**	**14%**

Source: Bloomberg Finance L.P. (as of Jun 8, 2026)

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Midea in 2030E: Siemens — or Panasonic?

By 2030, Midea will be one of two things. In the first version, it is the company that has completed one of the rarest transitions in Asian manufacturing—from a leading consumer appliance manufacturer into a diversified industrial technology conglomerate, earning B2B multiples on B2B earnings. Revenue exceeds Rmb600bn, B2B reaching operating profit parity with B2C, and the stock has compounded because the market re-rated it from a "home appliance company" to an "industrial technology platform." In the second version, Midea is a well-run, globally diversified home appliance company with an interesting collection of B2B businesses that never quite reached the scale or profitability to change how the market values the group. The business is larger, the brand is stronger, but the multiple stays where it has always been—and the stock delivers dividend yield plus modest earnings growth, nothing more.

Management is exceptional—disciplined on capital allocation, clear about industry evolution, and operating with a combination of ambition and restraint. Even our bear case assumes a business that is meaningfully larger than today. The question is not whether Midea is a good business. The question is whether it becomes a *different kind* of business—one that the market values on a structurally different framework.

What follows is not a forecast. It is a framework—a set of conditions that must be true for each outcome to materialize. We lay them out so investors can assign their own probabilities.

(1) The Siemens path (~$170B market cap, ~2x from here)

Three things need to resolve simultaneously.

First, C&I HVAC must scale globally—which requires solving the B2B brand equity problem. Midea targets Rmb70bn revenue and Rmb10bn net profit for C&I HVAC by 2030E. The revenue size will be roughly 1/4 of Daikin and 1/2 of Trane. Daikin and Trane built these franchises over decades. Midea is attempting it in a compressed timeframe, leveraging its manufacturing cost structure as the wedge. The burden of proof is on execution—and lying beneath execution is a more fundamental challenge: B2B brand equity. B2B customers are loyal and reluctant to switch suppliers. Midea has deep technology reserves, but its track record is far shorter than global incumbents—particularly in Europe and the US, where clients value reliability and long-term service relationships, and where "made in China" still carries an implicit signal of commoditization rather than engineering excellence. This perception may be biased, but it exists and directly affects willingness to pay and willingness to switch.

More profoundly, Midea's greatest competitive edge in the consumer era — a substantial production scale and cost leadership — becomes less decisive in B2B, where customers prioritize customization, system integration, and after-market responsiveness. Success will require Midea to evolve from mass-production efficiency to engineering craftsmanship — partially denying its once most important advantage, cultivating a different culture in B2B units, and potentially making high-profile personnel changes to bring in leaders with deep B2B pedigree. Management has acknowledged that B2B talent must come from relevant industries rather than being repurposed from home appliances. Whether the organization can genuinely reform itself is the deepest question underlying the Siemens path. If it can, margin convergence toward global peers will follow naturally.

Second, KUKA must become a top-tier earnings contributor, not just a revenue line. KUKA today is strategically impressive but financially underwhelming—European operations are margin-dilutive, dragged by Germany's automotive decline. For the Siemens path, KUKA China must achieve #1 position (Midea targets sales up to ~Rmb20bn in 2030E, up from ~Rmb10bn in 26E), while European operations must transform from a drag into a stable contributor. KUKA OPM needs to reach 10%+ (catching up with global peers) through manufacturing relocation (Germany to Hungary/ China), component internalization, and operating leverage.

For this to be true, you need to believe the China factory automation market consolidates in Midea's favor—that KUKA's 9.6% share can reach 25–30% as the industry follows the consolidation pattern home appliances underwent. You also need to believe German restructuring proceeds without destroying KUKA's engineering DNA. Management acknowledges the tension: Midea's advantage is cost, but KUKA's value is its technology heritage. Reconciling these identities is the central management challenge.

Third, at least one "next frontier" B2B vertical must reach inflection. The Siemens path requires more than HVAC and robotics—the market needs to see a pipeline extending the growth runway beyond 2030. Midea is seeding several candidates: data center liquid cooling (new Shunde factory online mid-2027), energy storage (targeting Rmb50bn revenue by 2030E), and medical imaging (Rmb100bn+ TAM in China). By 2030, at least one must have reached Rmb20–30bn in revenue with visible profitability to signal a second act.

If all three conditions are met, Midea by 2030 would generate roughly Rmb25bn in B2B net earnings (across C&I HVAC, robotics, liquid cooling, and energy) and Rmb30bn in B2C—with B2B for the first time approaching profit parity with B2C. Under the same SOTP framework (B2C at 12x, B2B at 25x), the group re-rates to ~17x blended P/E, implying $150–170B market capitalization. As B2B becomes more profitable than B2C and generates stable cash flow to support its own future development, the B2C business becomes optionally divestable. Midea may consider gradually shrinking or separating the consumer business—as Siemens and Hitachi did—a move that would crystallize the re-rating by removing the "appliance discount" entirely.

(2) The Panasonic path (~$110B market cap, ~25% from here)

This path is not a failure by any measure, but simply means the B2B transformation could be partially unsuccessful — good enough to grow the business, but not reaching the critical mass that changes how the market values the company.

First, B2B grows but never earns B2B margins. C&I HVAC revenue hits management's targets, but profitability disappoints as overseas expansion comes with higher SG&A than anticipated — likely because Midea is still competing on cost rather than engineering craftsmanship. KUKA achieves #1 in China by units but margin improvement stalls at 5–6% as the robotics market remains fragmented, with dozens of domestic players preventing the consolidation that would enable pricing power. In this scenario, B2B approaches 40% of group revenue by 2030 but meaningfully less in profit terms, and the market refuses to re-rate.

Second, consumer appliance competition intensifies, diverting resources from B2B. Panasonic's revenue has declined consecutively over the past two years as Chinese competitors took share in its home appliance segment. There is a risk that Xiaomi causes similar disruption to Chinese incumbents—if it commits fully, building factories, expanding offline, and establishing a permanent 15%+ share in major online categories, compressing margins for the Big 3. We do not expect Midea's B2C business to decline given rapid overseas OBM development sustains its mid-term growth trajectory. But as the domestic competitive environment intensifies, Midea may need to divert resources originally allocated for B2B investment toward B2C defense—slowing the transformation.

Third, organizational complexity becomes a tax on execution. Management has acknowledged that complexity is at an all-time high—spanning B2C, B2B, China, overseas, standardized products, and project-based businesses. The "no large M&A for three years" discipline holds, but the existing portfolio is already straining bandwidth. KUKA's European restructuring, new energy talent acquisition, and medical imaging development all consume management attention simultaneously. None is individually damaging — but collectively they prevent the focused execution the Siemens path requires. Midea ends up as a conglomerate that does many things competently rather than a few things exceptionally.

In this world, Midea by 2030 will still trade at 12–14x — a home appliance multiple with a modest B2B premium — reaching ~$110B market capitalization. The stock delivers a dividend-plus-buyback yield and mid-to-high single-digit earnings growth. Investors earn a respectable but unexciting low-teens annualized total return. The business is better. The stock is fine. The transformation remains a work in progress.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Investment Thesis, Valuation and Risks

Midea Group - A *(Overweight; Price Target: Rmb105.00)*

Investment Thesis

Midea is a leading technology-driven global provider of Smart Home Solutions (AC, laundry, refrigerators, kitchen & other appliances) and Commercial & Industrial Solutions (C&I HVAC, robotics & automation, industrial components, energy solutions, medical imaging, and more). It operates across 200+ countries/regions with 43 manufacturing bases and over 190,000 employees.

We are Overweight on Midea as we believe the market undervalues its B2B growth potential. At 12x FY27E P/E, the stock trades in line with its own history as a pure-play home appliance company, implying marginal option value for B2B segments that we estimate will contribute 31% of group revenue by FY28E. We believe this disconnect will narrow as B2B growth delivery becomes more visible over the next 1-2 years, driving a group-level re-rating to 15x. With a 20% FY26E ROE and 8% dividend-plus-buyback yield, Midea offers both growth optionality and defensive income.

Valuation

Our SOTP-based Jun-27 PT of Rmb105 values the B2C segment at 12x FY28E P/E (in line with Midea's historical P/E) and the B2B segment at 27x (benchmarking to the average P/E of global B2B peers such as Trane, Daikin, Hitachi and ABB).

Midea - SOTP Valuation

(Rmb mn)	Fair value	Net profit 2028E	Target P/E 2028E	Benchmark
Group total	**872,185**	**54,226**	**16x**	
To C: Smart home appliances	**322,498**	**26,875**	**12x**	Historical average P/E for Midea
To B: Commercial & industrial solutions	**401,153**	**14,974**	**27x**	
- Industrial technology	68,307	2,846	24x	Average trading forward P/E of global industrial peers
- Smart building technology	191,355	7,087	27x	Average trading forward P/E of global commercial HVAC peers
- Robots and automation	97,464	3,206	30x	Average trading forward P/E of global commercial automation peers
- Other to-B business	44,027	1,834	24x	Average trading forward P/E of global industrial peers
Others & finance income	148,533	12,378	12x	
Total equity fair value (Dec-2028)	872,185			
Discount rate	7.5%			
Total equity fair value (Jun-2027)	782,521			
No of shares (mn)	7,469			
Price target (Rmb/share)	105			

Source: J.P. Morgan estimate

Risks to Rating and Price Target

Key downside risks: 1) Poor execution leading to suboptimal B2B growth; 2) China home appliance demand declines more sharply post-subsidy; 3) inability to pass through cost inflation amid competition; 4) US tariff escalation and potential Europe tariff; and 5) FX translation risk.

Key upside risks: 1) faster-than-expected B2B growth delivery; 2) China subsidy extension into 2027 reducing the demand cliff; 3) faster margin convergence towards global B2B peers.

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Midea Group - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**407,150**	**456,452**	**482,667**	**512,972**	**546,716**
COGS	(291,761)	(326,650)	(348,106)	(368,776)	(391,911)
Gross profit	**107,565**	**120,462**	**125,600**	**134,733**	**144,918**
SG&A	(53,260)	(58,984)	(60,333)	(64,634)	(68,886)
Adj. EBITDA	**49,255**	**54,473**	**58,581**	**61,325**	**65,505**
D&A	(7,824)	(9,340)	(8,961)	(9,463)	(9,887)
Adj. EBIT	**41,431**	**45,133**	**49,620**	**51,862**	**55,618**
Net Interest	5,259	7,952	6,177	8,784	9,655
Adj. PBT	**46,690**	**53,085**	**55,797**	**60,646**	**65,273**
Tax	(7,933)	(8,565)	(8,928)	(9,703)	(10,444)
Minority Interest	(220)	(575)	(605)	(611)	(603)
Adj. Net Income	**38,537**	**43,945**	**46,264**	**50,332**	**54,226**
Reported EPS	5.42	5.78	6.14	6.79	7.44
Adj. EPS	**5.42**	**5.78**	**6.14**	**6.79**	**7.44**
DPS	**3.50**	**4.30**	**4.63**	**5.09**	**5.61**
Payout ratio	64.6%	74.5%	75.4%	74.9%	75.4%
Shares outstanding	7,113	7,608	7,529	7,409	7,292

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	140,410	85,247	104,057	111,423	124,212
Accounts receivable	80,475	82,858	85,938	89,938	94,392
Inventories	63,339	64,629	69,628	73,757	78,351
Other current assets	104,839	183,929	183,929	183,929	183,929
Current assets	**389,064**	**416,662**	**443,551**	**459,046**	**480,883**
PP&E	43,529	53,582	58,183	62,226	65,798
LT investments	110,667	66,792	68,522	68,752	68,982
Other non current assets	61,092	71,756	70,993	70,360	69,852
Total assets	**604,352**	**608,792**	**641,249**	**660,383**	**685,516**
Short term borrowings	70,671	49,726	49,726	49,726	49,726
Payables	141,459	154,127	162,224	170,459	179,624
Other short term liabilities	139,690	139,530	146,248	155,430	165,655
Current liabilities	**351,820**	**343,384**	**358,198**	**375,616**	**395,005**
Long-term debt	13,759	15,854	30,854	20,159	20,159
Other long term liabilities	11,106	13,130	13,407	13,587	13,711
Total liabilities	**376,684**	**372,368**	**402,458**	**409,363**	**428,875**
Shareholders' equity	216,750	223,221	224,982	236,602	241,618
Minority interests	10,917	13,203	13,808	14,419	15,022
Total liabilities & equity	**604,352**	**608,792**	**641,249**	**660,383**	**685,516**
BVPS	**30.47**	**29.34**	**29.88**	**31.93**	**33.14**
Net debt/(cash)	(55,980)	(19,667)	(23,477)	(41,538)	(54,327)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**60,512**	**53,346**	**57,841**	**64,555**	**69,268**
o/w Depreciation & amortization	7,824	9,340	8,961	9,463	9,887
o/w Changes in working capital	20,202	5,280	6,735	9,289	10,341
Cash flow from investing activities	**(87,902)**	**25,340**	**(6,992)**	**(5,131)**	**(4,542)**
o/w Capital expenditure	(7,840)	(11,142)	(10,869)	(10,923)	(10,984)
as % of sales	*1.9%*	*2.4%*	*2.3%*	*2.1%*	*2.0%*
Cash flow from financing activities	**22,698**	**(64,958)**	**(32,039)**	**(52,057)**	**(51,936)**
o/w Dividends paid	(22,822)	(33,080)	(32,385)	(34,094)	(37,092)
o/w Shares issued/(repurchased)	34,633	(6,973)	(13,000)	(5,500)	(13,000)
o/w Net debt issued/(repaid)	12,814	(23,205)	15,000	(10,695)	0
Net change in cash	**(4,769)**	**13,390**	**18,810**	**7,366**	**12,789**
Adj. Free cash flow to firm	**52,672**	**42,204**	**46,973**	**53,632**	**58,284**
y/y Growth	*2.1%*	*(19.9%)*	*11.3%*	*14.2%*	*8.7%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	26.4%	26.4%	26.0%	26.3%	26.5%
EBITDA margin	12.1%	11.9%	12.1%	12.0%	12.0%
EBIT margin	10.2%	9.9%	10.3%	10.1%	10.2%
Net profit margin	9.5%	9.6%	9.6%	9.8%	9.9%
ROE	20.3%	20.0%	20.6%	21.8%	22.7%
ROA	7.1%	7.2%	7.4%	7.7%	8.1%
ROCE	12.8%	12.8%	14.0%	14.2%	15.1%
SG&A/Sales	13.1%	12.9%	12.5%	12.6%	12.6%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	0.7	0.8	0.8	0.8	0.8
Assets/Equity	287.2%	275.7%	278.9%	282.0%	281.4%
Interest cover (x)	-	-	-	-	-
Operating leverage	181.3%	73.8%	173.1%	72.0%	110.1%
Tax rate	17.0%	16.1%	16.0%	16.0%	16.0%
Revenue y/y Growth	9.4%	12.1%	5.7%	6.3%	6.6%
EBITDA y/y Growth	15.3%	10.6%	7.5%	4.7%	6.8%
EPS y/y Growth	10.0%	6.6%	6.4%	10.6%	9.5%
BVPS y/y Growth	28.1%	(3.7%)	1.8%	6.9%	3.8%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	15.2	14.3	13.4	12.1	11.1
P/BV (x)	2.7	2.8	2.8	2.6	2.5
P/Sales (x)	1.4	1.4	1.3	1.2	1.1
EV/EBITDA (x)	-	7.8	7.2	6.6	6.0
Dividend Yield	4.2%	5.2%	5.6%	6.2%	6.8%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Haier Smart Home Co Ltd - A

Global OBM champion at a cyclical trough; assume coverage at OW

▲Overweight
Previous: Neutral

600690.SS, 600690 CH
Price (09 Jun 26):Rmb20.07

▼Price Target (Jun-27):Rmb25.00
Prior (Dec-26):Rmb30.00

Co-Head of Asia Pacific Consumer Research and Head of Asia Gaming/ Leisure Research

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Yibo Wu
(852) 2800-8559
yibo.wu@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	2.39	2.20	-8.2%
Adj. EPS - 27E (Rmb)	2.59	2.44	-5.9%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	24	31	31	39	35
Growth	79	34	62	24	73
Momentum	80	58	64	65	37
Quality	38	10	23	5	27
Low Vol	17	23	22	20	36
ESGQ	10	4	4	2	-

We assume coverage of Haier-A at OW with a PT of Rmb25, implying 24% upside. Haier is the world's #1 OBM major appliance company, with a proven product innovation engine driving sustainable share gains across China, the US, and Europe. The stock's near-term overhang - a significant US earnings decline from tariff impact - is well understood and, in our view, already reflected in the current 8x FY27E P/E. Total shareholder return of 10% (dividends + buybacks) provides a meaningful floor. For long-term investors, this creates an opportunity to accumulate a structurally improving franchise at a cyclical trough. Key catalysts include US profit margin recovery (via price hikes passing through tariff costs or supply chain restructuring) and continued European margin expansion. We forecast sales/ earnings to grow 4%/4% YoY in FY26E and show a 4.4%/8.2% CAGR over FY26–28E.

- **US: the key swing factor - trough in 1H26, recovery from 2H26.** The US segment (GE Appliances, acquired 2016) accounts for ~20% of Haier's FY25 profit pool and is bearing the brunt of tariffs. Management expects sequential improvement in 2H26 as supply chain measures take effect and the YoY tariff comparison eases by 5–10ppt. Importantly, several participants have announced price increases - Electrolux raised prices 5–20% and Whirlpool 10–14% (per their April–May earnings calls), while Haier has indicated it will adjust pricing according to market dynamics. This comes at the cost of some demand slowdown, but protects margins. We model US OPM recovering from 3.5% (FY26E) to 5.5% (FY28E), implying a 30% OP CAGR from the FY26 trough.
- **Non-US overseas: the underappreciated growth engine.** Excluding the US, Haier's OP grew 10% YoY in 1Q26 - demonstrating that the vast majority of the franchise is performing well despite the US drag. In Europe, revenue grew 10%+ with HVAC up 20%+; in emerging markets, South Asia grew 17% and Southeast Asia 12%. The newly unified HVAC business group (merging residential AC, commercial AC, and water heating) provides medium-term B2B optionality. We expect non-US overseas OP to show a 16% CAGR over FY26–28E, providing earnings resilience even if the US recovery is slower than expected.
- **Assume coverage at OW: near-term pain is priced in, earnings upgrades ahead.** At current levels, the market is pricing Haier for the trough - US OP margin compressed from 7% (pre-tariff) to ~3% in 1Q26, with 1Q26 US profit declining ~60% YoY. What is not priced in are the recovery drivers that will trigger consensus upgrades: (1) US supply chain restructuring reducing tariff exposure (shifting the current 15% China-to-US production to Thailand, Vietnam, and the US, with China reliance falling to low-single-digits by 2027); (2) Europe's turnaround (closures and layoffs completed; sustainable share gains and operating leverage ahead); and (3) China efficiency gains (digital transformation, DTC delivery reaching 100% coverage by end-2026). As these cost-reduction measures prove effective, we expect consensus EPS revisions upward, driving share price recovery. Downside risks include domestic margin erosion, incremental US or Europe tariffs, and FX translation.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Price Performance

	YTD	1m	3m	12m
Abs	-23.1%	-6.2%	-17.8%	-19.7%
Rel	-22.9%	-0.9%	-14.4%	-36.1%

Company Data

Shares O/S (mn)	9,380
52-week range (Rmb)	28.31-19.91
Market cap ($ mn)	27,754
Exchange rate	6.78
Free float (%)	52.9%
3M ADV (mn)	51.63
3M ADV ($ mn)	164.8
Volatility (90 Day)	22
Index	SSE
BBG ANR (Buy | Hold | Sell)	34|5|0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	302,347	314,557	328,307	342,759
Adj. EBITDA	31,924	34,590	36,311	38,368
Adj. EBIT	23,428	25,911	27,256	28,962
Adj. net income	19,553	20,352	22,135	23,824
Adj. EPS	2.08	2.20	2.44	2.66
BBG EPS	2.26	2.21	2.41	2.57
Cashflow from operations	26,003	30,872	33,971	35,663
FCFF	17,108	22,700	24,835	26,170
Margins and Growth				
Revenue Growth Y/Y (%)	5.7%	4.0%	4.4%	4.4%
Gross margin	26.7%	26.2%	26.5%	26.5%
EBITDA margin	10.6%	11.0%	11.1%	11.2%
EBIT margin	7.7%	8.2%	8.3%	8.4%
Adj. EPS growth	4.7%	5.3%	10.9%	9.3%
Ratios				
Adj. tax rate	14.1%	14.2%	15.0%	15.0%
Interest cover	NM	23.9	90.4	651.7
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	12.9%	13.8%	14.0%	14.6%
ROE	17.0%	17.0%	17.8%	18.3%
Valuation				
FCFF yield	9.1%	12.2%	13.6%	14.6%
Dividend yield	5.7%	6.4%	7.3%	8.0%
EV/Revenue	0.6	0.5	0.5	0.5
EV/EBITDA	5.3	4.9	4.6	4.2
Adj. P/E	9.6	9.1	8.2	7.5

Summary Investment Thesis and Valuation

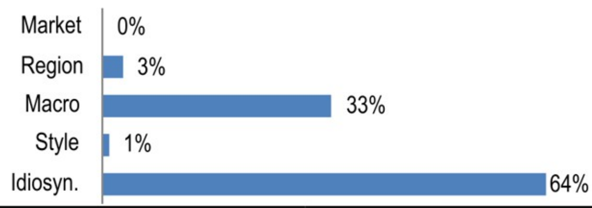
Investment Thesis

We are OW on Haier-A. Haier is the world's #1 OBM appliance company trading at a cyclical trough (8x FY27E P/E) driven by a single-market headwind that we believe is fully priced in. The US segment (~20% of FY25 profit pool) is troughing in 1H26 but multiple recovery levers are in motion—supply chain restructuring, industry-wide price hikes, and easing tariff comps. Excluding the US, OP grew 10% in 1Q26 with Europe, China, and emerging markets all inflecting positively. We expect non-US overseas business to deliver 16% OP CAGR over FY26–28E. Total shareholder return of 10% provides a floor. We forecast group earnings CAGR of 8.2% over FY26–28E, with consensus upgrades as the US recovery materializes.

Valuation

Our PT of Rmb25 is based on 10x FY27E P/E, a discount to Haier-A's historical average of 12x, justified by current low earnings visibility due to the US tariff overhang.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.20	0.17
Region: China	0.05	0.21
Macro:		
JPM China A-shares Sentiment	0.37	0.34
HSI Volatility Index	-0.44	-0.33
JP Morgan EMBI Global Spread	-0.06	-0.28
Quant Styles:		
Momentum	-0.28	-0.19
Size	-0.22	-0.16
Value	0.09	0.15

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Financial forecasts

- We forecast Haier's revenue/earnings to grow 4%/4% yoy in FY26E and show a 4.4%/8.2% CAGR over FY26-28E.
- We expect the revenue growth to be driven mainly by overseas (a 9% CAGR over 26-28E), while China sales will decline slightly (-1% CAGR).
- We expect gross margin to erode 0.5ppt in FY26E while SG&A savings will help drive OP margin improvement to 7.4%.

Table 15: Haier - Segment sales and OP

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E	CAGR
SEGMENT SALES						**26-28**
Total sales	286,015	302,347	314,557	328,307	342,759	4.4%
China	142,201	146,555	149,281	146,366	145,638	-1.2%
Overseas	143,814	155,792	165,276	181,941	197,121	9.2%
- US	79,529	79,871	80,669	84,703	87,244	4.0%
- Non-US	64,285	75,921	84,607	97,238	109,877	14.0%
Sales YoY%	4.3%	5.7%	4.0%	4.4%	4.4%	
China	3.2%	3.1%	1.9%	-2.0%	-0.5%	
Overseas	5.4%	8.3%	6.1%	10.1%	8.3%	
- US	-0.3%	0.4%	1.0%	5.0%	3.0%	
- Non-US	13.5%	18.1%	11.4%	14.9%	13.0%	
Sales Mix%	100%	100%	100%	100%	100%	
China	50%	48%	47%	45%	42%	
Overseas	50%	52%	53%	55%	58%	
- US	28%	26%	26%	26%	25%	
- Non-US	22%	25%	27%	30%	32%	
SEGMENT OP						
Total OP - Co definition *	20,586	20,768	22,095	23,480	25,018	6.4%
China	13,078	13,405	13,883	13,612	13,544	-1.2%
Overseas	7,508	7,363	8,212	9,868	11,473	18.2%
- US	5,249	4,313	3,630	4,405	5,235	20.1%
- Non-US	2,259	3,050	4,581	5,463	6,239	16.7%
OP margin	7.2%	6.9%	7.0%	7.2%	7.3%	
China	9.2%	9.1%	9.3%	9.3%	9.3%	
Overseas	5.2%	4.7%	5.0%	5.4%	5.8%	
- US	6.6%	5.4%	4.5%	5.2%	6.0%	
- Non-US	3.5%	4.0%	5.4%	5.6%	5.7%	
OP Mix%	100%	100%	100%	100%	100%	
China	64%	65%	63%	58%	54%	
Overseas	36%	35%	37%	42%	46%	
- US	25%	21%	16%	19%	21%	
- Non-US	11%	15%	21%	23%	25%	

Note: (*) Company definition of OP = Revenue - COGS - selling/admin/R&D expenses - business tax - asset impairment cost
Source: Company data, J.P. Morgan estimates

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Table 16: Haier - Summary of P&L

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E	CAGR	1Q26	2Q26E	3Q26E	4Q26E
P&L						**26-28**				
Revenue	**286,015**	**302,347**	**314,557**	**328,307**	**342,759**	**4.4%**	**73,687**	**78,606**	**82,597**	**79,668**
YoY%	*4.3%*	*5.7%*	*4.0%*	*4.4%*	*4.4%*		*-6.9%*	*1.6%*	*6.5%*	*16.7%*
COGS	(206,439)	(221,739)	(232,100)	(241,333)	(251,795)		(55,012)	(57,139)	(60,575)	(59,373)
GROSS PROFIT	**79,576**	**80,608**	**82,458**	**86,974**	**90,964**	**5.0%**	**18,675**	**21,467**	**22,022**	**20,294**
Selling expense	(33,609)	(33,878)	(33,658)	(35,785)	(37,361)		(6,317)	(7,939)	(9,499)	(9,903)
Admin expense	(12,135)	(13,762)	(13,841)	(14,117)	(14,396)		(2,914)	(3,301)	(3,056)	(4,569)
R&D expense	(10,770)	(10,096)	(10,380)	(10,834)	(11,311)		(3,109)	(2,358)	(3,304)	(1,609)
Business taxes and surcharges	(1,278)	(1,330)	(1,383)	(1,444)	(1,507)		(348)	(336)	(344)	(355)
OPERATING PROFIT (Non-GAAP)	**21,784**	**21,542**	**23,196**	**24,793**	**26,389**	**6.7%**	**5,987**	**7,532**	**5,819**	**3,859**
OPERATING PROFIT (Co definition)	**20,206**	**20,202**	**22,095**	**23,480**	**25,018**	**6.4%**	**5,763**	**6,991**	**5,605**	**3,735**
Other income and expenses	1,910	1,886	2,715	2,463	2,573		469	499	490	1,257
Finance income/(expense)	(972)	51	(1,450)	(402)	(59)		(735)	(500)	(200)	(15)
Profit before tax	**22,723**	**23,479**	**24,461**	**26,854**	**28,903**	**8.7%**	**5,721**	**7,531**	**6,109**	**5,101**
Income tax expense	(3,157)	(3,316)	(3,473)	(4,028)	(4,335)		(914)	(1,205)	(916)	(438)
Minority interest	(834)	(610)	(635)	(691)	(744)		(155)	(302)	(17)	(162)
Net profit	**18,731**	**19,553**	**20,352**	**22,135**	**23,824**	**8.2%**	**4,652**	**6,024**	**5,176**	**4,501**
YoY%	*12.9%*	*4.4%*	*4.1%*	*8.8%*	*7.6%*		*-15.2%*	*-8.0%*	*-3.1%*	*106.5%*
Check	-	-	-	-	-		-	-	-	-
Dividend	**8,997**	**10,755**	**11,804**	**13,281**	**14,294**		**-2%**	**7%**	**9%**	**26%**
Buyback	**-**	**1,292**	**7,000**	**4,500**	**4,500**					
Total payout ratio (dvd+bbk)	*48.0%*	*61.6%*	*92.4%*	*80.3%*	*78.9%*					
Profit margins										
Gross margin	27.8%	26.7%	26.2%	26.5%	26.5%		25.3%	27.3%	26.7%	25.5%
Operating margin (Non-GAAP)	7.6%	7.1%	7.4%	7.6%	7.7%		8.1%	9.6%	7.0%	4.8%
Operating margin (Co definition)	7.1%	6.7%	7.0%	7.2%	7.3%		7.8%	8.9%	6.8%	4.7%
Net margin	6.5%	6.5%	6.5%	6.7%	7.0%		6.3%	7.7%	6.3%	5.6%
Effective tax rate	-14%	-14%	-14%	-15%	-15%		-16%	-16%	-15%	-9%
YoY growth										
Revenue	4.3%	5.7%	4.0%	4.4%	4.4%		-6.9%	1.6%	6.5%	16.7%
COGS	3.8%	7.4%	4.7%	4.0%	4.3%		-6.8%	3.1%	8.3%	15.6%
Gross profit	5.6%	1.3%	2.3%	5.5%	4.6%		-7.1%	-2.3%	1.8%	19.9%
Selling expense	2.7%	0.8%	-0.6%	6.3%	4.4%		-17.0%	-3.3%	5.2%	9.7%
Admin expense	2.2%	13.4%	0.6%	2.0%	2.0%		17.0%	-2.9%	5.3%	-8.0%
R&D expense	3.8%	-6.3%	2.8%	4.4%	4.4%		-5.6%	-5.6%	-3.7%	84.2%
OPERATING PROFIT (Non-GAAP)	13.3%	-1.1%	7.7%	6.9%	6.4%		-5.7%	0.0%	-2.0%	123.3%
OPERATING PROFIT (Co definition)	15.7%	0.0%	9.4%	6.3%	6.5%		-5.1%	0.0%	-2.0%	163.4%
Other income and expenses	28.7%	-1.3%	44.0%	-9.3%	4.5%		74.3%	0.0%	0.0%	100.3%
Finance income/(expense)	92.2%	-105.2%	-2945.1%	-72.3%	-85.3%		-431.6%	-486.7%	121.7%	-92.8%
PBT	12.4%	3.3%	4.2%	9.8%	7.6%		-16.4%	-7.7%	-3.6%	137.7%
Net profit	12.9%	4.4%	4.1%	8.8%	7.6%		-15.2%	-8.0%	-3.1%	106.5%

Source: Company data, J.P. Morgan estimates

Table 17: Haier - Balance sheet

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
BALANCE SHEET					
Current Assets	**151,690**	**152,833**	**157,317**	**165,160**	**170,415**
Cash and Cash equivalents	55,584	47,622	48,082	52,841	54,208
Short-term investments	2,818	10,782	10,982	10,982	10,982
Receivables	50,243	47,581	49,048	50,657	52,348
Inventories	43,044	46,849	49,205	50,680	52,877
Non-Current Assets	**138,424**	**142,962**	**145,837**	**148,492**	**150,958**
PP&E	49,638	51,924	54,802	57,401	59,755
Intangible assets	14,035	14,225	14,222	14,278	14,391
Goodwill	27,384	27,300	27,300	27,300	27,300
Long-term investments	42,640	43,880	43,880	43,880	43,880
Deferred tax & other assets	4,727	5,633	5,633	5,633	5,633
Total Assets	**290,114**	**295,795**	**303,154**	**313,652**	**321,373**
Current Liabilities	**149,571**	**142,346**	**146,178**	**149,854**	**153,983**
Borrowings	30,313	26,100	26,100	26,100	26,100
Payables	108,335	107,521	111,080	114,371	118,095
Deferred revenues	10,852	8,535	8,808	9,193	9,597
Others	71	191	191	191	191
Non-Current Liabilities	**22,153**	**27,472**	**27,766**	**28,066**	**24,873**
Borrowings	9,665	14,666	14,666	14,666	11,166
Lease liabilities	4,481	4,551	4,846	5,145	5,452
Deferred tax & other liabilities	8,008	8,254	8,254	8,254	8,254
Total Liabilities	**171,725**	**169,818**	**173,945**	**177,920**	**178,855**
Shareholder's Equity	**111,366**	**118,698**	**121,296**	**127,127**	**133,169**
Minority interest	7,023	7,279	7,914	8,605	9,348
Total Liabilities & Equity	**290,114**	**295,795**	**303,154**	**313,652**	**321,373**

Source: Company data, J.P. Morgan estimate

Table 18: Haier - Cashflow statement

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
CASH FLOW STATEMENT					
Profit after tax	**19,566**	**20,163**	**20,988**	**22,826**	**24,567**
Depreciation and amortization	7,613	8,496	8,679	9,055	9,407
SBC					
Working capital changes	(2,532)	(5,550)	9	593	240
Other adjustments	1,886	2,894	1,196	1,497	1,448
Operating cash flow (OpCF)	**26,533**	**26,003**	**30,872**	**33,971**	**35,663**
YoY%	*0.0%*	*-2.0%*	*18.7%*	*10.0%*	*5.0%*
% of net profit	*1.4x*	*1.3x*	*1.5x*	*1.5x*	*1.5x*
Free cash flow (FCF)	**16,461**	**17,151**	**21,456**	**24,493**	**26,120**
YoY%	*2.9%*	*4.2%*	*25.1%*	*14.2%*	*6.6%*
% of net profit	*0.9x*	*0.9x*	*1.1x*	*1.1x*	*1.1x*
Capital expenditures (CAPEX)	(10,072)	(8,852)	(9,416)	(9,477)	(9,542)
Investments	(5,636)	(8,473)	1,699	1,773	1,851
M&A	(4,409)	-	-	-	-
Others	42	249	(1,101)	(1,313)	(1,371)
CF from investment activities	**(20,074)**	**(17,075)**	**(8,818)**	**(9,018)**	**(9,063)**
Share issuance	269	65	-	-	-
Buybacks	-	(1,292)	(7,000)	(4,500)	(4,500)
Dividends (including interest paid)	(9,982)	(13,873)	(12,749)	(13,761)	(15,209)
Change in debt	4,080	1,519	-	-	(3,500)
Others	(2,281)	(4,090)	(1,844)	(1,933)	(2,024)
CF from financing activities	**(7,914)**	**(17,671)**	**(21,593)**	**(20,194)**	**(25,233)**
FX effect	(257)	16	-	-	-
Net cash flow	**(1,712)**	**(8,727)**	**461**	**4,759**	**1,367**
Beginning cash	54,759	54,995	46,268	46,728	51,487
Ending cash	**53,047**	**46,268**	**46,728**	**51,487**	**52,854**
Add: Deposits with original maturity >3M	2,537	1,354	1,354	1,354	1,354
Cash on balance sheet	**55,584**	**47,622**	**48,082**	**52,841**	**54,208**

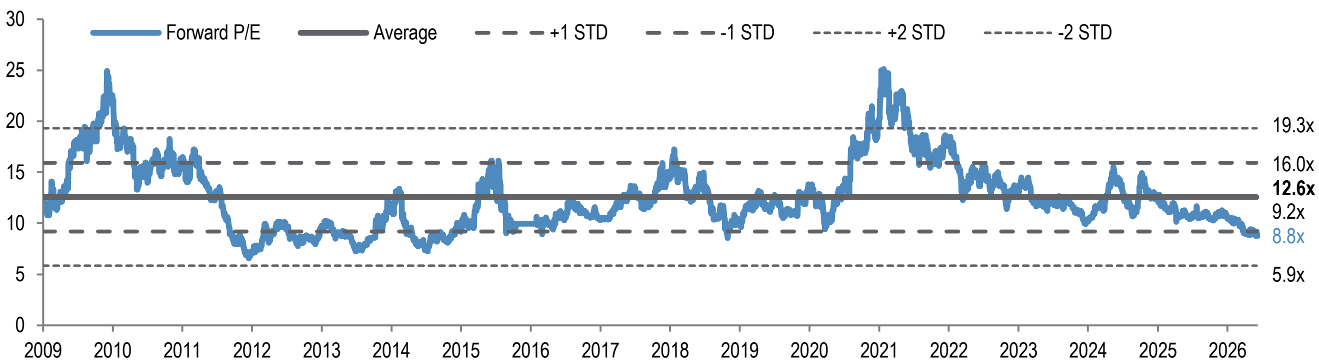
Source: Company data, J.P. Morgan estimate

Valuation and price target

We use a relative valuation methodology, benchmarking to Haier's historical P/E band and peer multiples. Historically, Haier-A has traded at an average of 12.6x 12M forward P/E, with the multiple highly correlated to 12M forward earnings YoY growth expectations. As consensus earnings growth estimates have dropped to their lowest level since 2021, we expect the valuation multiple to remain depressed until an inflection point in the earnings forecast emerges.

We assign a 10x FY27E P/E to Haier-A — a 20% discount to the historical average, reflecting the current trough in earnings momentum — and arrive at our Jun-27 PT of Rmb25.

Figure 46: Haier - A share historical P/E band



Source: Bloomberg Finance L.P. (as of Jun 8, 2026)

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Investment Thesis, Valuation and Risks

Haier Smart Home Co Ltd - A *(Overweight; Price Target: Rmb25.00)*

Investment Thesis

We are OW on Haier-A. Haier is the world's #1 OBM appliance company trading at a cyclical trough (8x FY27 P/E) driven by a single-market headwind that we believe is fully priced in. The US segment (~20% of FY25 profit pool) is troughing in 1H26 but multiple recovery levers are in motion—supply chain restructuring, industry-wide price hikes, and easing tariff comps. Excluding the US, OP grew 10% in 1Q26 with Europe, China, and emerging markets all inflecting positively. We expect non-US overseas business to deliver 16% OP CAGR over FY26–28E. Total shareholder return of 10% provides a floor. We forecast group earnings CAGR of 8.2% over FY26–28E, with consensus upgrades as the US recovery materializes.

Valuation

Our PT of Rmb25 is based on 10x FY27E P/E, a discount to Haier-A's historical average of 12x, justified by current low earnings visibility due to the US tariff overhang.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) US tariff escalation or supply chain delays extending the US margin trough; 2) China demand declining faster than forecast if subsidy cliff materializes more severely; 3) inability to pass through cost inflation amid competition; and 4) FX translation risk.

Upside risks include: 1) US industry price hikes proving more effective with limited demand destruction; 2) fast sales growth in emerging markets; 3) fast European margin improvement; 4) China subsidy extension into 2027 reducing subsidy cliff.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Haier Smart Home Co Ltd - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**286,015**	**302,347**	**314,557**	**328,307**	**342,759**
COGS	(198,826)	(213,243)	(223,420)	(232,278)	(242,388)
Gross profit	**79,576**	**80,608**	**82,458**	**86,974**	**90,964**
SG&A	(45,744)	(47,640)	(47,498)	(49,903)	(51,757)
Adj. EBITDA	**31,308**	**31,924**	**34,590**	**36,311**	**38,368**
D&A	(7,613)	(8,496)	(8,679)	(9,055)	(9,407)
Adj. EBIT	**23,695**	**23,428**	**25,911**	**27,256**	**28,962**
Net Interest	(972)	51	(1,450)	(402)	(59)
Adj. PBT	**22,723**	**23,479**	**24,461**	**26,854**	**28,903**
Tax	(3,157)	(3,316)	(3,473)	(4,028)	(4,335)
Minority Interest	(834)	(610)	(635)	(691)	(744)
Adj. Net Income	**18,731**	**19,553**	**20,352**	**22,135**	**23,824**
Reported EPS	1.99	2.08	2.20	2.44	2.66
Adj. EPS	**1.99**	**2.08**	**2.20**	**2.44**	**2.66**
DPS	**0.96**	**1.15**	**1.29**	**1.47**	**1.61**
Payout ratio	48.2%	55.0%	58.7%	60.5%	60.5%
Shares outstanding	9,411	9,380	9,268	9,090	8,954

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	55,584	47,622	48,082	52,841	54,208
Accounts receivable	50,243	47,581	49,048	50,657	52,348
Inventories	43,044	46,849	49,205	50,680	52,877
Other current assets	2,818	10,782	10,982	10,982	10,982
Current assets	**151,690**	**152,833**	**157,317**	**165,160**	**170,415**
PP&E	49,638	51,924	54,802	57,401	59,755
LT investments	42,640	43,880	43,880	43,880	43,880
Other non current assets	46,146	47,158	47,155	47,211	47,324
Total assets	**290,114**	**295,795**	**303,154**	**313,652**	**321,373**
Short term borrowings	30,313	26,100	26,100	26,100	26,100
Payables	108,335	107,521	111,080	114,371	118,095
Other short term liabilities	10,923	8,725	8,998	9,383	9,788
Current liabilities	**149,571**	**142,346**	**146,178**	**149,854**	**153,983**
Long-term debt	9,665	14,666	14,666	14,666	11,166
Other long term liabilities	12,488	12,806	13,101	13,400	13,707
Total liabilities	**171,725**	**169,818**	**173,945**	**177,920**	**178,855**
Shareholders' equity	111,366	118,698	121,296	127,127	133,169
Minority interests	7,023	7,279	7,914	8,605	9,348
Total liabilities & equity	**290,114**	**295,795**	**303,154**	**313,652**	**321,373**
BVPS	**11.83**	**12.65**	**13.09**	**13.98**	**14.87**
Net debt/(cash)	(15,606)	(6,856)	(7,317)	(12,076)	(16,943)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**26,533**	**26,003**	**30,872**	**33,971**	**35,663**
o/w Depreciation & amortization	7,613	8,496	8,679	9,055	9,407
o/w Changes in working capital	(2,532)	(5,550)	9	593	240
Cash flow from investing activities	**(20,074)**	**(17,075)**	**(8,818)**	**(9,018)**	**(9,063)**
o/w Capital expenditure	(10,072)	(8,852)	(9,416)	(9,477)	(9,542)
as % of sales	*3.5%*	*2.9%*	*3.0%*	*2.9%*	*2.8%*
Cash flow from financing activities	**(7,914)**	**(17,671)**	**(21,593)**	**(20,194)**	**(25,233)**
o/w Dividends paid	(9,982)	(13,873)	(12,749)	(13,761)	(15,209)
o/w Shares issued/(repurchased)	269	(1,226)	(7,000)	(4,500)	(4,500)
o/w Net debt issued/(repaid)	4,080	1,519	0	0	(3,500)
Net change in cash	**(1,712)**	**(8,727)**	**461**	**4,759**	**1,367**
Adj. Free cash flow to firm	**17,298**	**17,108**	**22,700**	**24,835**	**26,170**
y/y Growth	*5.3%*	*(1.1%)*	*32.7%*	*9.4%*	*5.4%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	27.8%	26.7%	26.2%	26.5%	26.5%
EBITDA margin	10.9%	10.6%	11.0%	11.1%	11.2%
EBIT margin	8.3%	7.7%	8.2%	8.3%	8.4%
Net profit margin	6.5%	6.5%	6.5%	6.7%	7.0%
ROE	17.6%	17.0%	17.0%	17.8%	18.3%
ROA	6.8%	6.7%	6.8%	7.2%	7.5%
ROCE	14.3%	12.9%	13.8%	14.0%	14.6%
SG&A/Sales	16.0%	15.8%	15.1%	15.2%	15.1%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	1.0	1.0	1.1	1.1	1.1
Assets/Equity	259.2%	254.7%	249.6%	248.3%	244.0%
Interest cover (x)	32.2	NM	23.9	90.4	651.7
Operating leverage	333.7%	(19.7%)	262.4%	118.8%	142.2%
Tax rate	13.9%	14.1%	14.2%	15.0%	15.0%
Revenue y/y Growth	4.3%	5.7%	4.0%	4.4%	4.4%
EBITDA y/y Growth	12.4%	2.0%	8.4%	5.0%	5.7%
EPS y/y Growth	13.2%	4.7%	5.3%	10.9%	9.3%
BVPS y/y Growth	10.3%	6.9%	3.4%	6.9%	6.3%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	10.1	9.6	9.1	8.2	7.5
P/BV (x)	1.7	1.6	1.5	1.4	1.3
P/Sales (x)	0.7	0.6	0.6	0.6	0.5
EV/EBITDA (x)	-	5.3	4.9	4.6	4.2
Dividend Yield	4.8%	5.7%	6.4%	7.3%	8.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Haier Smart Home Co Ltd - H

Global OBM champion at a cyclical trough; assume coverage at OW

Overweight

6690.HK, 6690 HK
Price (09 Jun 26):HK$20.72

▼**Price Target (Jun-27):HK$25.00**
Prior (Dec-26):HK$32.00

Co-Head of Asia Pacific Consumer Research and Head of Asia Gaming/ Leisure Research

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Yibo Wu
(852) 2800-8559
yibo.wu@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	2.39	2.20	-8.2%
Adj. EPS - 27E (Rmb)	2.59	2.44	-5.9%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	21	20	22	34	50
Growth	75	40	31	20	77
Momentum	79	64	82	63	59
Quality	30	12	8	7	38
Low Vol	42	52	50	53	82

We assume coverage of Haier-H at OW with a PT of HK$25, implying 20% upside. Haier is the world's #1 OBM major appliance company, with a proven product innovation engine driving sustainable share gains across China, the US, and Europe. The stock's near-term overhang—a significant US earnings decline from tariff impact—is well understood and, in our view, already reflected in the current 7x FY27E P/E. Total shareholder return of 11% (dividends + buybacks) provides a meaningful floor. For long-term investors, this creates an opportunity to accumulate a structurally improving franchise at a cyclical trough. Haier-H shares currently trade at a nearly 20% discount from Haier-A shares (vs the 10% historical average discount), providing a more attractive risk-reward profile. We forecast group sales/earnings to grow 4%/4% YoY in FY26E and to show a 4.4%/8.2% CAGR over FY26–28E. Key catalysts include US profit margin recovery (via price hikes passing through tariff costs or supply chain restructuring) and continued European margin expansion.

- **US: the key swing factor - trough in 1H26, recovery from 2H26**. The US segment (GE Appliances, acquired 2016) accounts for ~20% of Haier's FY25 profit pool and is bearing the brunt of tariffs. Management expects sequential improvement in 2H26 as supply chain measures take effect and the YoY tariff comparison eases by 5–10ppt. Importantly, several participants have announced price increases - Electrolux raised prices 5–20% and Whirlpool 10–14% (per their April–May earnings calls), while Haier has indicated it will adjust pricing according to market dynamics. This comes at the cost of some demand slowdown, but protects margins. We model US OPM recovering from 3.5% (FY26E) to 5.5% (FY28E), implying a 30% OP CAGR from the FY26 trough.
- **Non-US overseas: the underappreciated growth engine**. Excluding the US, Haier's OP grew 10% YoY in 1Q26 - demonstrating that the vast majority of the franchise is performing well despite the US drag. In Europe, revenue grew 10%+ with HVAC up 20%+; in emerging markets, South Asia grew 17% and Southeast Asia 12%. The newly unified HVAC business group (merging residential AC, commercial AC, and water heating) provides medium-term B2B optionality. We expect non-US overseas OP to grow at a 16% CAGR over FY26–28E, providing earnings resilience even if the US recovery is slower than expected.
- **Assume coverage at OW: near-term pain is priced in, earnings upgrades ahead**. At current levels, the market is pricing Haier for the trough - US OP margin compressed from 7% (pre-tariff) to ~3% in 1Q26, with 1Q26 US profit declining ~60% YoY. What is not priced in are the recovery drivers that will trigger consensus upgrades: (1) US supply chain restructuring reducing tariff exposure (shifting the current 15% China-to-US production to Thailand, Vietnam, and the US, with China reliance falling to low-single-digits by 2027); (2) Europe's turnaround (closures and layoffs completed; sustainable share gains and operating leverage ahead); and (3) China efficiency gains (digital transformation, DTC delivery reaching 100% coverage by end-2026). As these cost-reduction measures prove effective, we expect consensus EPS revisions upward, driving share price recovery. Downside risks include domestic margin erosion, incremental US or Europe tariffs, FX translation, and positioning/liquidity risk that leads to widening of the H-share discount.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Price Performance

	YTD	1m	3m	12m
Abs	-15.2%	-4.8%	-17.7%	-11.4%
Rel	-11.4%	1.8%	-13.4%	-13.4%

Company Data

Shares O/S (mn)	9,380
52-week range (HK$)	28.20-19.05
Market cap ($ mn)	24,800
Exchange rate	7.84
Free float (%)	99.7%
3M ADV (mn)	21.39
3M ADV ($ mn)	58.3
Volatility (90 Day)	29
Index	HSI
BBG ANR (Buy | Hold | Sell)	19|5|0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	302,347	314,557	328,307	342,759
Adj. EBITDA	31,924	34,590	36,311	38,368
Adj. EBIT	23,428	25,911	27,256	28,962
Adj. net income	19,553	20,352	22,135	23,824
Adj. EPS	2.08	2.20	2.44	2.66
BBG EPS	2.28	2.21	2.45	2.63
Cashflow from operations	26,003	30,872	33,971	35,663
FCFF	17,108	22,700	24,835	26,170
Margins and Growth				
Revenue Growth Y/Y (%)	5.7%	4.0%	4.4%	4.4%
Gross margin	26.7%	26.2%	26.5%	26.5%
EBITDA margin	10.6%	11.0%	11.1%	11.2%
EBIT margin	7.7%	8.2%	8.3%	8.4%
Adj. EPS growth	4.7%	5.3%	10.9%	9.3%
Ratios				
Adj. tax rate	14.1%	14.2%	15.0%	15.0%
Interest cover	NM	23.9	90.4	651.7
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	12.9%	13.8%	14.0%	14.6%
ROE	17.0%	17.0%	17.8%	18.3%
Valuation				
FCFF yield	10.2%	13.7%	15.2%	16.3%
Dividend yield	6.4%	7.2%	8.2%	9.0%
EV/Revenue	0.6	0.5	0.5	0.5
EV/EBITDA	5.3	4.9	4.6	4.2
Adj. P/E	8.6	8.2	7.4	6.7

Summary Investment Thesis and Valuation

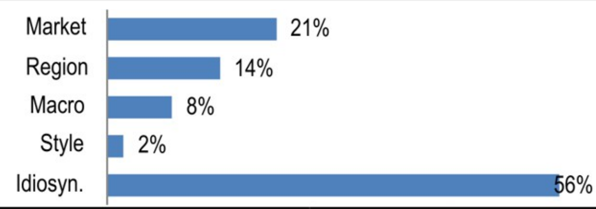
Investment Thesis

We are OW on Haier-H. Haier is the world's #1 OBM appliance company trading at a cyclical trough (7x FY27E P/E) driven by a single-market headwind that we believe is fully priced in. The US segment (~20% of FY25 profit pool) is troughing in 1H26 but multiple recovery levers are in motion—supply chain restructuring, industry-wide price hikes, and easing tariff comps. Excluding the US, OP grew 10% in 1Q26 with Europe, China, and emerging markets all inflecting positively. We expect non-US overseas business to deliver 16% OP CAGR over FY26–28E. Total shareholder return of 8-10% provides a floor. We forecast group earnings CAGR of 8.2% over FY26–28E, with consensus upgrades as US recovery materializes.

Valuation

Our PT of HK$25 is based on 9x FY27E P/E, a 10% discount to our target multiple of 10x for Haier-A.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.27	0.46
Region: China	0.36	0.42
Macro:		
JPM China A-shares Sentiment	0.28	0.26
Emerging Economies CPI(YoY)	-0.09	-0.24
US 10 Year Yield	0.15	0.22
Quant Styles:		
Momentum	-0.16	-0.11
Growth	0.03	0.09
LowVol	-0.04	-0.09

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Financial forecasts

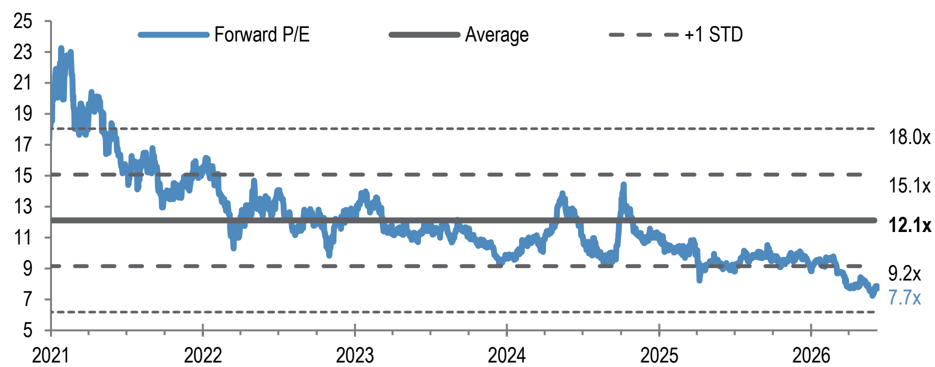
Please refer to the relevant section under Haier A.

Valuation and price target

We use a relative valuation methodology, benchmarking to Haier's historical P/E band and peer multiples. Historically, Haier-H has traded at an average of 12M forward P/E of 12x, with the multiple highly correlated to 12M forward earnings YoY growth expectations. As consensus earnings growth estimates have dropped to their lowest level since 2021, we expect the valuation multiple to remain depressed until an inflection point in the earnings forecast emerges.

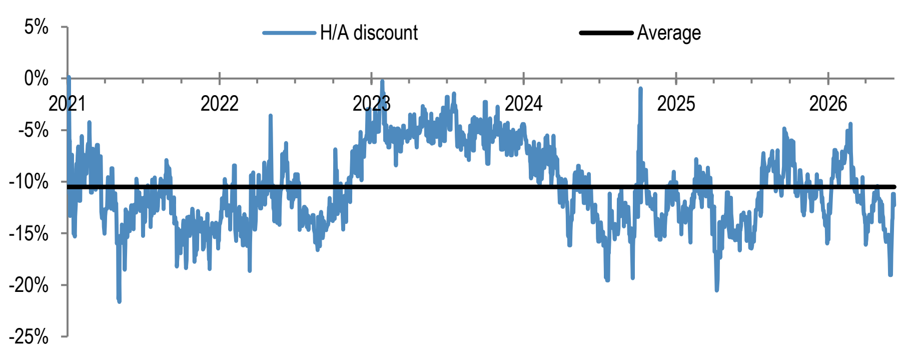
We assign a 9x FY27E P/E to Haier-H—a 10% discount to the A-shares and a 25% discount to the historical average, reflecting the current trough in earnings momentum — and arrive at our Jun-27 PT of HK$25.

Figure 47: Haier - H share historical P/E band



Source: Bloomberg Finance L.P. (as of Jun 8, 2026)

Figure 48: Haier - H share discount to the A share



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Investment Thesis, Valuation and Risks

Haier Smart Home Co Ltd - H *(Overweight; Price Target: HK$25.00)*

Investment Thesis

We are OW on Haier-H. Haier is the world's #1 OBM appliance company trading at a cyclical trough (7x FY27E P/E) driven by a single-market headwind that we believe is fully priced in. The US segment (~20% of FY25 profit pool) is troughing in 1H26 but multiple recovery levers are in motion—supply chain restructuring, industry-wide price hikes, and easing tariff comps. Excluding the US, OP grew 10% in 1Q26 with Europe, China, and emerging markets all inflecting positively. We expect non-US overseas business to deliver a 16% OP CAGR over FY26–28E. Total shareholder return of 8-10% provides a floor. We forecast a group earnings CAGR of 8.2% over FY26–28E, with consensus upgrades as US recovery materializes.

Valuation

Our PT of HK$25 is based on 9x FY27E P/E, a 10% discount to our target multiple of 10x for Haier-A.

Risks to Rating and Price Target

Downside risks to our rating and price target include: 1) US tariff escalation or supply chain delays extending the US margin trough; 2) China demand declining faster than forecast if subsidy cliff materializes more severely; 3) inability to pass through cost inflation amid competition; 4) FX translation risk; and 5) positioning/liquidity risk causing widening H share discount vs A share.

Upside risks include: 1) US industry price hikes proving more effective with limited demand destruction; 2) fast sales growth in emerging markets; 3) fast European margin improvement; 4) China subsidy extension into 2027 reducing subsidy cliff.

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Haier Smart Home Co Ltd - H: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**286,015**	**302,347**	**314,557**	**328,307**	**342,759**
COGS	(198,826)	(213,243)	(223,420)	(232,278)	(242,388)
Gross profit	**79,576**	**80,608**	**82,458**	**86,974**	**90,964**
SG&A	(45,744)	(47,640)	(47,498)	(49,903)	(51,757)
Adj. EBITDA	**31,308**	**31,924**	**34,590**	**36,311**	**38,368**
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Tax	(3,157)	(3,316)	(3,473)	(4,028)	(4,335)
Minority Interest	(834)	(610)	(635)	(691)	(744)
Adj. Net Income	**18,731**	**19,553**	**20,352**	**22,135**	**23,824**
Reported EPS	1.99	2.08	2.20	2.44	2.66
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Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	27.8%	26.7%	26.2%	26.5%	26.5%
EBITDA margin	10.9%	10.6%	11.0%	11.1%	11.2%
EBIT margin	8.3%	7.7%	8.2%	8.3%	8.4%
Net profit margin	6.5%	6.5%	6.5%	6.7%	7.0%
ROE	17.6%	17.0%	17.0%	17.8%	18.3%
ROA	6.8%	6.7%	6.8%	7.2%	7.5%
ROCE	14.3%	12.9%	13.8%	14.0%	14.6%
SG&A/Sales	16.0%	15.8%	15.1%	15.2%	15.1%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	1.0	1.0	1.1	1.1	1.1
Assets/Equity	259.2%	254.7%	249.6%	248.3%	244.0%
Interest cover (x)	32.2	NM	23.9	90.4	651.7
Operating leverage	333.7%	(19.7%)	262.4%	118.8%	142.2%
Tax rate	13.9%	14.1%	14.2%	15.0%	15.0%
Revenue y/y Growth	4.3%	5.7%	4.0%	4.4%	4.4%
EBITDA y/y Growth	12.4%	2.0%	8.4%	5.0%	5.7%
EPS y/y Growth	13.2%	4.7%	5.3%	10.9%	9.3%
BVPS y/y Growth	10.3%	6.9%	3.4%	6.9%	6.3%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	9.0	8.6	8.2	7.4	6.7
P/BV (x)	1.5	1.4	1.4	1.3	1.2
P/Sales (x)	0.6	0.6	0.5	0.5	0.5
EV/EBITDA (x)	-	5.3	4.9	4.6	4.2
Dividend Yield	5.3%	6.4%	7.2%	8.2%	9.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Gree Electric Appliances - A

Premium pricing without premium growth; assume coverage at Neutral

Neutral

000651.SZ, 000651 CH
Price (09 Jun 26):Rmb37.88

▼**Price Target (Jun-27):Rmb42.00**
Prior (Dec-26):Rmb50.00

Co-Head of Asia Pacific Consumer Research and Head of Asia Gaming/ Leisure Research

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Yibo Wu
(852) 2800-8559
yibo.wu@jpmorgan.com
J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	6.04	5.37	-11.0%
Adj. EPS - 27E (Rmb)	6.35	5.27	-16.9%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	13	9	11	17	24
Growth	84	84	68	68	59
Momentum	64	83	26	44	74
Quality	27	24	15	15	11
Low Vol	8	11	12	14	11
ESGQ	15	11	90	94	-

We assume coverage of Gree at a Neutral rating. Gree's core dilemma is a mismatch between its premium pricing structure and the current market reality of down-trading and intensifying competition. Despite announcing an intention to "hold prices flat" in 2026 (which appears more a marketing campaign than a genuine price cut), Gree's AC ASP remains the highest in the market—a positioning that is increasingly misaligned with consumer behavior and has driven consecutive revenue declines (down 7% in 2024, 10% in 2025) even during the national subsidy program. Meanwhile, margin expansion has been achieved through aggressive cost-cutting (selling expense ratio at 5% vs. Midea/Haier's 9–11%), which we view as unsustainable and counterproductive to future revenue growth. The silver lining is shareholder returns: the recently announced Rmb5–10bn buyback (2–4% of market cap), combined with dividends, implies 12% total shareholder return. We note Gree has historically executed at the high end of its previous four buyback programs, suggesting the actual return could skew towards the upper bound. This provides a floor but not a catalyst. We await evidence of either genuine market share stabilization or a strategic pivot before turning more constructive.

- **The pricing paradox: "holding flat" while still the most expensive**. Gree's ASP is already the highest in the market. In a down-trading environment with aggressive IoT entrants (Xiaomi online AC share rising from 6% at end-2023 to 15% in mid-2025), premium pricing is a headwind. The late launch of sub-brand Jinghong (late 2025, well behind Midea/Haier's 2023 launches) is an acknowledgment: priced 40% below the main brand, Jinghong has quickly achieved 5% online share (vs. Gree main brand at 26%). If Jinghong gains share without excessively cannibalizing the main brand, it supports revenue growth; but at materially lower gross margins, reinforcing our view that share recovery will come at the expense of margin erosion.
- **Margin expansion is real but unsustainable**. Gree has expanded margins by cutting selling expenses to 5% of sales - half the level of peers. But the combination of premium pricing, declining share, and minimal marketing creates a negative feedback loop: less visibility, fewer sales, further share loss, and the eventual need to reinvest in marketing. As Jinghong scales up, it will further dilute group margins. Gree's 17% OP margin (vs. Midea AC's teens) suggests over-earning relative to its competitive position. We expect Gree to either maintain stable margins at the expense of flat-to-declining sales growth, or drive sales growth at the expense of 1-2ppt net margin erosion (we are currently modeling the former).
- **Assume coverage at Neutral: cheap for a reason**. At 7x FY27E P/E (vs. Midea-A's 12x and Haier-A's 8x), Gree trades at a discount to peers—but this fairly reflects its structural challenges: 85%/15% China/overseas revenue skew, 70% concentration in air-con, and a declining domestic market. We forecast group earnings to be flattish YoY in FY26E and decline 2% YoY in FY27E (9% below consensus). The 12% total shareholder return (8% dividend yield + 4% buyback if executed at the upper bound) limits downside but is insufficient to drive re-rating absent a growth inflection. Key upside catalysts include a meaningful market share recovery or accelerating overseas/B2B growth. Key downside risks include continued share loss and deteriorating distributor relationships.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Price Performance

	YTD	1m	3m	12m
Abs	-5.8%	-5.1%	1.5%	-15.5%
Rel	-5.6%	0.2%	4.8%	-31.9%

Company Data

Shares O/S (mn)	5,601
52-week range (Rmb)	48.47-36.60
Market cap ($ mn)	31,280
Exchange rate	6.78
Free float (%)	68.7%
3M ADV (mn)	38.43
3M ADV ($ mn)	219.7
Volatility (90 Day)	19
Index	SSE
BBG ANR (Buy | Hold | Sell)	29|5|2

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	170,447	174,669	171,545	171,334
Adj. EBITDA	34,969	34,341	33,552	33,577
Adj. EBIT	29,915	29,752	28,992	29,043
Adj. net income	29,003	29,106	28,555	28,857
Adj. EPS	5.18	5.37	5.27	5.33
BBG EPS	5.47	5.38	5.56	5.85
Cashflow from operations	46,383	26,407	28,357	29,420
FCFF	44,666	22,232	24,185	25,249
Margins and Growth				
Revenue Growth Y/Y (%)	(9.9%)	2.5%	(1.8%)	(0.1%)
Gross margin	29.8%	29.3%	29.6%	29.7%
EBITDA margin	20.5%	19.7%	19.6%	19.6%
EBIT margin	17.6%	17.0%	16.9%	17.0%
Adj. EPS growth	(9.9%)	3.8%	(1.9%)	1.1%
Ratios				
Adj. tax rate	16.7%	15.0%	15.0%	15.0%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	11.3%	10.9%	10.3%	9.8%
ROE	20.5%	19.8%	18.5%	17.4%
Valuation				
FCFF yield	21.1%	10.8%	11.8%	12.3%
Dividend yield	7.9%	8.3%	8.5%	8.6%
EV/Revenue	0.6	0.6	0.5	0.5
EV/EBITDA	2.9	3.0	2.8	2.4
Adj. P/E	7.3	7.0	7.2	7.1

Summary Investment Thesis and Valuation

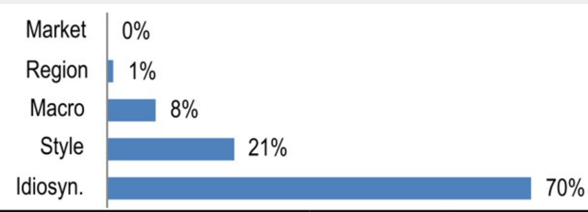
Investment Thesis

We are Neutral on Gree. The stock trades at 7x FY27E P/E - cheap, but fairly reflecting structural challenges: 85% China revenue exposure, 70% air-con concentration, and consecutive revenue declines even during the 2024-25 national subsidy program. The core dilemma is a mismatch between premium pricing and a market that is down-trading, with competition pressuring the margin-vs.-share trade-off. Cost-cutting-driven margin expansion (selling expense at 5% vs. peers' 9–11%) is counterproductive to future revenue growth. We see Gree caught between maintaining margins with flat-to-declining sales, or driving growth at 1–2ppt margin cost. The 11%+ total shareholder return (7.3% dividend + up to 4% buyback) provides a floor but not a catalyst. We await evidence of share stabilization or a strategic pivot.

Valuation

Our PT of Rmb42 is based on 8x FY27E P/E, in line with its historical average over 2022-25 and reflecting a structural discount to peers.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.06	0.04
Region: China	0.00	0.16
Macro:		
JP Morgan GBI-EM Global Div	0.11	0.27
Citi Economic Surprise - EM	-0.48	-0.20
JPM Forecast Revision EM	-0.02	-0.18
Quant Styles:		
Growth	-0.52	-0.36
LowVol	0.36	0.35
DivYld	0.38	0.35

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Financial forecasts

Table 19: Gree - Summary of P&L

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E	1Q26	2Q26E	3Q26E	4Q26E
P&L									
Revenue	**189,164**	**170,447**	**174,669**	**171,545**	**171,334**	**42,966**	**57,255**	**39,905**	**34,543**
YoY%	*-7.3%*	*-9.9%*	*2.5%*	*-1.8%*	*-0.1%*	*3.5%*	*2.6%*	*0.1%*	*-0.6%*
COGS	(133,496)	(119,641)	(123,435)	(120,833)	(120,529)	(31,187)	(40,837)	(28,839)	(22,572)
GROSS PROFIT	**55,668**	**50,806**	**51,234**	**50,712**	**50,805**	**11,779**	**16,418**	**11,066**	**11,971**
Selling expense	(9,753)	(8,411)	(8,908)	(9,263)	(9,252)	(2,599)	(4,122)	(1,476)	(711)
Admin expense	(6,058)	(5,180)	(5,240)	(5,146)	(4,969)	(1,823)	(1,775)	(1,157)	(485)
R&D expense	(6,904)	(6,463)	(6,463)	(6,261)	(6,168)	(1,440)	(2,347)	(1,836)	(840)
Business taxes and surcharges	(1,799)	(1,912)	(1,960)	(1,925)	(1,922)	(364)	(512)	(451)	(633)
OPERATING PROFIT (Non-GAAP)	**31,154**	**28,839**	**28,663**	**28,116**	**28,494**	**5,554**	**7,661**	**6,146**	**9,303**
Other income and expenses	1,726	1,075	1,089	876	549	507	369	768	(555)
PnL of Financial Subsidiary	715	644	660	648	647	112	155	166	227
Finance income/(expense)	3,300	4,086	4,036	4,157	4,464	799	1,146	997	1,094
Profit before tax	**36,896**	**34,645**	**34,448**	**33,797**	**34,155**	**6,972**	**9,331**	**8,076**	**10,069**
Income tax expense	(4,525)	(5,782)	(5,167)	(5,070)	(5,123)	(873)	(1,120)	(1,373)	(1,802)
Minority interest	(186)	140	(176)	(172)	(174)	(17)	(63)	(15)	(81)
Net profit	**32,185**	**29,003**	**29,106**	**28,555**	**28,857**	**6,082**	**8,148**	**6,688**	**8,187**
YoY%	*10.9%*	*-9.9%*	*0.4%*	*-1.9%*	*1.1%*	*3.0%*	*-4.2%*	*-5.1%*	*8.6%*
Dividend	**16,692**	**16,755**	**16,881**	**17,133**	**17,314**				
Buyback	**-**	**-**	**10,000**	**-**	**-**				
Total payout ratio (dvd+bbk)	*51.9%*	*57.8%*	*92.4%*	*60.0%*	*60.0%*				
Profit margins									
Gross margin	29.4%	29.8%	29.3%	29.6%	29.7%	27.4%	28.7%	27.7%	34.7%
Operating margin (Non-GAAP)	16.5%	16.9%	16.4%	16.4%	16.6%	12.9%	13.4%	15.4%	26.9%
Net margin	17.0%	17.0%	16.7%	16.6%	16.8%	14.2%	14.2%	16.8%	23.7%
Effective tax rate	-12%	-17%	-15%	-15%	-15%	-13%	-12%	-17%	-18%
YoY growth									
Revenue	-7.3%	-9.9%	2.5%	-1.8%	-0.1%	3.5%	2.6%	0.1%	3.8%
COGS	-7.3%	-10.4%	3.2%	-2.1%	-0.3%	3.4%	3.5%	0.9%	5.1%
Gross profit	-7.3%	-8.7%	0.8%	-1.0%	0.2%	3.7%	0.3%	-1.9%	1.5%
Selling expense	-34.1%	-13.8%	5.9%	4.0%	-0.1%	15.5%	4.3%	6.4%	-13.5%
Admin expense	-7.4%	-14.5%	1.2%	-1.8%	-3.5%	29.3%	2.2%	-0.1%	-44.6%
R&D expense	2.1%	-6.4%	0.0%	-3.1%	-1.5%	-15.3%	5.8%	7.7%	-0.2%
OPERATING PROFIT (Non-GAAP)	4.5%	-7.4%	-0.6%	-1.9%	1.3%	0.4%	-3.8%	-6.7%	6.2%
Other income and expenses	-220.9%	-37.7%	1.3%	-19.6%	-37.3%	250.1%	0.0%	0.0%	169.0%
PnL of Financial Subsidiary	-21.6%	-10.0%	2.5%	-1.8%	-0.1%	-13.5%	0.0%	0.0%	17.2%
Finance income/(expense)	-6.4%	23.8%	-1.2%	3.0%	7.4%	-27.6%	-4.2%	0.0%	38.7%
PBT	12.4%	-6.1%	-0.6%	-1.9%	1.1%	0.9%	-3.7%	-5.1%	5.6%
Net profit	10.9%	-9.9%	0.4%	-1.9%	1.1%	3.0%	-4.2%	-5.1%	8.6%

Source: Company data, J.P. Morgan estimates

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Table 20: Gree - Balance sheet

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
BALANCE SHEET					
Current Assets	**224,803**	**250,944**	**251,674**	**261,374**	**273,402**
Cash and Cash equivalents	113,900	110,553	109,517	120,491	132,619
Short-term investments	53,566	87,784	87,784	87,784	87,784
Receivables	29,425	24,423	24,995	24,583	24,555
Inventories	27,911	28,183	29,378	28,517	28,445
Non-Current Assets	**143,229**	**140,428**	**140,264**	**139,875**	**139,512**
PP&E	40,862	36,410	36,259	36,125	36,006
Intangible assets	10,439	9,865	9,602	9,347	9,103
Goodwill	1,368	1,324	1,324	1,324	1,324
Long-term investments	72,842	76,076	76,326	76,326	76,326
Deferred tax & other assets	17,718	16,754	16,754	16,754	16,754
Total Assets	**368,032**	**391,372**	**391,938**	**401,250**	**412,915**
Current Liabilities	**201,125**	**231,570**	**229,610**	**227,075**	**226,842**
Borrowings	54,757	81,690	81,690	81,690	81,690
Payables	133,569	134,464	133,738	131,453	131,237
Deferred revenues	12,491	15,207	13,974	13,724	13,707
Others	308	209	209	209	209
Non-Current Liabilities	**25,393**	**10,011**	**10,011**	**10,011**	**10,011**
Borrowings	18,230	3,135	3,135	3,135	3,135
Lease liabilities	711	653	653	653	653
Deferred tax & other liabilities	6,451	6,223	6,223	6,223	6,223
Total Liabilities	**226,518**	**241,581**	**239,621**	**237,086**	**236,853**
Shareholder's Equity	**137,417**	**145,929**	**148,279**	**159,953**	**171,677**
Minority interest	4,097	3,862	4,038	4,210	4,384
Total Liabilities & Equity	**368,032**	**391,372**	**391,938**	**401,250**	**412,915**

Source: Company data, J.P. Morgan estimates

Table 21: Gree - Cashflow statement

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
CASH FLOW STATEMENT					
Profit after tax	**32,371**	**28,863**	**29,281**	**28,728**	**29,031**
Depreciation and amortization	5,257	5,055	4,589	4,560	4,535
SBC					
Working capital changes	(3,702)	(1,547)	(3,726)	(1,262)	(134)
Other adjustments	(4,556)	14,012	(3,738)	(3,670)	(4,012)
Operating cash flow (OpCF)	**29,369**	**46,383**	**26,407**	**28,357**	**29,420**
YoY%	*-47.9%*	*57.9%*	*-43.1%*	*7.4%*	*3.8%*
% of net profit	*0.9x*	*1.6x*	*0.9x*	*1.0x*	*1.0x*
Free cash flow (FCF)	**26,069**	**44,666**	**22,232**	**24,185**	**25,249**
YoY%	*-48.9%*	*71.3%*	*-50.2%*	*8.8%*	*4.4%*
% of net profit	*0.8x*	*1.5x*	*0.8x*	*0.8x*	*0.9x*
Capital expenditures	(3,300)	(1,717)	(4,175)	(4,172)	(4,171)
Investments	(13,058)	(31,624)	4,448	4,562	4,869
M&A	(109)	-	-	-	-
Others	908	(15,258)	(961)	(892)	(857)
CF from investment activities	**(15,558)**	**(48,599)**	**(687)**	**(502)**	**(159)**
Share issuance	61	90	-	-	-
Buybacks	-	-	(10,000)	-	-
Dividends	(15,133)	(18,171)	(16,755)	(16,881)	(17,133)
Change in debt	(13,529)	11,556	-	-	-
Others	4,898	15,131	-	-	-
CF from financing activities	**(23,703)**	**8,606**	**(26,755)**	**(16,881)**	**(17,133)**
FX effect	119	36	-	-	-
Net cash flow	**(9,773)**	**6,426**	**(1,036)**	**10,974**	**12,128**
Beginning cash	30,914	21,141	27,566	26,531	37,504
Ending cash	**21,141**	**27,566**	**26,531**	**37,504**	**49,632**
Add: Deposits with original maturity >3M	92,760	82,987	82,987	82,987	82,987
Cash on balance sheet	**113,900**	**110,553**	**109,517**	**120,491**	**132,619**

Source: Company data, J.P. Morgan estimates

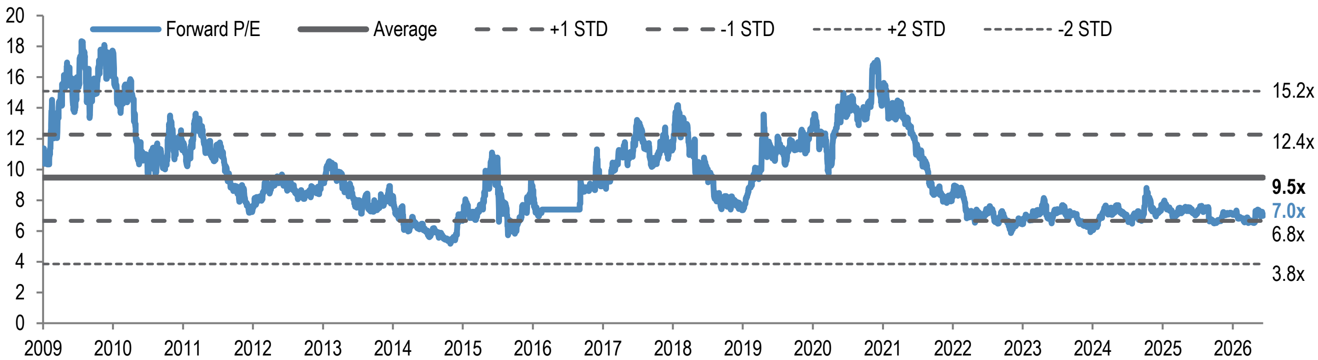
DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Valuation and price target

We use a relative valuation methodology, benchmarking to Gree's historical P/E band and peer multiples. Historically, Gree has traded at an average of 12M forward P/E of 9.5x; but a structural de-rating to 7-8x happened in 2021-22 (even after the Covid disruption), which we attribute to its continuous share loss in the domestic market. We expect the P/E multiple to remain depressed until an inflection point in the domestic share or business diversification emerges.

We assign an 8x FY27E P/E to Gree, in line with its historical average over 2022-25, and arrive at our Jun-27 PT of Rmb42.

Figure 49: Gree - Historical P/E band



Source: Bloomberg Finance L.P. (as of Jun 8, 2026)

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Investment Thesis, Valuation and Risks

Gree Electric Appliances - A *(Neutral; Price Target: Rmb42.00)*

Investment Thesis

We are Neutral on Gree. The stock trades at 7x FY27E P/E - cheap, but fairly reflecting structural challenges: 85% China revenue exposure, 70% air-con concentration, and consecutive revenue declines even during the 2024-25 national subsidy program. The core dilemma is a mismatch between premium pricing and a market that is down-trading, with competition pressuring the margin-vs.-share trade-off. Cost-cutting-driven margin expansion (selling expense at 5% vs. peers' 9–11%) is counterproductive to future revenue growth. We see Gree caught between maintaining margins with flat-to-declining sales, or driving growth at 1–2ppt margin cost. The 11%+ total shareholder return (7.3% dividend + up to 4% buyback) provides a floor but not a catalyst. We await evidence of share stabilization or a strategic pivot.

Valuation

Our PT of Rmb42 is based on 8x FY27E P/E, in line with its historical average over 2022-25 and reflecting a structural discount to peers.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) continued domestic share loss as Xiaomi scales and Jinghong cannibalizes the main brand; 2) further revenue decline if subsidy cliff materializes; and 3) deteriorating distributor relationships.

Key upside risks include: 1) meaningful market share recovery and 2) accelerating overseas or B2B growth providing diversification.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Gree Electric Appliances - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**189,164**	**170,447**	**174,669**	**171,545**	**171,334**
COGS	(128,239)	(114,587)	(118,846)	(116,273)	(115,994)
Gross profit	**55,668**	**50,806**	**51,234**	**50,712**	**50,805**
SG&A	(15,811)	(13,591)	(14,148)	(14,410)	(14,221)
Adj. EBITDA	**38,137**	**34,969**	**34,341**	**33,552**	**33,577**
D&A	(5,257)	(5,055)	(4,589)	(4,560)	(4,535)
Adj. EBIT	**32,880**	**29,915**	**29,752**	**28,992**	**29,043**
Net Interest	4,016	4,730	4,696	4,805	5,112
Adj. PBT	**36,896**	**34,645**	**34,448**	**33,797**	**34,155**
Tax	(4,525)	(5,782)	(5,167)	(5,070)	(5,123)
Minority Interest	(186)	140	(176)	(172)	(174)
Adj. Net Income	**32,185**	**29,003**	**29,106**	**28,555**	**28,857**
Reported EPS	5.75	5.18	5.37	5.27	5.33
Adj. EPS	**5.75**	**5.18**	**5.37**	**5.27**	**5.33**
DPS	**2.99**	**3.00**	**3.16**	**3.21**	**3.24**
Payout ratio	52.0%	57.9%	58.9%	60.9%	60.9%
Shares outstanding	5,601	5,601	5,417	5,417	5,417

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	113,900	110,553	109,517	120,491	132,619
Accounts receivable	29,425	24,423	24,995	24,583	24,555
Inventories	27,911	28,183	29,378	28,517	28,445
Other current assets	53,566	87,784	87,784	87,784	87,784
Current assets	**224,803**	**250,944**	**251,674**	**261,374**	**273,402**
PP&E	40,862	36,410	36,259	36,125	36,006
LT investments	72,842	76,076	76,326	76,326	76,326
Other non current assets	29,524	27,943	27,679	27,425	27,181
Total assets	**368,032**	**391,372**	**391,938**	**401,250**	**412,915**
Short term borrowings	54,757	81,690	81,690	81,690	81,690
Payables	133,569	134,464	133,738	131,453	131,237
Other short term liabilities	12,799	15,415	14,182	13,933	13,916
Current liabilities	**201,125**	**231,570**	**229,610**	**227,075**	**226,842**
Long-term debt	18,230	3,135	3,135	3,135	3,135
Other long term liabilities	7,163	6,876	6,876	6,876	6,876
Total liabilities	**226,518**	**241,581**	**239,621**	**237,086**	**236,853**
Shareholders' equity	137,417	145,929	148,279	159,953	171,677
Minority interests	4,097	3,862	4,038	4,210	4,384
Total liabilities & equity	**368,032**	**391,372**	**391,938**	**401,250**	**412,915**
BVPS	**24.53**	**26.05**	**27.37**	**29.53**	**31.69**
Net debt/(cash)	(40,913)	(25,728)	(24,692)	(35,666)	(47,794)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**29,369**	**46,383**	**26,407**	**28,357**	**29,420**
o/w Depreciation & amortization	5,257	5,055	4,589	4,560	4,535
o/w Changes in working capital	(3,702)	(1,547)	(3,726)	(1,262)	(134)
Cash flow from investing activities	**(15,558)**	**(48,599)**	**(687)**	**(502)**	**(159)**
o/w Capital expenditure	(3,300)	(1,717)	(4,175)	(4,172)	(4,171)
as % of sales	*1.7%*	*1.0%*	*2.4%*	*2.4%*	*2.4%*
Cash flow from financing activities	**(23,703)**	**8,606**	**(26,755)**	**(16,881)**	**(17,133)**
o/w Dividends paid	(15,133)	(18,171)	(16,755)	(16,881)	(17,133)
o/w Shares issued/(repurchased)	61	90	(10,000)	0	0
o/w Net debt issued/(repaid)	(13,529)	11,556	0	0	0
Net change in cash	**(9,773)**	**6,426**	**(1,036)**	**10,974**	**12,128**
Adj. Free cash flow to firm	**26,069**	**44,666**	**22,232**	**24,185**	**25,249**
y/y Growth	*(48.9%)*	*71.3%*	*(50.2%)*	*8.8%*	*4.4%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	29.4%	29.8%	29.3%	29.6%	29.7%
EBITDA margin	20.2%	20.5%	19.7%	19.6%	19.6%
EBIT margin	17.4%	17.6%	17.0%	16.9%	17.0%
Net profit margin	17.0%	17.0%	16.7%	16.6%	16.8%
ROE	25.3%	20.5%	19.8%	18.5%	17.4%
ROA	8.7%	7.6%	7.4%	7.2%	7.1%
ROCE	14.0%	11.3%	10.9%	10.3%	9.8%
SG&A/Sales	8.4%	8.0%	8.1%	8.4%	8.3%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	0.5	0.4	0.4	0.4	0.4
Assets/Equity	289.6%	268.0%	266.2%	257.3%	245.5%
Interest cover (x)	-	-	-	-	-
Operating leverage	(218.5%)	91.2%	(21.9%)	142.9%	(142.5%)
Tax rate	12.3%	16.7%	15.0%	15.0%	15.0%
Revenue y/y Growth	(7.3%)	(9.9%)	2.5%	(1.8%)	(0.1%)
EBITDA y/y Growth	13.3%	(8.3%)	(1.8%)	(2.3%)	0.1%
EPS y/y Growth	11.5%	(9.9%)	3.8%	(1.9%)	1.1%
BVPS y/y Growth	18.3%	6.2%	5.1%	7.9%	7.3%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	6.6	7.3	7.0	7.2	7.1
P/BV (x)	1.5	1.5	1.4	1.3	1.2
P/Sales (x)	1.1	1.2	1.2	1.2	1.2
EV/EBITDA (x)	-	2.9	3.0	2.8	2.4
Dividend Yield	7.9%	7.9%	8.3%	8.5%	8.6%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Zhejiang Supor - A

Best-in-class small appliance franchise; assume coverage at OW

Overweight

002032.SZ, 002032 CH
Price (09 Jun 26):Rmb43.03

▼**Price Target (Jun-27):Rmb55.00**
Prior (Dec-26):Rmb56.00

Co-Head of Asia Pacific Consumer Research and Head of Asia Gaming/ Leisure Research

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Yibo Wu
(852) 2800-8559
yibo.wu@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	3.00	2.89	-3.8%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	68	61	75	61	62
Growth	34	35	41	40	23
Momentum	71	86	54	49	75
Quality	4	1	3	8	3
Low Vol	4	6	12	27	11

We assume coverage of Supor at OW with a PT of Rmb55. Supor is the largest small kitchen appliance and kitchenware company in China, with a defensible market position (25–30% online, ~50% offline in cookware; ~25% online, ~40% offline in small appliances) and a structurally protected export business via its parent Groupe SEB (FOB pricing, 18%+ guaranteed OEM gross margin, with tariffs and shipping costs borne by SEB). Petrochemical cost inflation driven by the Middle East conflict is creating near-term margin pressure, but Supor has hiked ASPs through new product launches and locked raw material prices for 3–6 months. The US and European restocking cycle should support export demand recovery (5.3% export growth target, though uncertainty remains). We forecast FY26 sales/earnings to grow 3%/5% YoY. At 17x FY26E P/E with a 5.7% dividend yield (the highest in the small appliance sector), we find the risk-reward attractive for a business with minimal exposure to the subsidy cliff and high earnings visibility.

- **Domestic business: subsidy phase-out is a non-event; product innovation drives margin.** Unlike large home appliances, small appliances face no "subsidy cliff"—the national subsidy never meaningfully pulled forward demand given low unit prices (20% on a Rmb300 product is only Rmb60). Management views the return to normal competition as favorable for leading brands. The rollout of titanium-material products across the full small appliance range is driving both ASP and gross margin improvement—1Q26 gross margins improved 1.2ppt YoY. Two new products (mini blender "Xiaofangtang" and a high-suction garment steamer) have achieved #1 share in their sub-categories with attractive margins. We forecast domestic sales to grow 2% YoY in FY26.
- **Export business: contractually protected margins are precious in an era of cost inflation.** Supor's OEM pricing scheme with SEB guarantees an 18% gross margin on FOB terms, meaning tariffs and shipping are mostly SEB's burden—insulating Supor from the volatility. At the start of each year, Supor fixes its selling price to SEB and locks raw material costs for 3–6 months. In the event of rapid cost inflation, Supor reserves the right to renegotiate pricing for the second half - and given its large OEM scale for SEB and SEB's shareholder status, it is able to pass the majority of cost inflation through (with SEB in turn passing costs to end markets). We forecast export sales to grow 5% YoY.
- **Assume coverage at OW; the best-in-class small appliance name.** Supor offers a balanced portfolio of domestic business (67% of sales; strong brand equity, defensible positioning, cost pass-through capability) and export business (33% of sales; contractually protected margins). China's small appliance industry is experiencing a growth slowdown and rising competition, but Supor's earnings visibility remains high with optionality for long-term growth via category expansion. The 5.7% dividend yield—the highest among small appliance peers—supports its valuation premium. Key downside risks include higher-than-expected petrochemical inflation persisting beyond locked periods and SEB cutting orders if overseas demand disappoints.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Price Performance

	YTD	1m	3m	12m
Abs	-2.4%	-9.2%	-0.3%	-21.2%
Rel	8.9%	-4.5%	7.5%	-15.6%

Company Data

Shares O/S (mn)	797
52-week range (Rmb)	55.64-42.30
Market cap ($ mn)	5,055
Exchange rate	6.78
Free float (%)	16.0%
3M ADV (mn)	1.95
3M ADV ($ mn)	13.3
Volatility (90 Day)	29
Index	SZBSHR
BBG ANR (Buy | Hold | Sell)	15|4|0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	22,772	23,499	24,277	24,936
Adj. EBITDA	2,781	2,914	3,018	3,136
Adj. EBIT	2,571	2,707	2,810	2,927
Adj. net income	2,097	2,199	2,303	2,400
Adj. EPS	2.63	2.76	2.89	3.01
BBG EPS	2.69	2.81	2.99	3.12
Cashflow from operations	2,649	2,302	2,464	2,558
FCFF	2,435	2,149	2,291	2,383
Margins and Growth				
Revenue Growth Y/Y (%)	1.5%	3.2%	3.3%	2.7%
Gross margin	24.9%	25.1%	25.1%	25.1%
EBITDA margin	12.2%	12.4%	12.4%	12.6%
EBIT margin	11.3%	11.5%	11.6%	11.7%
Adj. EPS growth	(6.1%)	4.9%	4.8%	4.2%
Ratios				
Adj. tax rate	19.1%	18.5%	18.5%	18.5%
Interest cover	NM	245.5	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	32.8%	34.8%	35.6%	36.5%
ROE	33.0%	34.7%	35.8%	36.7%
Valuation				
FCFF yield	7.1%	6.3%	6.7%	7.0%
Dividend yield	6.1%	6.4%	6.7%	7.0%
EV/Revenue	1.4	1.4	1.3	1.3
EV/EBITDA	11.5	11.0	10.6	10.1
Adj. P/E	16.4	15.6	14.9	14.3

Summary Investment Thesis and Valuation

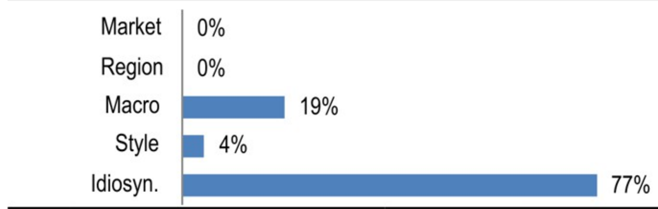
Investment Thesis

We are OW on Supor. Supor is the best-in-class small appliance name in our coverage, offering a combination of earnings visibility and downside protection. The domestic business (67% of sales) is largely immune to the subsidy cliff that plagues large appliances, with product innovation (titanium materials) driving ASP and margin improvement. The export business (33% of sales) carries a contractually guaranteed ~18% gross margin on FOB terms, with tariff and shipping risk borne mostly by parent SEB. At 17x FY26E P/E with a 5.7% dividend yield (highest in small appliances) and a 5% earnings CAGR over FY26-28E, the stock offers a defensive compounding profile with limited downside.

Valuation

We assign a 19x FY27E P/E to Supor, in line with its historical average, and arrive at our Jun-27 PT of Rmb55.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.33	-0.08
Region: China	-0.32	0.06
Macro:		
Generic 1st 'CO' Future	0.08	-0.29
HSI Volatility Index	-0.01	-0.19
JP Morgan EMBI Global Spread	0.15	0.12
Quant Styles:		
LowVol	0.27	0.17
DivYld	0.25	0.13
Growth	-0.31	-0.09

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Financial forecasts

Table 22: Supor - Summary of P&L

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E	1Q26	2Q26E	3Q26E	4Q26E
P&L									
Revenue	**22,427**	**22,772**	**23,499**	**24,277**	**24,936**	**5,882**	**5,919**	**5,691**	**6,007**
YoY%	*5.3%*	*1.5%*	*3.2%*	*3.3%*	*2.7%*	*1.7%*	*4.0%*	*5.0%*	*2.3%*
COGS	(16,898)	(17,109)	(17,606)	(18,188)	(18,682)	(4,408)	(4,548)	(4,371)	(4,279)
GROSS PROFIT	**5,529**	**5,663**	**5,893**	**6,088**	**6,253**	**1,474**	**1,370**	**1,320**	**1,728**
Selling expense	(2,182)	(2,409)	(2,514)	(2,598)	(2,643)	(646)	(604)	(580)	(684)
Admin expense	(396)	(400)	(399)	(408)	(411)	(87)	(107)	(85)	(121)
R&D expense	(470)	(476)	(470)	(476)	(479)	(97)	(107)	(125)	(141)
Business taxes and surcharges	(148)	(139)	(143)	(148)	(152)	(29)	(31)	(33)	(51)
OPERATING PROFIT (Non-GAAP)	**2,333**	**2,239**	**2,366**	**2,459**	**2,568**	**615**	**523**	**496**	**731**
Other income and expenses	327	333	341	351	359	31	34	39	236
Finance income/(expense)	72	16	(12)	14	15	(8)	(5)	1	0
Profit before tax	**2,732**	**2,588**	**2,695**	**2,823**	**2,942**	**638**	**552**	**537**	**968**
Income tax expense	(487)	(493)	(499)	(522)	(544)	(133)	(105)	(102)	(159)
Minority interest	(1)	2	2	2	2	(0)	1	(0)	2
Net profit	**2,244**	**2,097**	**2,199**	**2,303**	**2,400**	**505**	**448**	**435**	**811**
YoY%	*3.0%*	*-6.6%*	*4.9%*	*4.8%*	*4.2%*	*1.7%*	*1.0%*	*2.0%*	*11.0%*
Dividend	**2,239**	**2,096**	**2,198**	**2,302**	**2,399**				
Buyback	**-**	**-**	**-**	**-**	**-**				
Total payout ratio (dvd+bbk)	*99.7%*	*100.0%*	*100.0%*	*100.0%*	*100.0%*				
Profit margins									
Gross margin	24.7%	24.9%	25.1%	25.1%	25.1%	25.1%	23.2%	23.2%	28.8%
Operating margin (Non-GAAP)	10.4%	9.8%	10.1%	10.1%	10.3%	10.5%	8.8%	8.7%	12.2%
Net margin	10.0%	9.2%	9.4%	9.5%	9.6%	8.6%	7.6%	7.6%	13.5%
Effective tax rate	-18%	-19%	-19%	-19%	-19%	-21%	-19%	-19%	-16%
YoY growth									
Revenue	5.3%	1.5%	3.2%	3.3%	2.7%	1.7%	4.0%	5.0%	2.3%
COGS	6.2%	1.2%	2.9%	3.3%	2.7%	0.1%	4.2%	6.0%	1.5%
Gross profit	2.7%	2.4%	4.1%	3.3%	2.7%	6.6%	3.3%	1.8%	4.3%
Selling expense	4.9%	10.4%	4.4%	3.3%	1.8%	11.2%	5.7%	3.0%	-1.4%
Admin expense	0.6%	1.0%	-0.1%	2.1%	0.9%	-6.8%	1.0%	-3.1%	6.7%
R&D expense	8.9%	1.3%	-1.2%	1.2%	0.6%	-5.3%	-1.1%	-1.2%	1.6%
OPERATING PROFIT (Non-GAAP)	-0.2%	-4.0%	5.7%	3.9%	4.4%	7.7%	2.1%	1.9%	9.4%
Other income and expenses	17.4%	1.8%	2.6%	2.8%	2.3%	-24.7%	5.2%	3.1%	7.3%
Finance income/(expense)	7.1%	-77.6%	-173.1%	-215.0%	13.1%	-222.5%	-167.5%	-77.9%	-117.6%
PBT	1.8%	-5.3%	4.2%	4.8%	4.2%	3.0%	0.0%	1.3%	9.3%
Net profit	3.0%	-6.6%	4.9%	4.8%	4.2%	1.7%	1.0%	2.0%	11.0%

Source: Company data, J.P. Morgan estimates

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Table 23: Supor - Balance sheet

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
BALANCE SHEET					
Current Assets	**10,604**	**10,965**	**11,156**	**11,460**	**11,727**
Cash and Cash equivalents	2,480	1,983	2,018	2,138	2,247
Short-term investments	1,840	2,988	2,988	2,988	2,988
Receivables	3,718	3,586	3,650	3,752	3,839
Inventories	2,566	2,408	2,500	2,583	2,653
Non-Current Assets	**2,662**	**2,452**	**2,453**	**2,456**	**2,459**
PP&E	1,506	1,485	1,504	1,521	1,538
Intangible assets	408	390	373	357	344
Goodwill	-	-	-	-	-
Long-term investments	340	61	61	61	61
Deferred tax & other assets	408	516	516	516	516
Total Assets	**13,266**	**13,417**	**13,609**	**13,916**	**14,186**
Current Liabilities	**6,524**	**6,878**	**6,964**	**7,163**	**7,332**
Borrowings	-	-	-	-	-
Payables	5,221	5,676	5,734	5,894	6,031
Deferred revenues	1,088	967	987	1,020	1,047
Others	214	235	244	249	254
Non-Current Liabilities	**280**	**221**	**225**	**231**	**236**
Borrowings	-	-	-	-	-
Lease liabilities	188	160	165	170	176
Deferred tax & other liabilities	92	61	61	61	61
Total Liabilities	**6,804**	**7,098**	**7,190**	**7,394**	**7,568**
Shareholder's Equity	**6,424**	**6,285**	**6,388**	**6,493**	**6,592**
Minority interest	37	34	31	29	27
Total Liabilities & Equity	**13,266**	**13,417**	**13,609**	**13,916**	**14,186**

Source: Company data, J.P. Morgan estimates

Table 24: Supor - Cashflow statement

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
CASH FLOW STATEMENT					
Profit after tax	**2,245**	**2,094**	**2,196**	**2,301**	**2,398**
Depreciation and amortization (D&A)	209	210	207	208	209
SBC					
Working capital changes	(107)	633	(69)	14	11
Other adjustments	236	(289)	(33)	(59)	(60)
Operating cash flow (OpCF)	**2,584**	**2,649**	**2,302**	**2,464**	**2,558**
YoY%	*27.0%*	*2.5%*	*-13.1%*	*7.1%*	*3.8%*
% of net profit	*1.2x*	*1.3x*	*1.0x*	*1.1x*	*1.1x*
Free cash flow (FCF)	**2,375**	**2,448**	**2,140**	**2,302**	**2,396**
YoY%	*25.2%*	*3.1%*	*-12.6%*	*7.6%*	*4.1%*
% of net profit	*1.1x*	*1.2x*	*1.0x*	*1.0x*	*1.0x*
Capital expenditures	(208)	(201)	(162)	(162)	(162)
Investments	64	75	40	66	67
M&A	-	-	-	-	-
Others	139	(215)	(7)	(7)	(7)
CF from investment activities	**(5)**	**(340)**	**(129)**	**(104)**	**(102)**
Share issuance	-	11	-	-	-
Buybacks					
Dividends	(2,176)	(2,239)	(2,096)	(2,198)	(2,302)
Change in debt	(201)	(2)	-	-	-
Others	(57)	(49)	(42)	(43)	(44)
CF from financing activities	**(2,434)**	**(2,279)**	**(2,138)**	**(2,241)**	**(2,347)**
FX effect	19	(10)	-	-	-
Net cash flow	**163**	**19**	**35**	**119**	**109**
Beginning cash	1,406	1,569	1,589	1,624	1,743
Ending cash	**1,569**	**1,589**	**1,624**	**1,743**	**1,852**
Add: Deposits with original maturity >3M	911	395	395	395	395
Cash on balance sheet	**2,480**	**1,983**	**2,018**	**2,138**	**2,247**

Source: Company data, J.P. Morgan estimates

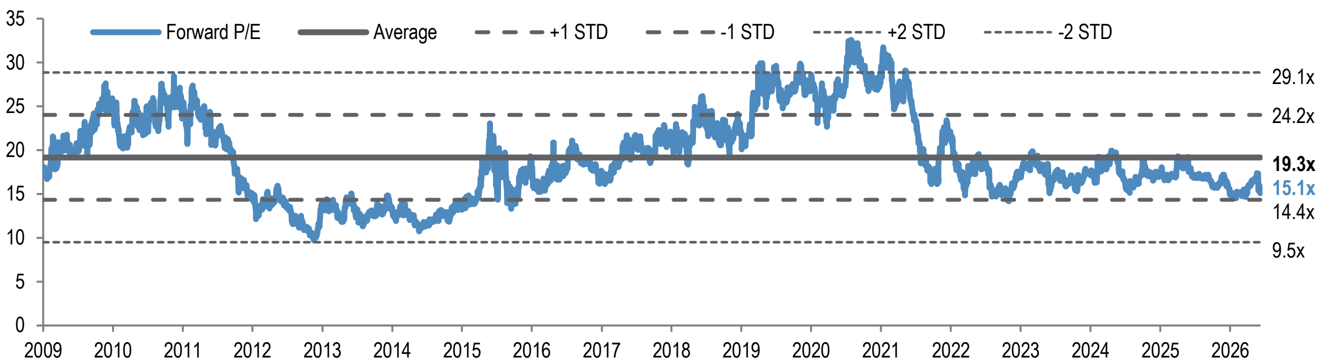
DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Valuation and price target

We use a relative valuation methodology, benchmarking to Supor's historical P/E band and peer multiples. Historically, Supor has traded at an average of 19x 12M forward P/E, with P/E correlated to consensus 12M forward net income growth estimates.

We assign a 19x FY27E P/E to Supor, in line with its historical average, and arrive at our Jun-27 PT of Rmb55.

Figure 50: Supor - Historical P/E band



Source: Bloomberg Finance L.P. (as of Jun 8, 2026)

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Investment Thesis, Valuation and Risks

Zhejiang Supor - A *(Overweight; Price Target: Rmb55.00)*

Investment Thesis

We are OW on Supor. Supor is the best-in-class small appliance name in our coverage, offering a combination of earnings visibility and downside protection. The domestic business (67% of sales) is largely immune to the subsidy cliff that plagues large appliances, with product innovation (titanium materials) driving ASP and margin improvement. The export business (33% of sales) carries contractually guaranteed ~18% gross margin on FOB terms, with tariff and shipping risk borne mostly by parent SEB. At 17x FY26E P/E with a 5.7% dividend yield (highest in small appliances) and a 5% earnings CAGR over FY26-28E, the stock offers a defensive compounding profile with limited downside.

Valuation

We assign a 19x FY27E P/E to Supor, in line with its historical average, and arrive at our Jun-27 PT of Rmb55.

Risks to Rating and Price Target

Upside risks include: 1) Stronger-than-expected US/Europe restocking driving export volume above target; 2) new product rollout accelerating domestic ASP and margin gains beyond our estimates; 3) input cost normalization, including commodity prices and labour costs; and 4) category expansion.

Downside risks include: 1) Petrochemical inflation persisting beyond locked periods and exceeding Supor's ability to renegotiate with SEB; 2) SEB cutting orders if European/US demand disappoints or competition intensifies; 3) online platform fee pressure eroding domestic selling margins.

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Zhejiang Supor - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**22,427**	**22,772**	**23,499**	**24,277**	**24,936**
COGS	(16,689)	(16,899)	(17,398)	(17,980)	(18,473)
Gross profit	**5,529**	**5,663**	**5,893**	**6,088**	**6,253**
SG&A	(2,578)	(2,809)	(2,914)	(3,005)	(3,055)
Adj. EBITDA	**2,869**	**2,781**	**2,914**	**3,018**	**3,136**
D&A	(209)	(210)	(207)	(208)	(209)
Adj. EBIT	**2,660**	**2,571**	**2,707**	**2,810**	**2,927**
Net Interest	72	16	(12)	14	15
Adj. PBT	**2,732**	**2,588**	**2,695**	**2,823**	**2,942**
Tax	(487)	(493)	(499)	(522)	(544)
Minority Interest	(1)	2	2	2	2
Adj. Net Income	**2,244**	**2,097**	**2,199**	**2,303**	**2,400**
Reported EPS	2.80	2.63	2.76	2.89	3.01
Adj. EPS	**2.80**	**2.63**	**2.76**	**2.89**	**3.01**
DPS	**2.79**	**2.63**	**2.76**	**2.89**	**3.01**
Payout ratio	99.7%	100.0%	100.0%	100.0%	100.0%
Shares outstanding	801	797	797	797	797

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	2,480	1,983	2,018	2,138	2,247
Accounts receivable	3,718	3,586	3,650	3,752	3,839
Inventories	2,566	2,408	2,500	2,583	2,653
Other current assets	1,840	2,988	2,988	2,988	2,988
Current assets	**10,604**	**10,965**	**11,156**	**11,460**	**11,727**
PP&E	1,506	1,485	1,504	1,521	1,538
LT investments	340	61	61	61	61
Other non current assets	816	907	889	874	860
Total assets	**13,266**	**13,417**	**13,609**	**13,916**	**14,186**
Short term borrowings	0	0	0	0	0
Payables	5,221	5,676	5,734	5,894	6,031
Other short term liabilities	1,302	1,202	1,231	1,269	1,301
Current liabilities	**6,524**	**6,878**	**6,964**	**7,163**	**7,332**
Long-term debt	0	0	0	0	0
Other long term liabilities	280	221	225	231	236
Total liabilities	**6,804**	**7,098**	**7,190**	**7,394**	**7,568**
Shareholders' equity	6,424	6,285	6,388	6,493	6,592
Minority interests	37	34	31	29	27
Total liabilities & equity	**13,266**	**13,417**	**13,609**	**13,916**	**14,186**
BVPS	**8.02**	**7.89**	**8.02**	**8.15**	**8.27**
Net debt/(cash)	(2,480)	(1,983)	(2,018)	(2,138)	(2,247)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**2,584**	**2,649**	**2,302**	**2,464**	**2,558**
o/w Depreciation & amortization	209	210	207	208	209
o/w Changes in working capital	(107)	633	(69)	14	11
Cash flow from investing activities	**(5)**	**(340)**	**(129)**	**(104)**	**(102)**
o/w Capital expenditure	(208)	(201)	(162)	(162)	(162)
as % of sales	*0.9%*	*0.9%*	*0.7%*	*0.7%*	*0.7%*
Cash flow from financing activities	**(2,434)**	**(2,279)**	**(2,138)**	**(2,241)**	**(2,347)**
o/w Dividends paid	(2,176)	(2,239)	(2,096)	(2,198)	(2,302)
o/w Shares issued/(repurchased)	0	11	0	0	0
o/w Net debt issued/(repaid)	(201)	(2)	0	0	0
Net change in cash	**163**	**19**	**35**	**119**	**109**
Adj. Free cash flow to firm	**2,316**	**2,435**	**2,149**	**2,291**	**2,383**
y/y Growth	*25.7%*	*5.2%*	*(11.7%)*	*6.6%*	*4.0%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	24.7%	24.9%	25.1%	25.1%	25.1%
EBITDA margin	12.8%	12.2%	12.4%	12.4%	12.6%
EBIT margin	11.9%	11.3%	11.5%	11.6%	11.7%
Net profit margin	10.0%	9.2%	9.4%	9.5%	9.6%
ROE	35.2%	33.0%	34.7%	35.8%	36.7%
ROA	17.0%	15.7%	16.3%	16.7%	17.1%
ROCE	33.7%	32.8%	34.8%	35.6%	36.5%
SG&A/Sales	11.5%	12.3%	12.4%	12.4%	12.3%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	1.7	1.7	1.7	1.8	1.8
Assets/Equity	206.5%	209.9%	213.3%	213.7%	214.8%
Interest cover (x)	NM	NM	245.5	NM	NM
Operating leverage	31.0%	(217.0%)	165.1%	114.6%	153.8%
Tax rate	17.8%	19.1%	18.5%	18.5%	18.5%
Revenue y/y Growth	5.3%	1.5%	3.2%	3.3%	2.7%
EBITDA y/y Growth	1.5%	(3.1%)	4.8%	3.6%	3.9%
EPS y/y Growth	3.7%	(6.1%)	4.9%	4.8%	4.2%
BVPS y/y Growth	1.9%	(1.6%)	1.6%	1.7%	1.5%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	15.4	16.4	15.6	14.9	14.3
P/BV (x)	5.4	5.5	5.4	5.3	5.2
P/Sales (x)	1.5	1.5	1.5	1.4	1.4
EV/EBITDA (x)	-	11.5	11.0	10.6	10.1
Dividend Yield	6.5%	6.1%	6.4%	6.7%	7.0%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Ecovacs Robotics – A

▼Underweight

Previous: Neutral

603486.SS, 603486 CH
Price (09 Jun 26):Rmb60.55

▼**Price Target (Jun-27):Rmb47.00**
Prior (Dec-26):Rmb82.00

Co-Head of Asia Pacific Consumer Research and Head of Asia Gaming/ Leisure Research

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Yibo Wu
(852) 2800-8559
yibo.wu@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	3.58	3.05	-14.8%
Adj. EPS - 27E (Rmb)	4.21	3.35	-20.5%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	58	71	63	65	78
Growth	19	24	50	19	3
Momentum	80	4	17	73	5
Quality	32	48	62	6	87
Low Vol	64	73	69	69	79
ESGQ	96	20	19	18	-

Triple margin pressure with no valuation cushion; assume coverage at UW

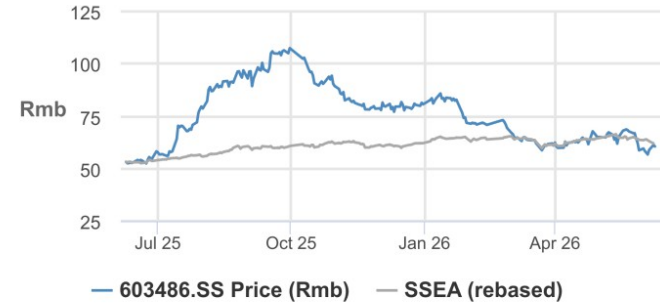
We assume coverage of Ecovacs at Underweight with a PT of Rmb47. The global robot vacuum industry remains a structural growth story (17% unit growth in 2025; 22% revenue CAGR projected over 2024–29), and Ecovacs delivered strong FY25 results (revenue +15%, net profit +118%). However, we see a fundamental margin problem in 2026: BOM cost inflation (petrochemicals, storage chips) is compressing gross margins at precisely the moment when intensifying competition from players like Dreame prevents cost pass-through via price hikes. Meanwhile, the wet-dry vacuum segment (used to be Ecovacs' second growth driver with better GP margin than robot vacuums) is decelerating as more competitors enter the market (domestic share declined). Our revenue forecast is in line with consensus; the disagreement is mainly on margins. Our GP margin is 1.2ppt below consensus—for a 9% net margin business, this translates to 17% earnings downside to consensus. At 19x FY26E P/E on our EPS estimate with only 30% dividend payout (vs. peers' 55–100%), the stock has limited valuation safety net. Despite a capable management team, this is not the right window to buy.

- **BOM inflation with no pricing offset.** Petrochemical and storage chip costs (~10%/2% of BOM in FY25, by JPMe) have seen 50%/2-3x price increases in 2026YTD vs 2025, with P&L impact expected from 2Q26 assuming three months of raw material inventory. Unlike large white goods players with cost pass-through capabilities, Ecovacs operates in a more competitive market where Dreame is actively cutting prices to gain share—eliminating the industry pricing discipline needed for pass-through. Per AVC data, in the China robot vacuum market, Dreame's market share rebounded from ~5% (Aug 2025) to 15% (Mar 2026) through aggressive pricing; in 4M26, both Dreame and Ecovacs's ASP in the online channel declined 5-6% yoy. FX headwinds compounded the problem, with RMB appreciation causing significant FX losses in 1Q26. This creates a margin squeeze with no near-term relief.
- **Second growth engine losing momentum.** The wet-dry vacuum category was Ecovacs' higher-margin growth driver (GP margin 3–4ppt above robot vacuums), but is now maturing and attracting new entrants. The smart home appliance category (mainly wet-dry vacuum) saw sales turning negative in FY25 after growing 8.6% the prior year, while Ecovacs' domestic share declined (from 35.7% in Jan-25 to 29.1% in Apr-26) as competitors replicate core technology at lower price points. While new categories (i.e. lawn mower and window cleaner robots) sales grew 88% yoy in FY25, it takes time for those to build the critical mass and drive earnings growth, in our view.
- **Valuation offers no margin of safety; assume coverage at UW.** At 19x FY26E P/E on our EPS estimate (which is 17% lower than consensus), the stock is not cheap for a 9% net margin business facing structural competitive and cost headwinds. The 30% dividend payout provides minimal income support vs. home appliance peers at 55–100%. We forecast FY26 sales/earnings growth of 16%/0% YoY with net margin compressing to 8.0%. Our PT of Rmb47 is based on 14x FY27E EPS, a discount to the historical average that reflects the earnings downgrade cycle we expect as consensus revises margins lower over the coming quarters. Key upside risks include stabilization in competitive intensity, successful new category expansion, and faster-than-expected cost normalization.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Price Performance



	YTD	1m	3m	12m
Abs	-25.0%	-10.0%	-4.1%	13.8%
Rel	-24.8%	-4.7%	-0.8%	-2.7%

Company Data

Shares O/S (mn)	579
52-week range (Rmb)	111.69-51.34
Market cap ($ mn)	5,168
Exchange rate	6.78
Free float (%)	30.1%
3M ADV (mn)	6.81
3M ADV ($ mn)	64.5
Volatility (90 Day)	39
Index	SHASHR
BBG ANR (Buy | Hold | Sell)	24|5|1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	19,040	21,999	23,349	24,697
Adj. EBITDA	2,237	2,690	2,765	2,889
Adj. EBIT	1,787	2,162	2,183	2,259
Adj. net income	1,758	1,766	1,938	2,074
Adj. EPS	3.04	3.05	3.35	3.58
BBG EPS	3.28	3.68	4.34	5.00
Cashflow from operations	3,387	2,091	2,688	2,874
FCFF	2,612	1,433	1,825	1,936
Margins and Growth				
Revenue Growth Y/Y (%)	15.1%	15.5%	6.1%	5.8%
Gross margin	48.8%	47.6%	47.0%	46.6%
EBITDA margin	11.7%	12.2%	11.8%	11.7%
EBIT margin	9.4%	9.8%	9.3%	9.1%
Adj. EPS growth	116.8%	0.4%	9.8%	7.0%
Ratios				
Adj. tax rate	6.7%	8.0%	10.0%	10.0%
Interest cover	NM	11.1	92.9	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	17.2%	18.5%	16.3%	15.7%
ROE	21.7%	18.3%	17.7%	16.7%
Valuation				
FCFF yield	7.5%	4.1%	5.2%	5.5%
Dividend yield	1.5%	1.5%	1.7%	1.8%
EV/Revenue	1.5	1.3	1.2	1.1
EV/EBITDA	12.9	10.6	9.9	9.1
Adj. P/E	19.9	19.9	18.1	16.9

Summary Investment Thesis and Valuation

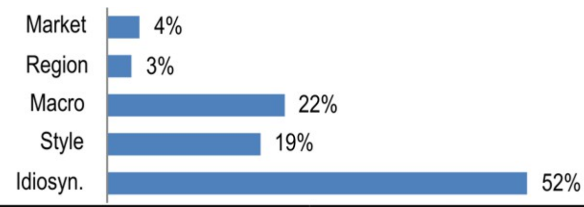
Investment Thesis

We are UW on Ecovacs as we believe it faces triple margin pressures – BOM cost inflation, competition preventing cost pass-through and share loss in its second growth driver (wet dry vacuum). Our revenue forecast is in line with consensus, but our margin estimate is much lower, leading to 17% earnings downside to consensus in FY26E. The stock is trading at 19x FY26E P/E (on JPM estimates) with little dividend support, and we believe the stock will get de-rated.

Valuation

We derive our Jun-27 PT of Rmb47 based on an FY27E P/E multiple of 14x, a discount to its historical average of 21x that reflects the earnings downgrade cycle we expect as consensus revises margins lower over coming quarters.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.25	0.25
Region: China	0.28	0.30
Macro:		
Citi Economic Surprise - EM	-0.36	-0.35
HSI Volatility Index	-0.30	-0.19
JP Morgan EMBI Global Spread	-0.10	-0.19
Quant Styles:		
Growth	0.50	0.42
DivYld	-0.56	-0.37
LowVol	-0.46	-0.32

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

DS Kim [AC]
(852) 2800-8597
ds.kim@jpmorgan.com

Financial forecasts

Table 25: Ecovacs - Summary of P&L

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E	1Q26	2Q26E	3Q26E	4Q26E
P&L									
Revenue	**16,542**	**19,040**	**21,999**	**23,349**	**24,697**	**4,902**	**5,300**	**4,453**	**7,343**
YoY%	*6.7%*	*15.1%*	*15.5%*	*6.1%*	*5.8%*	*27.1%*	*10.0%*	*6.0%*	*19.2%*
COGS	(8,846)	(9,744)	(11,527)	(12,368)	(13,179)	(2,471)	(2,737)	(2,299)	(4,020)
GROSS PROFIT	**7,696**	**9,296**	**10,471**	**10,981**	**11,517**	**2,431**	**2,563**	**2,154**	**3,323**
Selling expense	(5,017)	(5,938)	(6,534)	(6,935)	(7,310)	(1,385)	(1,537)	(1,309)	(2,303)
Admin expense	(562)	(598)	(616)	(630)	(642)	(151)	(154)	(134)	(178)
R&D expense	(885)	(981)	(1,078)	(1,144)	(1,210)	(243)	(265)	(218)	(351)
Business taxes and surcharges	(96)	(97)	(112)	(119)	(126)	(29)	(32)	(17)	(34)
OPERATING PROFIT (Non-GAAP)	**1,135**	**1,682**	**2,131**	**2,152**	**2,229**	**623**	**575**	**476**	**457**
Other income and expenses	(207)	105	30	30	30	(59)	18	29	42
Finance income/(expense)	(26)	98	(243)	(30)	45	(124)	(80)	(40)	1
Profit before tax	**902**	**1,885**	**1,919**	**2,153**	**2,304**	**440**	**514**	**466**	**500**
Income tax expense	(96)	(127)	(154)	(215)	(230)	(35)	(51)	(28)	(39)
Minority interest	0	0	0	0	0	(0)	-	-	0
Net profit	**806**	**1,758**	**1,766**	**1,938**	**2,074**	**405**	**462**	**438**	**461**
YoY%	*31.7%*	*118.1%*	*0.4%*	*9.8%*	*7.0%*	*-14.7%*	*-8.4%*	*-0.2%*	*35.4%*
Dividend	**259**	**533**	**535**	**587**	**628**				
Buyback	**-**	**-**	**-**	**-**	**-**				
Total payout ratio (dvd+bbk)	*32.1%*	*30.3%*	*30.3%*	*30.3%*	*30.3%*				
Profit margins									
Gross margin	46.5%	48.8%	47.6%	47.0%	46.6%	49.6%	48.4%	48.4%	45.3%
Operating margin (Non-GAAP)	6.9%	8.8%	9.7%	9.2%	9.0%	12.7%	10.9%	10.7%	6.2%
Net margin	4.9%	9.2%	8.0%	8.3%	8.4%	8.3%	8.7%	9.8%	6.3%
Effective tax rate	-11%	-7%	-8%	-10%	-10%	-8%	-10%	-6%	-8%
YoY growth									
Revenue	6.7%	15.1%	15.5%	6.1%	5.8%	27.1%	10.0%	6.0%	19.2%
COGS	3.0%	10.1%	18.3%	7.3%	6.6%	27.3%	13.0%	9.0%	22.9%
Gross profit	11.4%	20.8%	12.6%	4.9%	4.9%	26.8%	7.0%	3.0%	14.9%
Selling expense	3.6%	18.3%	10.0%	6.1%	5.4%	18.3%	7.4%	0.1%	13.6%
Admin expense	-3.5%	6.3%	3.0%	2.3%	1.9%	8.5%	9.4%	3.8%	-6.3%
R&D expense	7.3%	10.8%	9.9%	6.1%	5.8%	3.3%	-2.5%	6.9%	30.7%
OPERATING PROFIT (Non-GAAP)	92.2%	48.2%	26.7%	1.0%	3.6%	80.5%	9.9%	9.5%	20.7%
Other income and expenses	-667.2%	-150.7%	-71.1%	0.0%	0.0%	-137.3%	-122.7%	48.2%	428.5%
Finance income/(expense)	-200.1%	-479.3%	-347.6%	-87.7%	-250.9%	-577.8%	-158.0%	27.7%	-103.1%
PBT	38.1%	109.0%	1.8%	12.2%	7.0%	-17.0%	-11.4%	10.0%	41.9%
Net profit	31.7%	118.1%	0.4%	9.8%	7.0%	-14.7%	-8.4%	-0.2%	35.4%

Source: Company data, J.P. Morgan estimates

Table 26: Ecovacs - Balance Sheet

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
BALANCE SHEET					
Current Assets	**11,453**	**12,996**	**14,779**	**16,323**	**16,911**
Cash and Cash equivalents	5,199	6,528	6,987	8,019	8,106
Short-term financial assets	55	100	100	100	100
Receivables	3,830	3,115	3,842	4,073	4,303
Inventories	2,369	3,253	3,850	4,131	4,402
Non-Current Assets	**3,573**	**4,436**	**4,802**	**5,122**	**5,402**
PP&E	2,395	2,805	3,113	3,378	3,606
Intangible assets	298	347	404	459	511
Goodwill	-	-	-	-	-
Long-term investments	612	921	921	921	921
Deferred tax & other assets	269	364	364	364	364
Total Assets	**15,026**	**17,432**	**19,581**	**21,444**	**22,313**
Current Liabilities	**6,702**	**7,187**	**8,103**	**8,564**	**9,010**
Borrowings	1,052	17	17	17	17
Payables	4,925	6,394	7,184	7,589	7,980
Deferred revenues	353	448	528	560	593
Others	371	327	374	397	420
Non-Current Liabilities	**1,127**	**1,202**	**1,202**	**1,202**	**138**
Borrowings	1,032	1,065	1,065	1,065	-
Lease liabilities	5	3	3	3	3
Deferred tax & other liabilities	91	134	134	134	134
Total Liabilities	**7,829**	**8,389**	**9,305**	**9,766**	**9,147**
Shareholder's Equity	**7,197**	**9,043**	**10,276**	**11,680**	**13,166**
Minority interest	0	(0)	(0)	(1)	(1)
Total Liabilities & Equity	**15,026**	**17,432**	**19,581**	**21,444**	**22,313**

Source: Company data, J.P. Morgan estimates

Table 27: Ecovacs - Cashflow Statement

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
CASH FLOW STATEMENT					
Profit after tax	**806**	**1,758**	**1,765**	**1,938**	**2,074**
D&A	393	450	528	583	630
SBC					
Working capital changes	(744)	902	(408)	(52)	(55)
Other adjustments	397	276	206	219	225
Operating cash flow (OpCF)	**852**	**3,387**	**2,091**	**2,688**	**2,874**
YoY%	*-21.9%*	*297.4%*	*-38.2%*	*28.5%*	*6.9%*
% of net profit	*1.1x*	*1.9x*	*1.2x*	*1.4x*	*1.4x*
Free cash flow (FCF)	**144**	**2,703**	**1,209**	**1,798**	**1,976**
YoY%	*-24.6%*	*1781.8%*	*-55.3%*	*48.7%*	*9.9%*
% of net profit	*0.2x*	*1.5x*	*0.7x*	*0.9x*	*1.0x*
Capital expenditures	(709)	(684)	(882)	(890)	(898)
Investments	(41)	(88)	50	50	50
M&A	-	-	-	-	-
Others	(14)	(77)	(229)	(242)	(256)
CF from investment activities	**(763)**	**(848)**	**(1,061)**	**(1,083)**	**(1,104)**
Share issuance	188	120	-	-	-
Buybacks					
Dividends	(213)	(290)	(560)	(562)	(606)
Change in debt	369	(1,026)	-	-	(1,065)
Others	(323)	(25)	(12)	(12)	(12)
CF from financing activities	**21**	**(1,221)**	**(572)**	**(574)**	**(1,683)**
FX effect	(19)	21	-	-	-
Net cash flow	**92**	**1,338**	**459**	**1,032**	**87**
Beginning cash	5,095	5,187	6,525	6,984	8,015
Ending cash	**5,187**	**6,525**	**6,984**	**8,015**	**8,102**
Add: Deposits with original maturity >3M	12	3	3	3	3
Cash on balance sheet	**5,199**	**6,528**	**6,987**	**8,019**	**8,106**

Source: Company data, J.P. Morgan estimates

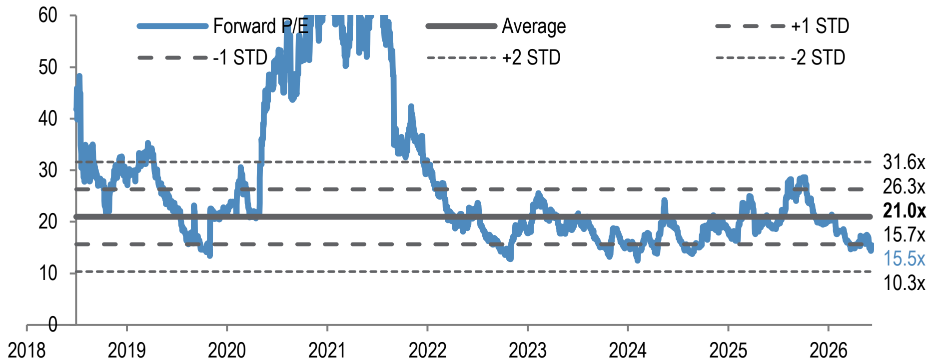
DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Valuation and price target

We derive our Jun-27 PT of Rmb47 based on an FY27E P/E multiple of 14x, a discount to its historical average of 21x that reflects the earnings downgrade cycle we expect as consensus revises margins lower over the coming quarters.

Figure 51: Ecovacs - historical P/E band

Average and standard deviation exclude the abnormal period of 2020-2021.



Source: Bloomberg Finance L.P. (as of Jun 8, 2026)

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Investment Thesis, Valuation and Risks

Ecovacs Robotics – A *(Underweight; Price Target: Rmb47.00)*

Investment Thesis

We are UW on Ecovacs as we believe it faces triple margin pressures – BOM cost inflation, competition preventing cost pass-through and share loss in its second growth driver (wet dry vacuum). Our revenue forecast is in line with consensus, but our margin estimate is much lower, leading to 17% earnings downside to consensus in FY26E. The stock is trading at 19x FY26E P/E (on JPM estimates) with little dividend support, and we believe the stock will get de-rated.

Valuation

We derive our Jun-27 PT of Rmb47 based on an FY27E P/E multiple of 14x, a discount to its historical average of 21x that reflects the earnings downgrade cycle we expect as consensus revises margins lower over the coming quarters.

Risks to Rating and Price Target

Key downside risks include: (1) further market share loss in the Tineco brand; (2) the ongoing price war in China gets prolonged; (3) cost inflation and shortages of some raw materials worsen; and (4) continuing weak consumer sentiment drags down demand in China.

Key upside risks include: (1) easing price war and market share recovery in China; (2) earlier-than-expected drop in prices of key raw materials and components; and (3) positive development of US tariff risk policy.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Ecovacs Robotics – A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**16,542**	**19,040**	**21,999**	**23,349**	**24,697**
COGS	(8,453)	(9,294)	(10,999)	(11,786)	(12,549)
Gross profit	**7,696**	**9,296**	**10,471**	**10,981**	**11,517**
SG&A	(5,580)	(6,536)	(7,150)	(7,565)	(7,952)
Adj. EBITDA	**1,321**	**2,237**	**2,690**	**2,765**	**2,889**
D&A	(393)	(450)	(528)	(583)	(630)
Adj. EBIT	**928**	**1,787**	**2,162**	**2,183**	**2,259**
Net Interest	(26)	98	(243)	(30)	45
Adj. PBT	**902**	**1,885**	**1,919**	**2,153**	**2,304**
Tax	(96)	(127)	(154)	(215)	(230)
Minority Interest	0	0	0	0	0
Adj. Net Income	**806**	**1,758**	**1,766**	**1,938**	**2,074**
Reported EPS	1.40	3.04	3.05	3.35	3.58
Adj. EPS	**1.40**	**3.04**	**3.05**	**3.35**	**3.58**
DPS	**0.45**	**0.92**	**0.92**	**1.01**	**1.09**
Payout ratio	32.1%	30.3%	30.3%	30.3%	30.3%
Shares outstanding	575	579	579	579	579

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	5,199	6,528	6,987	8,019	8,106
Accounts receivable	3,830	3,115	3,842	4,073	4,303
Inventories	2,369	3,253	3,850	4,131	4,402
Other current assets	55	100	100	100	100
Current assets	**11,453**	**12,996**	**14,779**	**16,323**	**16,911**
PP&E	2,395	2,805	3,113	3,378	3,606
LT investments	612	921	921	921	921
Other non current assets	566	710	768	823	875
Total assets	**15,026**	**17,432**	**19,581**	**21,444**	**22,313**
Short term borrowings	1,052	17	17	17	17
Payables	4,925	6,394	7,184	7,589	7,980
Other short term liabilities	725	775	902	957	1,013
Current liabilities	**6,702**	**7,187**	**8,103**	**8,564**	**9,010**
Long-term debt	1,032	1,065	1,065	1,065	0
Other long term liabilities	96	138	138	138	138
Total liabilities	**7,829**	**8,389**	**9,305**	**9,766**	**9,147**
Shareholders' equity	7,197	9,043	10,276	11,680	13,166
Minority interests	0	(0)	(0)	(1)	(1)
Total liabilities & equity	**15,026**	**17,432**	**19,581**	**21,444**	**22,313**
BVPS	**12.51**	**15.62**	**17.75**	**20.17**	**22.74**
Net debt/(cash)	(3,116)	(5,446)	(5,905)	(6,937)	(8,088)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**852**	**3,387**	**2,091**	**2,688**	**2,874**
o/w Depreciation & amortization	393	450	528	583	630
o/w Changes in working capital	(744)	902	(408)	(52)	(55)
Cash flow from investing activities	**(763)**	**(848)**	**(1,061)**	**(1,083)**	**(1,104)**
o/w Capital expenditure	(709)	(684)	(882)	(890)	(898)
as % of sales	*4.3%*	*3.6%*	*4.0%*	*3.8%*	*3.6%*
Cash flow from financing activities	**21**	**(1,221)**	**(572)**	**(574)**	**(1,683)**
o/w Dividends paid	(213)	(290)	(560)	(562)	(606)
o/w Shares issued/(repurchased)	188	120	0	0	0
o/w Net debt issued/(repaid)	369	(1,026)	0	0	(1,065)
Net change in cash	**92**	**1,338**	**459**	**1,032**	**87**
Adj. Free cash flow to firm	**167**	**2,612**	**1,433**	**1,825**	**1,936**
y/y Growth	*0.3%*	*1466.5%*	*(45.1%)*	*27.4%*	*6.1%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	46.5%	48.8%	47.6%	47.0%	46.6%
EBITDA margin	8.0%	11.7%	12.2%	11.8%	11.7%
EBIT margin	5.6%	9.4%	9.8%	9.3%	9.1%
Net profit margin	4.9%	9.2%	8.0%	8.3%	8.4%
ROE	11.7%	21.7%	18.3%	17.7%	16.7%
ROA	5.7%	10.8%	9.5%	9.4%	9.5%
ROCE	9.5%	17.2%	18.5%	16.3%	15.7%
SG&A/Sales	33.7%	34.3%	32.5%	32.4%	32.2%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	1.2	1.2	1.2	1.1	1.1
Assets/Equity	206.7%	199.9%	191.6%	186.9%	176.1%
Interest cover (x)	51.1	NM	11.1	92.9	NM
Operating leverage	714.5%	613.4%	134.8%	15.9%	60.7%
Tax rate	10.7%	6.7%	8.0%	10.0%	10.0%
Revenue y/y Growth	6.7%	15.1%	15.5%	6.1%	5.8%
EBITDA y/y Growth	48.8%	69.3%	20.2%	2.8%	4.5%
EPS y/y Growth	32.0%	116.8%	0.4%	9.8%	7.0%
BVPS y/y Growth	10.1%	24.9%	13.6%	13.7%	12.7%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	43.2	19.9	19.9	18.1	16.9
P/BV (x)	4.8	3.9	3.4	3.0	2.7
P/Sales (x)	2.1	1.8	1.6	1.5	1.4
EV/EBITDA (x)	-	12.9	10.6	9.9	9.1
Dividend Yield	0.7%	1.5%	1.5%	1.7%	1.8%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Hangzhou Robam Appliances - A

Kitchen king awaiting its next chapter; assume coverage at Neutral

▼ **Neutral**
Previous: Overweight

002508.SZ, 002508 CH
Price (09 Jun 26):Rmb16.11

▼ **Price Target (Jun-27):Rmb17.00**
Prior (Dec-26):Rmb23.00

Co-Head of Asia Pacific Consumer Research and Head of Asia Gaming/ Leisure Research

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Yibo Wu
(852) 2800-8559
yibo.wu@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	1.78	1.46	-17.9%
Adj. EPS - 27E (Rmb)	1.83	1.46	-20.7%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	46	38	41	48	56
Growth	86	57	59	75	27
Momentum	79	71	74	74	61
Quality	55	19	21	37	4
Low Vol	14	16	24	55	37

We assume coverage of Robam at Neutral with a PT of Rmb17. Robam remains a high-quality kitchen appliance franchise (~30% market share, ~50% gross margin, duopoly with Fotile), but the stock is trading at one standard deviation below its historical average P/E, reflecting multiple near-term headwinds: the 2026 national subsidy explicitly excludes kitchen appliances (unlike 2025), the property market continues to weigh on both retail and developer channels, and new entrants are intensifying competition at both ends of the price spectrum. Following a 20% earnings decline in FY25, we forecast FY26 sales/earnings to grow 3%/10% YoY, with growth back-end loaded (recovery from 3Q26). The potential overseas M&A catalyst (management expects to announce within the next few months) remains uncertain in terms of target, price, and earnings contribution. At 10x FY27E P/E with a 4.2% dividend yield, we see balanced risk-reward and await clearer catalysts before turning constructive.

- **Near-term earnings under pressure; margin resilience is the silver lining.** We forecast FY26 sales/earnings to grow 3%/10% YoY. The bright spot is margins: 1Q26 gross margin improved 1.4ppt YoY as self-subsidies ceased and e-commerce mix shifted toward higher-ASP products. Raw material pressure (primarily stainless steel) should remain manageable through 2026. The duopoly structure with Fotile—where neither party has incentive to initiate a price war—underpins Robam's ability to maintain ~50% gross margin and 13–14% net margin even in a declining revenue environment. However, the strategic push to grow sub-brand MQ from <10% to 30% of revenue will structurally dilute margins over time (MQ gross margin ~40% vs. Robam main brand 50%+).
- **Catalysts to watch: overseas M&A and 2H26 earnings recovery.** With the domestic market slowing, management has placed strategic priority on overseas expansion through M&A, with multiple targets under negotiation and a deal expected in the coming months. Domestically, the "front-low, back-high" earnings cadence could provide a sentiment inflection in 2H26. Key upside risks include a value-accretive M&A announcement and faster-than-expected property stabilization. Key downside risks include M&A execution failure, further share loss to new entrants, and MQ margin dilution exceeding expectations.
- **Assume coverage at Neutral: headwinds priced in, catalysts not yet actionable.** Management confirmed in 2026 self-subsidies have ceased, returning the industry to normal competition; this implies some sales pressure but margin normalization, in our view. The developer channel (now ~10.5% of revenue, down from 21% at peak) continues to decline and is not expected to bottom until FY26-27 at the earliest. On the upside, overseas M&A could be transformative if executed well, but remains pre-announcement. We will revisit our rating once the deal is disclosed and we can assess the target's quality, valuation, and synergy potential. Key downside risks: margin erosion amid cost inflation and competition, domestic demand softening further. Key upside risks: announcement of value-accretive M&A, property market stabilization, extension of subsidy into 2027.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Price Performance

	YTD	1m	3m	12m
Abs	-16.7%	-12.4%	-20.7%	-15.5%
Rel	-5.4%	-7.7%	-12.9%	-9.9%

Company Data

Shares O/S (mn)	945
52-week range (Rmb)	22.50-16.03
Market cap ($ mn)	2,244
Exchange rate	6.78
Free float (%)	44.6%
3M ADV (mn)	6.02
3M ADV ($ mn)	16.8
Volatility (90 Day)	29
Index	SZBSHR
BBG ANR (Buy | Hold | Sell)	17|7|2

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	10,116	10,382	10,428	10,707
Adj. EBITDA	1,476	1,611	1,629	1,742
Adj. EBIT	1,292	1,427	1,443	1,555
Adj. net income	1,256	1,379	1,375	1,466
Adj. EPS	1.33	1.46	1.46	1.55
BBG EPS	1.69	1.50	1.57	1.62
Cashflow from operations	1,598	1,407	1,549	1,679
FCFF	1,348	1,204	1,346	1,475
Margins and Growth				
Revenue Growth Y/Y (%)	(9.8%)	2.6%	0.4%	2.7%
Gross margin	50.2%	50.4%	50.6%	50.8%
EBITDA margin	14.6%	15.5%	15.6%	16.3%
EBIT margin	12.8%	13.7%	13.8%	14.5%
Adj. EPS growth	(20.4%)	9.8%	(0.2%)	6.6%
Ratios				
Adj. tax rate	13.4%	13.0%	13.0%	13.0%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	9.8%	10.5%	10.3%	10.6%
ROE	11.1%	11.8%	11.3%	11.6%
Valuation				
FCFF yield	8.9%	7.9%	8.8%	9.7%
Dividend yield	6.2%	6.2%	6.2%	6.2%
EV/Revenue	1.3	1.3	1.2	1.2
EV/EBITDA	9.2	8.2	7.9	7.1
Adj. P/E	12.1	11.0	11.1	10.4

Summary Investment Thesis and Valuation

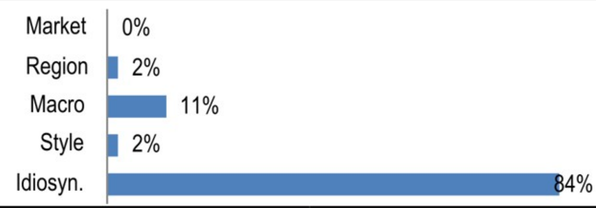
Investment Thesis

We are Neutral on Robam. Robam is a high-quality kitchen appliance duopoly (~30% share, ~50% gross margin) trading at one standard deviation below historical average P/E—reflecting the exclusion of kitchen appliances from the 2026 national subsidy, ongoing property market weakness, and intensifying competition. The duopoly industry structure protects pricing discipline and margins, but revenue growth requires a new engine as domestic demand slows. Overseas M&A—expected to be announced in coming months—could provide that engine, but remains pre-announcement and unassessable. We forecast FY26 earnings to recover 10% YoY on margin normalization, but see balanced risk-reward until the M&A catalyst crystallizes or property stabilizes.

Valuation

We derive our Jun-27 PT of Rmb17 based on an FY27E P/E multiple of 12x, in line with current trading valuation and a discount to historical average of 16.5x.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.01	-0.01
Region: China	0.04	0.14
Macro:		
Generic 1st 'CO' Future	-0.38	-0.26
JPM China A-shares Sentiment	0.37	0.23
JPM Forecast Revision EM	0.08	0.18
Quant Styles:		
Size	0.00	-0.14
Momentum	-0.06	-0.11
Value	0.06	0.10

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Financial forecast

Table 28: Robam - Summary of P&L

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E	1Q26	2Q26E	3Q26E	4Q26E
P&L									
Revenue	**11,213**	**10,116**	**10,382**	**10,428**	**10,707**	**1,963**	**2,455**	**2,785**	**3,178**
YoY%	*0.1%*	*-9.8%*	*2.6%*	*0.4%*	*2.7%*	*-5.5%*	*-3.0%*	*3.0%*	*13.3%*
COGS	(5,645)	(5,039)	(5,147)	(5,150)	(5,268)	(901)	(1,270)	(1,288)	(1,689)
GROSS PROFIT	**5,568**	**5,077**	**5,235**	**5,278**	**5,439**	**1,062**	**1,186**	**1,498**	**1,489**
Selling expense	(3,079)	(2,923)	(2,938)	(2,972)	(3,030)	(625)	(614)	(780)	(920)
Admin expense	(509)	(515)	(529)	(532)	(525)	(105)	(118)	(136)	(170)
R&D expense	(414)	(368)	(374)	(365)	(364)	(61)	(93)	(97)	(122)
Business taxes and surcharges	(109)	(87)	(89)	(90)	(92)	(9)	(18)	(22)	(40)
OPERATING PROFIT (Non-GAAP)	**1,457**	**1,184**	**1,304**	**1,319**	**1,428**	**262**	**343**	**462**	**237**
Other income and expenses	146	108	123	124	127	70	11	43	(0)
Finance income/(expense)	180	138	142	146	153	31	35	37	39
Profit before tax	**1,784**	**1,430**	**1,569**	**1,589**	**1,708**	**363**	**389**	**542**	**276**
Income tax expense	(229)	(191)	(204)	(207)	(222)	(57)	(62)	(87)	2
Minority interest	22	17	14	(7)	(19)	1	4	4	5
Net profit	**1,577**	**1,256**	**1,379**	**1,375**	**1,466**	**307**	**331**	**459**	**282**
YoY%	*-9.0%*	*-20.4%*	*9.8%*	*-0.2%*	*6.6%*	*-9.8%*	*-10.9%*	*3.0%*	*186.0%*
Dividend	**945**	**945**	**945**	**945**	**945**				
Buyback	-	-	-	-	-				
Total payout ratio (dvd+bbk)	*59.9%*	*75.2%*	*68.5%*	*68.7%*	*64.4%*				
Profit margins									
Gross margin	49.7%	50.2%	50.4%	50.6%	50.8%	54.1%	48.3%	53.8%	46.9%
Operating margin (Non-GAAP)	13.0%	11.7%	12.6%	12.7%	13.3%	13.4%	14.0%	16.6%	7.5%
Net margin	14.1%	12.4%	13.3%	13.2%	13.7%	15.6%	13.5%	16.5%	8.9%
Effective tax rate	-13%	-13%	-13%	-13%	-13%	-16%	-16%	-16%	1%
YoY growth									
Revenue	0.1%	-9.8%	2.6%	0.4%	2.7%	-5.5%	-3.0%	3.0%	13.3%
COGS	2.1%	-10.7%	2.2%	0.1%	2.3%	-8.2%	-2.5%	3.8%	11.5%
Gross profit	-1.9%	-8.8%	3.1%	0.8%	3.1%	-3.0%	-3.5%	2.3%	15.4%
Selling expense	2.5%	-5.0%	0.5%	1.1%	2.0%	-1.8%	0.2%	-4.7%	7.5%
Admin expense	8.4%	1.2%	2.8%	0.4%	-1.3%	8.2%	7.5%	3.5%	-3.7%
R&D expense	6.8%	-11.0%	1.6%	-2.4%	-0.3%	-2.8%	-3.2%	13.7%	-0.9%
OPERATING PROFIT (Non-GAAP)	-15.1%	-18.8%	10.1%	1.2%	8.2%	-9.4%	-12.5%	13.6%	146.1%
Other income and expenses	80.8%	-26.4%	14.1%	0.5%	3.0%	-6.9%	-6.6%	-47.4%	-99.4%
Finance income/(expense)	-4.5%	-23.4%	2.9%	2.9%	4.3%	-9.7%	0.0%	0.0%	23.5%
PBT	-10.2%	-19.9%	9.7%	1.3%	7.5%	-9.0%	-11.3%	3.2%	306.8%
Net profit	-9.0%	-20.4%	9.8%	-0.2%	6.6%	-9.8%	-10.9%	3.0%	186.0%

Source: Company data, J.P. Morgan estimates

Table 29: Robam - Balance sheet

(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
BALANCE SHEET					
Current Assets	**10,366**	**8,754**	**9,155**	**9,579**	**10,213**
Cash and Cash equivalents	1,632	1,236	1,508	1,922	2,465
Short-term investments	4,491	3,818	3,818	3,818	3,818
Receivables	3,030	2,340	2,440	2,450	2,508
Inventories	1,214	1,360	1,390	1,391	1,422
Non-Current Assets	**6,677**	**8,454**	**8,475**	**8,495**	**8,513**
PP&E	2,079	2,228	2,259	2,287	2,314
Intangible assets	206	196	187	178	170
Goodwill	-	-	-	-	-
Long-term investments	4,032	5,701	5,701	5,701	5,701
Deferred tax & other assets	360	329	329	329	329
Total Assets	**17,043**	**17,208**	**17,630**	**18,074**	**18,726**
Current Liabilities	**5,614**	**5,488**	**5,490**	**5,496**	**5,607**
Borrowings	93	98	98	98	98
Payables	4,555	4,353	4,353	4,355	4,441
Deferred revenues	868	933	934	938	964
Others	98	105	105	105	105
Non-Current Liabilities	**163**	**149**	**149**	**149**	**149**
Borrowings	-	-	-	-	-
Lease liabilities	10	8	8	8	8
Deferred tax & other liabilities	153	141	141	141	141
Total Liabilities	**5,777**	**5,636**	**5,638**	**5,644**	**5,756**
Shareholder's Equity	**11,178**	**11,497**	**11,931**	**12,362**	**12,883**
Minority interest	88	74	61	68	87
Total Liabilities & Equity	**17,043**	**17,208**	**17,630**	**18,074**	**18,726**

Source: Company data, J.P. Morgan estimates

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Table 30: Robam - Cashflow statement

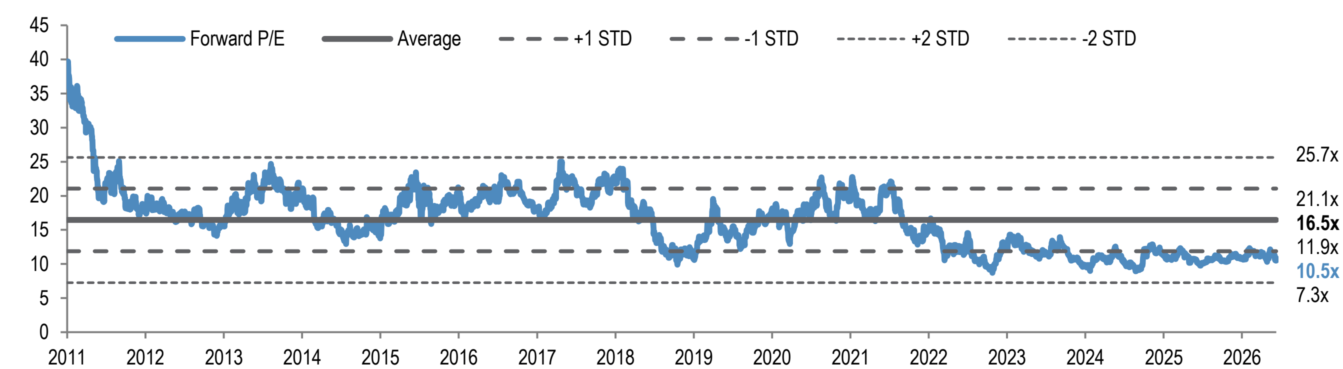
(Rmb mn, FYE Dec 31)	FY24	FY25	FY26E	FY27E	FY28E
CASH FLOW STATEMENT					
Profit after tax	**1,556**	**1,239**	**1,365**	**1,382**	**1,486**
Depreciation and amortization	186	184	184	186	187
SBC					
Working capital changes	(65)	148	(128)	(4)	21
Other adjustments	(16)	27	(15)	(15)	(15)
Operating cash flow (OpCF)	**1,660**	**1,598**	**1,407**	**1,549**	**1,679**
YoY%	*-30.6%*	*-3.8%*	*-11.9%*	*10.1%*	*8.3%*
% of net profit	*1.1x*	*1.3x*	*1.0x*	*1.1x*	*1.1x*
Free cash flow (FCF)	**1,402**	**1,348**	**1,204**	**1,346**	**1,475**
YoY%	*-32.1%*	*-3.9%*	*-10.7%*	*11.8%*	*9.6%*
% of net profit	*0.9x*	*1.1x*	*0.9x*	*1.0x*	*1.0x*
Capital expenditures	(258)	(250)	(203)	(203)	(203)
Investments	857	(1,453)	91	92	94
M&A	-	-	-	-	-
Others	(1,236)	694	(72)	(72)	(74)
CF from investment activities	**(637)**	**(1,010)**	**(184)**	**(184)**	**(183)**
Share issuance	32	8	-	-	-
Buybacks					
Dividends	(1,419)	(948)	(950)	(950)	(950)
Change in debt	13	7	-	-	-
Others	(9)	(3)	(2)	(2)	(2)
CF from financing activities	**(1,383)**	**(936)**	**(952)**	**(952)**	**(952)**
FX effect	0	(1)	-	-	-
Net cash flow	**(360)**	**(349)**	**272**	**414**	**543**
Beginning cash	1,878	1,518	1,169	1,441	1,855
Ending cash	**1,518**	**1,169**	**1,441**	**1,855**	**2,398**
Add: Deposits with original maturity >3M	113	67	67	67	67
Cash on balance sheet	**1,632**	**1,236**	**1,508**	**1,922**	**2,465**

Source: Company data, J.P. Morgan estimates

Valuation and price target

We derive our Jun-27 PT of Rmb17 based on FY27E P/E multiple of 12x, in line with current trading valuation and a discount to historical average of 16.5x (due to multiple near-term growth headwinds).

Figure 52: Robam - Historical P/E band



Source: Bloomberg Finance L.P. (as of Jun 8, 2026)

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Investment Thesis, Valuation and Risks

Hangzhou Robam Appliances - A *(Neutral; Price Target: Rmb17.00)*

Investment Thesis

We are Neutral on Robam. Robam is a high-quality kitchen appliance duopoly (~30% share, ~50% gross margin) trading at one standard deviation below historical average P/E—reflecting the exclusion of kitchen appliances from the 2026 national subsidy, ongoing property market weakness, and intensifying competition. The duopoly industry structure protects pricing discipline and margins, but revenue growth requires a new engine as domestic demand slows. Overseas M&A—expected to be announced in coming months—could provide that engine, but remains pre-announcement and unassessable. We forecast FY26 earnings to recover 10% YoY on margin normalization, but see balanced risk-reward until the M&A catalyst crystallizes or property stabilizes.

Valuation

We derive our Jun-27 PT of Rmb17 based on an FY27E P/E multiple of 12x, in line with current trading valuation and a discount to historical average of 16.5x.

Risks to Rating and Price Target

Key catalysts include: 1) Value-accretive overseas M&A announcement with clear synergies; 2) faster-than-expected property stabilization lifting both retail and developer channels; 3) kitchen appliance re-inclusion in a potential 2027 national subsidy program.

Key downside risks include: 1) M&A execution failure or overpayment destroying value; 2) continued property deterioration extending the developer channel decline; 3) MQ sub-brand diluting group margins (40% GPM vs. main brand 50%+).

DS Kim AC
(852) 2800-8597
ds.kim@jpmorgan.com

Hangzhou Robam Appliances - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**11,213**	**10,116**	**10,382**	**10,428**	**10,707**
COGS	(5,459)	(4,854)	(4,963)	(4,964)	(5,081)
Gross profit	**5,568**	**5,077**	**5,235**	**5,278**	**5,439**
SG&A	(3,588)	(3,439)	(3,468)	(3,504)	(3,555)
Adj. EBITDA	**1,789**	**1,476**	**1,611**	**1,629**	**1,742**
D&A	(186)	(184)	(184)	(186)	(187)
Adj. EBIT	**1,604**	**1,292**	**1,427**	**1,443**	**1,555**
Net Interest	180	138	142	146	153
Adj. PBT	**1,784**	**1,430**	**1,569**	**1,589**	**1,708**
Tax	(229)	(191)	(204)	(207)	(222)
Minority Interest	22	17	14	(7)	(19)
Adj. Net Income	**1,577**	**1,256**	**1,379**	**1,375**	**1,466**
Reported EPS	1.67	1.33	1.46	1.46	1.55
Adj. EPS	**1.67**	**1.33**	**1.46**	**1.46**	**1.55**
DPS	**1.00**	**1.00**	**1.00**	**1.00**	**1.00**
Payout ratio	59.9%	75.2%	68.5%	68.7%	64.4%
Shares outstanding	945	945	945	945	945

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	1,632	1,236	1,508	1,922	2,465
Accounts receivable	3,030	2,340	2,440	2,450	2,508
Inventories	1,214	1,360	1,390	1,391	1,422
Other current assets	4,491	3,818	3,818	3,818	3,818
Current assets	**10,366**	**8,754**	**9,155**	**9,579**	**10,213**
PP&E	2,079	2,228	2,259	2,287	2,314
LT investments	4,032	5,701	5,701	5,701	5,701
Other non current assets	566	525	516	507	498
Total assets	**17,043**	**17,208**	**17,630**	**18,074**	**18,726**
Short term borrowings	93	98	98	98	98
Payables	4,555	4,353	4,353	4,355	4,441
Other short term liabilities	966	1,037	1,039	1,043	1,068
Current liabilities	**5,614**	**5,488**	**5,490**	**5,496**	**5,607**
Long-term debt	0	0	0	0	0
Other long term liabilities	163	149	149	149	149
Total liabilities	**5,777**	**5,636**	**5,638**	**5,644**	**5,756**
Shareholders' equity	11,178	11,497	11,931	12,362	12,883
Minority interests	88	74	61	68	87
Total liabilities & equity	**17,043**	**17,208**	**17,630**	**18,074**	**18,726**
BVPS	**11.83**	**12.17**	**12.63**	**13.08**	**13.63**
Net debt/(cash)	(1,539)	(1,139)	(1,410)	(1,824)	(2,367)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**1,660**	**1,598**	**1,407**	**1,549**	**1,679**
o/w Depreciation & amortization	186	184	184	186	187
o/w Changes in working capital	(65)	148	(128)	(4)	21
Cash flow from investing activities	**(637)**	**(1,010)**	**(184)**	**(184)**	**(183)**
o/w Capital expenditure	(258)	(250)	(203)	(203)	(203)
as % of sales	*2.3%*	*2.5%*	*2.0%*	*1.9%*	*1.9%*
Cash flow from financing activities	**(1,383)**	**(936)**	**(952)**	**(952)**	**(952)**
o/w Dividends paid	(1,419)	(948)	(950)	(950)	(950)
o/w Shares issued/(repurchased)	32	8	0	0	0
o/w Net debt issued/(repaid)	13	7	0	0	0
Net change in cash	**(360)**	**(349)**	**272**	**414**	**543**
Adj. Free cash flow to firm	**1,402**	**1,348**	**1,204**	**1,346**	**1,475**
y/y Growth	*(32.1%)*	*(3.9%)*	*(10.7%)*	*11.8%*	*9.6%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	49.7%	50.2%	50.4%	50.6%	50.8%
EBITDA margin	16.0%	14.6%	15.5%	15.6%	16.3%
EBIT margin	14.3%	12.8%	13.7%	13.8%	14.5%
Net profit margin	14.1%	12.4%	13.3%	13.2%	13.7%
ROE	14.5%	11.1%	11.8%	11.3%	11.6%
ROA	9.3%	7.3%	7.9%	7.7%	8.0%
ROCE	12.8%	9.8%	10.5%	10.3%	10.6%
SG&A/Sales	32.0%	34.0%	33.4%	33.6%	33.2%
Net debt/Equity	NM	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM	NM
Sales/Assets (x)	0.7	0.6	0.6	0.6	0.6
Assets/Equity	155.9%	151.0%	148.7%	147.0%	145.8%
Interest cover (x)	-	-	-	-	-
Operating leverage	(11203.9%)	199.0%	398.3%	251.6%	290.4%
Tax rate	12.8%	13.4%	13.0%	13.0%	13.0%
Revenue y/y Growth	0.1%	(9.8%)	2.6%	0.4%	2.7%
EBITDA y/y Growth	(9.1%)	(17.5%)	9.2%	1.1%	7.0%
EPS y/y Growth	(8.6%)	(20.4%)	9.8%	(0.2%)	6.6%
BVPS y/y Growth	6.7%	2.8%	3.8%	3.6%	4.2%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	9.6	12.1	11.0	11.1	10.4
P/BV (x)	1.4	1.3	1.3	1.2	1.2
P/Sales (x)	1.4	1.5	1.5	1.5	1.4
EV/EBITDA (x)	-	9.2	8.2	7.9	7.1
Dividend Yield	6.2%	6.2%	6.2%	6.2%	6.2%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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